



2013

NIC BANK LIMITED
Annual Report and
Financial Statements

NIC BANK LIMITED Annual Report and Financial Statements 2012

POSITIONED FOR **GROWTH**

SINCE 1959

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WHO WE ARE

OUR HISTORY

NIC Bank (formerly National Industrial Credit Bank Limited) was incorporated in Kenya on 29th September 1959 as a joint venture between Mercantile Credit Limited and Standard Bank. NIC Bank was among the first non-bank financial institutions to provide hire purchase and installment credit finance facilities in Kenya.

NIC Bank went public by listing on the Nairobi Securities Exchange (NSE) in 1971. Barclays Bank (K) Limited (BBK) acquired 51% of NIC Bank's total shares through the acquisition of Mercantile Credit Limited in the 1970s and thereafter, Standard Bank's shareholding in the 1980s. Between 1993 and 1996, BBK divested all of its shares in NIC Bank by selling them to the public through the NSE. In order to effectively diversify into mainstream commercial banking, NIC Bank merged with African Mercantile Bank Limited (AMBank) in November 1997, through a share swap.

In 2003, NIC launched "MOVE", a retail banking proposition that changed the banking scene in Kenya by offering the first "flat fee" current account in the market. In 2007, NIC Bank repositioned itself as a 'One Stop Shop' financial services supermarket.

Diversification, both by geography and business lines, remains one of the pillars of NIC Bank Group's strategy, with the overall objective of achieving significant and sustainable earnings in each business line.

OUR PRODUCTS

The product range includes the following:

Personal Banking

- **Move Current Account**

This is an affordable account that gives customers access to secure alternate banking channels such as NIC online and NIC mobile. This account is appropriate for both salaried and self employed individuals and one has a choice of either paying a flat fee per month or paying-as-you-go.

- **Gold Account**

This is a superior banking solution that endeavors to make banking more convenient by offering a dedicated Relationship Officer, exclusive services at Gold Corners found at selected branches, and a Gold Visa Debit Card amongst other enhanced benefits for the discerning customer.

- **Platinum Account**

This is a premier account that offers exclusive VIP banking services, with a host of benefits including a dedicated Relationship Manager, a personalized Welcome Pack which includes a platinum card, preferential rates on mortgages and other bank loans, and negotiated rates for cash deposits and foreign exchange transactions.

- **Credit Cards**

NIC Bank offers two types of Visa branded Credit Cards; the Gold Credit Card and the Freedom Credit Card. These Cards enable you to carry out transactions in over 1 million outlets worldwide.

The NIC Credit Cards have an added security feature in the form of SMS notifications whenever you transact. The NIC Gold Credit Card further gives you access to the VIP lounge at the Jomo Kenyatta International Airport and the Mombasa International Airport.

- **NIC Saver Account**

For customers who are keen on saving money, the NIC Saver offers a wide variety of savings accounts to suit individual tastes.

- **NIC High Yield Deposit Account**

The account offers tiered interest rates payable half yearly. The account is ideal for saving cash to secure loans against deposits or even accumulating funds that one may require in future.

- **Young Movers Savings Account**

Parents and guardians can open this account, to encourage a savings culture in their children. It's features include; a low minimum opening balance, no monthly fees and competitive interest rates.

WHO WE ARE (Continued)

- **The Student Account**

This is tailored for the students. It has no transaction fees with a very low minimum opening balance.

Business Banking

- **NIC Entrepreneur Account**

This is a contemporary business account that provides customized business solutions for clients' business needs. The NIC Entrepreneur Account is designed to give clients a total solution for all their business needs ranging from transactional, cash flow management, insurance, asset finance to investments.

This account also gives you access to the NIC Entrepreneur Club. The Club regularly hosts workshops that bring together business people across industries. At the workshops, clients network and receive valuable training on emerging issues and needs.

Corporate Banking

- **Corporate Overdrafts**

This product caters for the financing of customer's working capital cycle taking into account the lead times in procurement of stocks, the manufacturing process and any terms of supplier credit including credit extended to customer.

- **Term Loans**

Companies often require financing for projects such as business expansion, purchase of stock, purchase of property, construction of business premises, amongst others. Term loans provide the much needed funding by matching the loan repayments to the customers cash flows.

- **Trade Finance**

NIC Group provides advice and services that importers and exporters need to achieve their international business objectives.

The Bank offers an extensive range of trade related products some of which include:

- Documentary Credits
- Bills for Collection
- Open Accounts
- Advance Payments
- Guarantees and Indemnities
- Letters of Credit

Institutional Banking

NIC Bank Group's Institutional Banking offering is designed for non-borrowing corporate organizations and not-for-profit institutions including local and international Non-Governmental organizations, donor-funded Government parastatals, donor-funded Government ministries, diplomatic missions and their affiliate donor/aid entities, faith-based organizations and local and multinational corporate organizations.

Asset Finance

NIC Bank Group's Asset Finance offering has been around since 1959 and offers quick turnaround times and competitive interest rates. NIC Bank Group offers financing for a wide range of movable assets including:

- Motor Vehicles
- Plant & Machinery
- Construction Equipment
- Agricultural Equipment
- IT Equipment
- Other Specialized Equipment (medical, telecoms)

WHO WE ARE (Continued)

Leases

NIC Bank Group through partnerships with other market players who carry the asset risk, offer leases where customers take up assets on lease over specified periods of time. The customers get to enjoy use of the assets and derive benefits over that period.

Insurance Premium Financing (IPF)

We offer Insurance Premium Financing (IPF) which enables clients to pay for their insurance premiums in affordable installments over a period of time. IPF is also available through NIC Insurance Agents to customers of the Group.

Custodial Services

Custodial services include storage and safekeeping of client securities (assets) including cash, title documents and deeds for pension schemes. We also collect dividends, interest and any other entitlements due to a scheme (pension scheme management).

The activities of this business unit are regulated by the Retirement Benefits Authority (RBA) and the Capital Markets Authority (CMA).

Treasury Services

Cash Transactions or Bureau De Change

Bureau De Change transactions are over the counter transactions for purchase and sale of foreign currency. We accept over-the-counter cash for all the major foreign currencies.

Other products on offer include;

- Spot Foreign Exchange Operations
- Inward Foreign Remittances
- Outward Foreign Remittances
- Foreign Demand Drafts
- FX Current Accounts
- FX Deposits
- Forward Exchange Contracts

Investment Banking through NIC Capital

NIC Capital is a subsidiary of NIC Bank and has its origins in 2005 when the directors resolved to establish an investment bank that would support the ever growing advisory and financing needs of Kenyan corporates. NIC Capital, through its debt and equity platforms, advises companies on optimal capital raising alternatives. The Investment Bank is qualified in mergers & acquisitions, de-mergers, sale of stake, capital structure advisory as well as in pursuing capital raising initiatives – both in the private and public realms.

Stock Brokerage through NIC Securities

NIC Securities Limited is a stock brokerage firm licensed by the Capital Markets Authority and a member of the Nairobi Securities Exchange. NIC Securities provides investors with a secure platform to participate in a diversified array of investments in the equity and bond markets, backed by solid advice from the research and advisory teams, to enable clients meet their return objectives.

Bancassurance through NIC Insurance Agents

We offer insurance for all through our insurance brokerage function available at all the Group's branches. Products on offer include Health Insurance i.e. inpatient and outpatient medical covers; Business Risks Insurance which covers property damage, Group Personal Accident covers; Travel Insurance which covers medical expenses, loss of luggage, and emergency evacuation for travellers; Home Insurance for household property including personal effects and Motor Vehicle Insurance for both private and commercial vehicles.

WHO WE ARE (Continued)

Value Added Services

• Online Banking

Customers have access to the NIC Online Banking service from anywhere in the world through the internet. The following are some features that clients enjoy once they have signed up on NIC Online:

- Checking account statements and balances
- Making Funds Transfers – Electronic Funds Transfers (EFTs) both within NIC Bank Group and to other banks in Kenya or abroad
- Bankers Cheques ordering
- Salary or supplier payment processing
- Analysis for loans and investment options
- M-Pesa functionality – Customers can make transfers to and from their M-Pesa accounts directly to and from their Bank accounts.
- KRA tax payment
- Create and edit beneficiary for various types of payments
- Printing of deposit slips and swift payment confirmations

• Mobile Banking

NIC Customers can access their bank accounts at their convenience through the new NOW Mobile Application.

NOW Mobile App enables customers with smart phones to conduct all the banking requirements wherever they are. The App is accessible from most platforms, i.e. Android, Nokia, Blackberry and Apple.

The following are some features that clients enjoy once they have downloaded the Mobile App:

- Account balance enquiry and viewing of their mini statements
- Mobile Funds transfers via EFT, RTGS, Mobile Money (M-PESA) and internally within NIC
- Mobile requests – Cheque book, statement and forex request
- Mobile airtime top up – for Safaricom, Airtime, Orange & Yu
- Bill payments – KPLC Pre paid & Postpaid, Nairobi Water Postpaid, DSTV, Zuku, Access@home, Safaricom Postpaid, Airtel Postpaid, Orange Postpaid
- Mobile Lifestyle- gives you access to traffic cameras, news, religious books and cinema guides
- Standing order requests

Customers on the USSD Mobile Banking service 488# are still able to access the service and conduct majority of the above transactions and requests.

• Borderless Banking

With the T24 core banking system, NIC Bank Group customers now enjoy seamless banking services across the regions.

• Agency Banking

NIC Bank through Post Bank Limited offers Agency Banking services. This arrangement allows NIC customers to deposit or withdraw cash from any of the 98 Post Bank branches countrywide. Corporate clients also benefit immensely because they can easily collect cash from anywhere in the country and deposit it into their NIC Bank Accounts in real time.

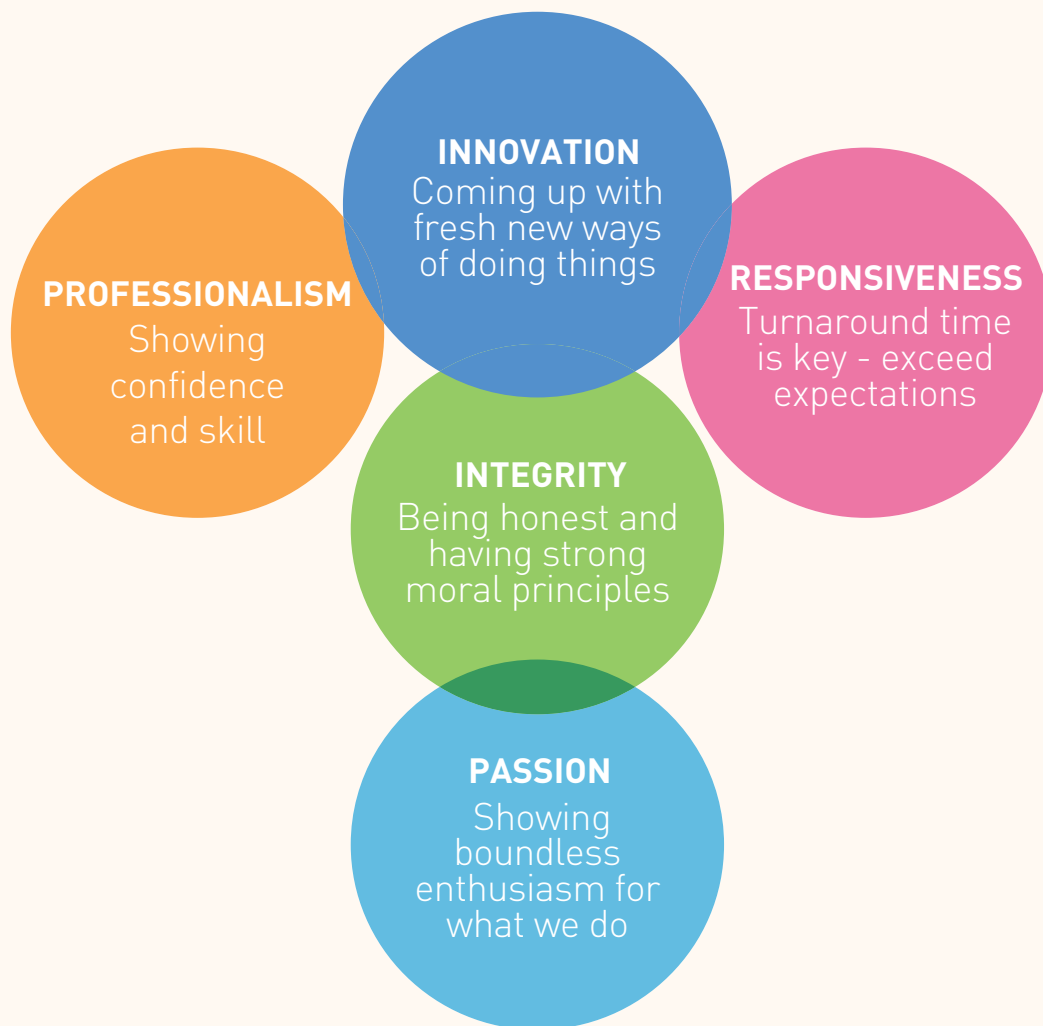
OUR MISSION

To be the leading financial services provider to our target market; we are committed to the highest standards of service and to exceeding our stakeholders' expectations.

OUR VISION

To establish long term, profitable customer relationships through the provision of a complete range of banking and financial services.

OUR VALUES



FIVE YEAR FINANCIAL REVIEW

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

Assets

Government securities	4,332,080	5,074,031	7,500,288	17,478,232	18,093,150
Loans and advances to customers	32,511,082	40,754,979	56,624,621	71,540,092	83,493,313
Property and equipment	798,255	750,530	967,988	1,009,891	1,119,264
Others	9,916,824	12,434,382	13,891,108	18,320,378	18,357,012

Total Assets

47,558,241	59,013,922	78,984,005	108,348,593	121,062,739
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Liabilities

Customer deposits	39,514,275	48,492,224	66,293,053	83,379,576	91,565,005
Borrowings	465,202	303,284	190,280	3,655,414	3,628,169
Other liabilities	786,510	1,865,185	1,977,719	5,831,981	8,300,659

Total Liabilities

40,765,987	50,660,693	68,461,052	92,866,971	103,493,833
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Total Equity

6,792,254	8,353,229	10,522,953	15,481,622	17,568,906
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Total Liabilities and Equity

47,558,241	59,013,922	78,984,005	108,348,593	121,062,739
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CONSOLIDATED STATEMENT OF PROFIT OR LOSS

Interest income	4,425,440	4,757,544	6,831,580	11,467,574	11,642,416
Interest expense	2,011,376	1,543,893	2,552,092	5,983,706	4,374,437

Net interest income

2,414,064	3,213,651	3,904,050	5,483,868	7,267,979
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Non-interest income

1,427,014	1,999,829	2,698,684	2,832,257	3,155,207
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Operating income

3,841,078	5,213,480	6,602,734	8,316,125	10,423,186
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Operating expenses

Operating expenses	1,850,801	2,288,448	2,739,635	3,500,673	4,320,742
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Credit impairment charges

463,484	316,640	258,151	297,485	1,092,873
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Operating expenses

2,314,285	2,605,088	2,997,786	3,798,158	5,413,615
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Profit Before Tax

1,526,793	2,608,392	3,604,948	4,517,967	5,009,571
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Income tax expense

441,075	744,474	897,811	1,481,173	1,772,270
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Profit for the year

1,085,718	1,863,918	2,707,137	3,036,794	3,237,301
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Less profit attributable to non-controlling interests

6,601	46,686	54,679	52,388	[86,080]
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Profit attributable to equity holders of the Bank

1,085,718	1,817,232	2,652,458	2,984,406	3,323,381
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Earnings Per Share (Shs)

2.75	4.60	5.54	6.03	6.12
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Dividend Per Share (Shs)

0.50	0.50	0.50	1.00	1.00
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OTHER DISCLOSURES

Non-performing loans and Advances

a) Non-performing loans and advances	1,548,270	1,570,797	1,961,277	2,332,701	4,520,926
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b) Allowance for impairment	1,134,091	1,420,444	1,690,526	1,652,986	2,592,033
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c) Net Non-performing loans and advances (a-b)	414,179	150,353	270,751	679,715	1,928,893
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Number of Employees

484	514	712	813	909
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Number of Branches

16	16	24	25	30
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KEY PERFORMANCE INDICATORS

Return on capital employed (ROCE)	22.48%	31.23%	34.26%	29.18%	28.51%
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Non-interest income to operating income	37.15%	38.36%	40.87%	34.06%	30.27%
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Non-performing loans to total loans	1.31%	0.43%	0.48%	0.95%	2.31%
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Return on total assets	3.21%	4.42%	4.56%	4.17%	4.14%
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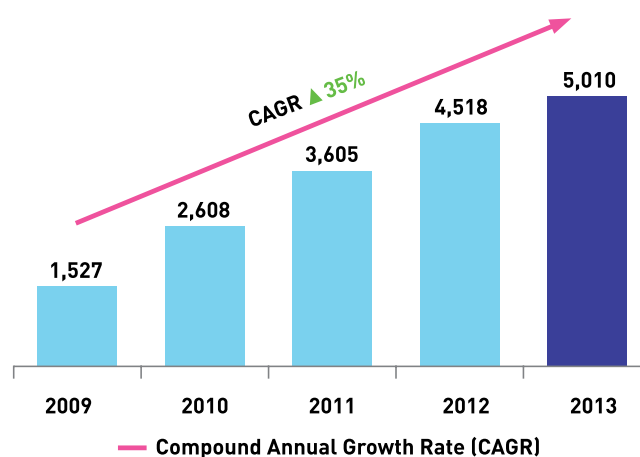
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DELIVERING ON OUR STRATEGIC OBJECTIVES

Profit Before Tax (PBT)

- NIC Bank Group aims to achieve consistent growth in profits by growing its core business units and diversifying its revenue sources.
- In 2013, PBT grew by 11% to Shs 5,010m, largely driven by a drop in the cost of funds.

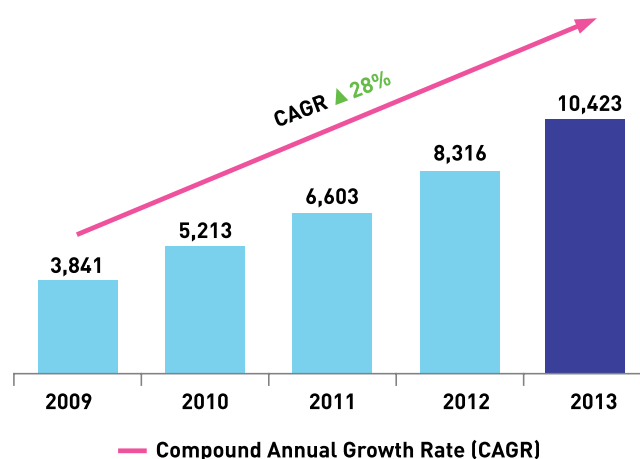
Profit Before Tax (Shs m)



Operating Income

- Operating Income increased by Shs 2,107m or 25% to Shs 10,423m in 2013.
- We have been growing consistently over the last three years.

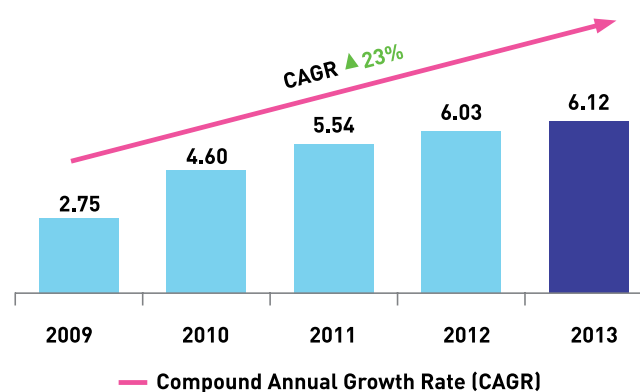
Operating Income (Shs m)



Earnings Per Share (EPS)

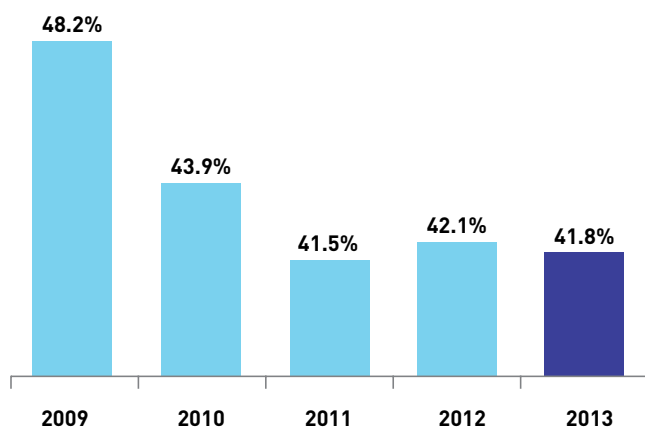
- EPS has grown consistently driven by steady growth in revenues whilst constantly simplifying our business model and investing in technology so as to increase efficiency and effectiveness and to make our business more agile.
- EPS grew from Shs 6.03 to Shs 6.12 in 2013. Net income attributable to equity holders increased to Shs 3,323m.

Earnings Per Share (Shs)



DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

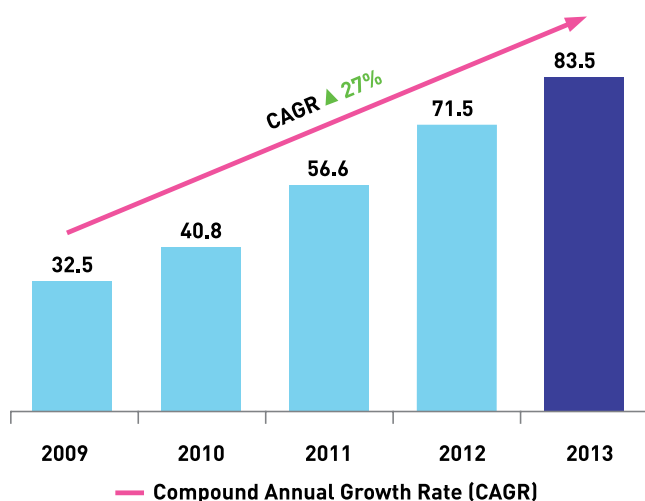
Productivity Ratio (Cost / Income Ratio)



Productivity Ratio (Cost / Income Ratio)

- Despite significant investments in new banking system and branch expansion, to boost the Group's strategic positioning, our productivity ratio remains one of the lowest in the industry. This reflects the incessant drive across the Group to effectively manage our cost

Loans and Advances to Customers (Shs b)

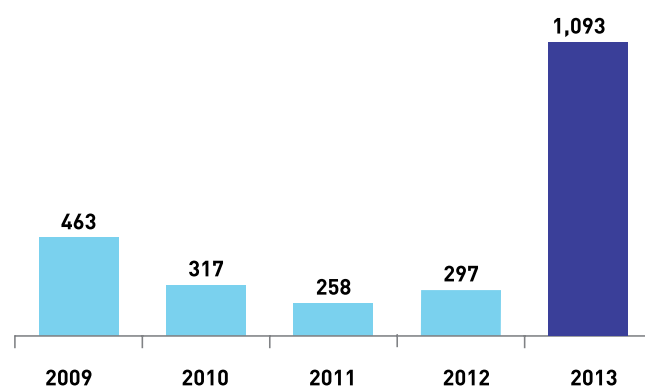


structure.

Loans and advances to customers

- Loans and Advances to customers have increased by 17% to Shs 83b in 2013, despite a slow start in the first half of the year before and immediately after the March, 2013 elections.
- All our lending business units have contributed positively to this growth.

Impairment on Loans & Advances (Shs m)



Impairments on Loans and Advances

- Impairments on loans and advances amounted to Shs 1.09b. This is reflective of the banking industry which recorded a significant decline in asset quality attributable to the high interest rate environment in the earlier part of the year and the government's delay in making payments to road contractors.
- NIC Bank Group's strong credit risk management culture, remains a key pillar of the Group's strategy.

BUSINESS REVIEW

CORPORATE GOVERNANCE

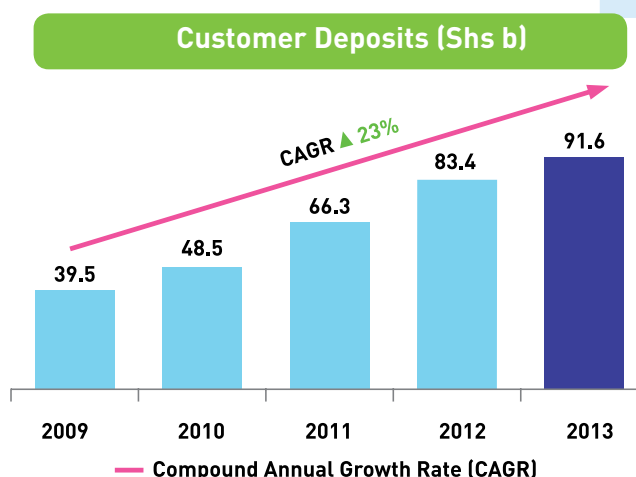
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DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

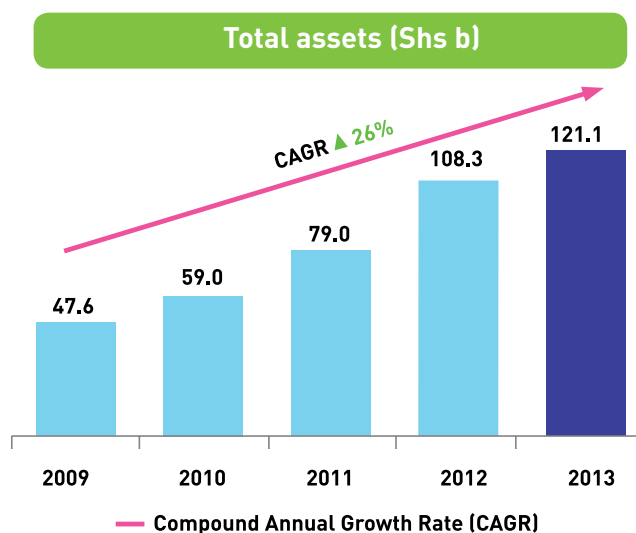
Customer deposits

- Growth in customer deposits, which is consistent with the Group's strategic objective to diversify its customer base, has over the years been driven mainly by the growth in deposit balances held by individuals, small businesses, government institutions and non-governmental institutions.
- In 2013, customer deposits recorded a 10% increase from Shs 83b in 2012 to Shs 92b in 2013 in line with the increase in loans and advances.
- Growth in customer deposits reflects the confidence that the general public has in the financial strength of NIC Bank Group.



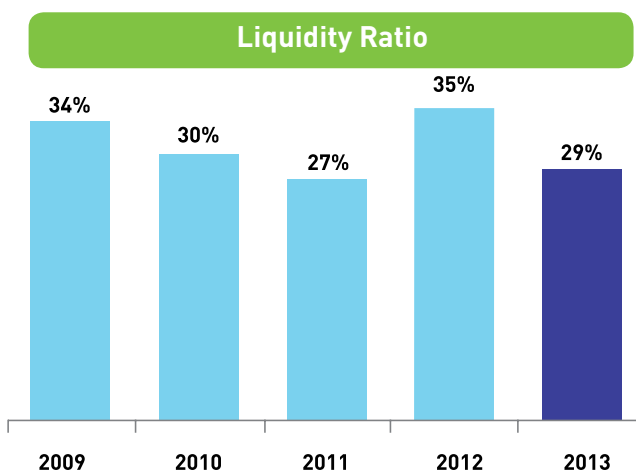
Total assets

- The Group's total assets have growth by 12% year-on-year to Shs 121b. This growth was mainly driven by the expansion of our lending book and our holdings of Treasury bills and bonds.
- The growth in assets was funded by an increase in customer deposits, and retained earnings.



Liquidity ratio

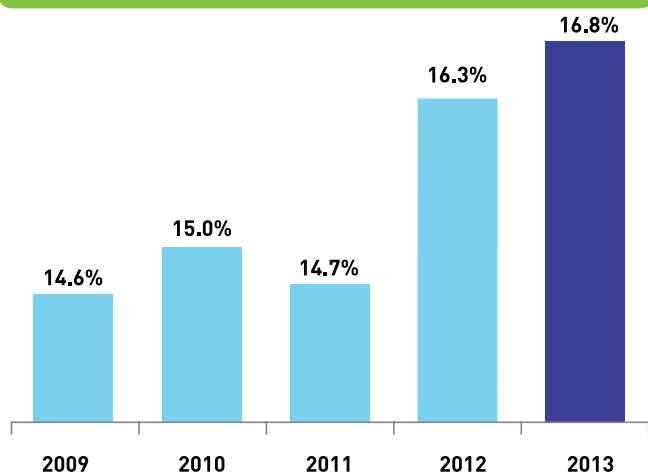
- The Group endeavors to build strong liquidity buffers to guard against unexpected funding difficulties.
- NIC Bank Group maintained its liquidity position well above the regulatory requirement.



DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

These trends are as shown hereunder:

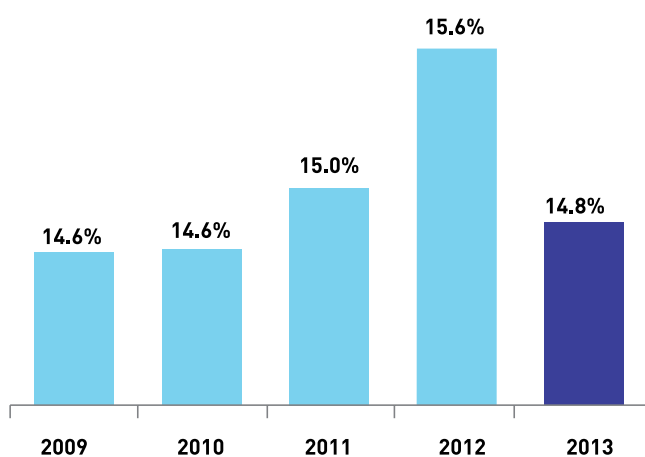
Core Capital/ Total Deposits ratio-Minimum 8%



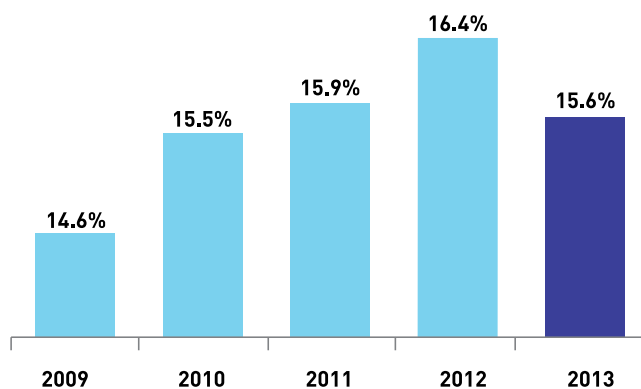
Capital Adequacy ratios

- The Group aims to strengthen its capital ratios to support investors' and depositors' confidence and provide greater operational and strategic flexibility.
- The capital adequacy ratios are in excess of the minimum thresholds as set by the Central Bank of Kenya.

Core Capital/ Risk Weighted Assets ratio-Minimum 8%



Total Capital/ Risk Weighted Assets ratio-Minimum 12%



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CHAIRMAN'S STATEMENT



It gives me great pleasure to present the NIC Bank Group Annual Report and Financial Statements for the year ended 31 December 2013.

ECONOMY AND BUSINESS ENVIRONMENT IN 2013

Kenya's economy faced various challenges in 2013 with a somewhat subdued first half of the year. The peaceful conduct of the general elections, orderly political transition and conducive macro-economic environment set the tone for a strong second half and overall the economy is estimated to have grown by about 4.5% compared to the 4.6% growth recorded in 2012.

On a sector basis, the financial, transport, telecommunication, construction, manufacturing and trade sectors were vibrant. The construction and real estate sectors slowed down before the general elections but rebounded in the second half of the year. The tourism and agricultural sectors however, recorded declines in their performance attributable to a lower number of tourism arrivals and erratic weather conditions respectively.

Regionally, economic integration efforts took center stage in 2013 with the East African states addressing policy and other structural issues in a bid to eliminate barriers to free trade and labour movement.

Kenya's inflation stood at 3.8% in January 2013 and rose to 8.3% in the third quarter primarily on account of the VAT Act which caused a spike in prices for several items that were previously exempt. Subsequent amendments to the Act excluded basic household commodities and inflation eased in the fourth quarter closing the year at 7.2%.

Over the course of the year, the Kenya Shilling remained fairly stable against all major currencies. It appreciated by 0.33% against the US Dollar (USD), 2.43% against the British Pound (GBP) and 4.99% against the Euro to close the year at 86.31 to the USD, 142.40 to the GBP and 119.22 to the Euro. The intervention of the Central Bank of Kenya (CBK) was critical for the stability of the Shilling during the lead up to the general elections when there was a risk of capital flight.

CHAIRMAN'S STATEMENT (Continued)

Diaspora remittances remained strong in 2013 despite sluggish economic activity in key source regions of North America and Europe. Foreign direct investment into the country was reported to have increased with energy and construction sectors being the major beneficiaries. This offered further support to the Shilling in the period. The growing international interest in Kenya in the energy, real estate and financial sectors is bound to keep the Shilling relatively stable in the medium term and it will receive a further strong boost should the Kenya Eurobond be issued as planned.

The monetary policy stance during the year was aimed at forestalling a possible slowdown in the run-up to and the aftermath of the March 2013 general elections. The Monetary Policy Committee (MPC) meeting held in January 2013 cut the Central Bank Reference (CBR) Rate by 1.5% to 9.5% and during the bi-monthly meeting in March 2013, the rate was retained at 9.5%. However, at the May 2013 meeting, the MPC cut the CBR Rate by a further 1% to 8.5% in a bid to re-ignite economic activity soon after the elections. The rate was retained in all the subsequent meetings in 2013.

During 2013, CBK enhanced its open market operations ensuring adequate liquidity to forestall spikes in interest rates while also enabling the Government to meet its borrowing demands. Consequently, the annual average Treasury Bill rates in 2013 were significantly lower at 8.9% for 91-days (12.8% in 2012), 9.3% for 182-days (13.6% in 2012) and 10.8% for 364-days (14.3% in 2012).

With regard to the performance of the capital markets, the Nairobi Securities Exchange (NSE) maintained its bullish run during the year. The bourse has been one of the best performers in the world with a return of 42% in 2013 as measured by the NSE All Share Index (NASI). Notwithstanding the profit taking in December 2013, the benchmark NSE-20 Share index gained 20% to close the year at 4,927 points after reaching a high of 5137 in November 2013. Cumulatively, the NSE-20 has gained 54% during the last two years. Equity turnover rose by 79% year on year to Shs.155 billion. Annual trading volumes surged to 7.6 billion shares, over 40% up from the 5.4 billion shares posted the previous year. Major gains were recorded in the telecommunication, manufacturing, construction and banking sectors. Market capitalization touched a high of Shs 1.9 trillion, approximately 50% of the GDP.

On bonds, the NSE yield curve experienced high volatility at the short end in 2013 which tracked short term monetary policy interventions by the CBK and was in most cases preferred by investors, especially when the Government offered higher returns for the short term papers than the longer term instruments. Consequently, the medium term rates remained relatively high with 5 year bond, 7 year bond and a 15 year bond closing the year at 11.9%, 12.4% and 13.4% respectively.

Due to the high volatility in rates, the secondary bond market witnessed reduced activity recording a turnover of Shs 451 billion in 2013 compared to Shs 550 billion in 2012, representing a decline of 18%. Sell-buy-back transactions, which were quite prominent in 2012, reduced drastically in 2013 owing to increased counter-party risk and improved liquidity in the banking sector that negated the need.

THE BANKING INDUSTRY AND REGULATORY ENVIRONMENT

The banking sector in Kenya reported improved performance in 2013. Key performance highlights in the sector as at the end of December 2013 are as follows:

- The balance sheet increased in size by 16.1% from Shs 2,354 billion in December 2012 to Shs 2,733 billion in December 2013. The major components of the balance sheet on the asset side were loans and advances, Government securities and placements, which accounted for 56.7%, 21.5% and 6.5% of total assets, respectively.
- The gross loans and advances rose from Shs 1,361 billion in December 2012 to Shs 1,605 billion in December 2013, a growth of 17.9%. The growth was attributed to increase in lending to households, trade, manufacturing and real estate sectors. Loans and advances net of provisions stood at Shs 1,548 billion in December 2013, up from Shs 1,311 billion registered in a similar period in 2012.
- Deposits from customers which form the main source of funding for the banking sector accounted for 72.5% of total funding liabilities. The deposit base grew by 12.4% from Shs 1,761 billion in December 2012 to Shs 1,980 billion in December 2013 largely supported by aggressive mobilization of deposits by banks, remittances and receipts from exports.
- The sector registered enhanced capital levels in December 2013 with total shareholders' funds growing by 18.9% from Shs 363 billion in December 2012 to Shs 431 billion in December 2013. As a result, the ratios of core and total capital to total risk-weighted assets increased from 18.9% and 21.9% in December 2012 to 19.5 % and 23.2 %, respectively.
- The value of gross non-performing loans (NPLs) grew by 30.9% from Shs 62 billion in December 2012 to Shs 81 billion in December 2013 and was attributed mainly to high interest rates and the reduced economic activities during the period towards and after the March 2013 general elections. Similarly, the ratio of gross NPLs to gross loans deteriorated from 4.5 % in December 2012 to 5.5 % in December 2013.

New CBK Prudential Guidelines requiring banks to have an enhanced capitalization position and strict risk management measures will take effect in January 2015 and are an important step towards a safer and stronger financial sector. These changes introduce new 'capital conservation buffers' which effectively increase the minimum capital requirements of commercial banks and places them in a better position to withstand adverse shocks to the financial system. They also strengthen corporate governance structures, enhance risk management processes and procedures, and restrict banks from engaging in some activities that are

CHAIRMAN'S STATEMENT (Continued)

considered more risky. The changes to the Prudential Guidelines also introduce new measures meant to protect the interests of banks' customers.

The NIC Bank Group welcomes these changes and has dedicated significant resources and attention to ensure that the new Guidelines are implemented, whilst at the same time ensuring that it continues to meet and exceed the evolving needs of its customers.

NIC BANK GROUP FINANCIAL RESULTS

The NIC Bank Group recorded a Profit Before Tax of Shs 5.0 billion for the year ended 31st December 2013 representing an increase of 11% from Shs 4.5 billion achieved in 2012.

Total income for the year was Shs 10.4 billion a growth of 25% over 2012. This growth was driven by several factors including a reduction in the cost of funds that saw net interest income grow by 33% to Shs 7.3 billion. Non funded income also grew, by 11%, to Shs 3.2 billion in line with the Group's strategy to diversify its revenue sources.

Total operating expenses, excluding provisions for loan losses, increased by 23% to Shs 4.4 billion, in line with the growth of the balance sheet. Other factors were the investment in new branches and technical support required after the implementation of the new T24 core banking system. Despite the increase in expenses, the Group's cost to income ratio remained at the same level as the prior year at 42% and continues to be one of the lowest in the market.

The Group's loan book as at 31 December 2013 stood at Shs 83.5 billion while customers' deposits with the Group closed the year at Shs 91.6 billion reflecting a 17% and 10% growth respectively over 2012.

The impairment on loans and advances for the Group amounted to Shs 1.09 billion as at 31 December 2013. This deterioration is reflective of the industry generally, which recorded a significant decline in asset quality attributable in part to the high interest rate environment in the earlier part of the year carried over from 2012 and the Government's delay in making payments to road contractors.

The Group's capital base closed the year 2013 at Shs 17.6 billion, a growth of Shs 2.1 billion over 2012, with key banking regulatory performance indicators in excess of the minimum thresholds set by the Central Bank of Kenya.

DIVIDEND AND BONUS ISSUE

With the strong performance of the NIC Bank Group during the year an interim dividend of Shs 0.25 per share (Shs 136 million) was declared and paid in October 2013 and now the Board of Directors recommends a final dividend of Shs 0.75 per share (Shs 407 million) bringing the total cash dividend for the year to Shs 542 million.

The Board also recommends a bonus issue in the proportion of one (1) new ordinary share for every ten (10) fully paid ordinary shares held.

The cash dividend and the bonus issue combined effectively represent a distribution of 24% of the profit after tax, equivalent to Shs 813 million. The balance of profit is retained to ensure the Group has sufficient levels of capital reserves in line with its growth strategy and regulatory requirements.

The recommended bonus issue has received the approval of the Capital Markets Authority.

SUBSIDIARIES AND DIVERSIFICATION

The growth and development of the subsidiary companies remains a key strategic objective and one that is aimed at broadening both the range of financial services offered to customers and enhancing diversity within NIC Bank Group.

NC Bank Uganda, NIC Capital (Investment Banking), NIC Insurance Agents (Bancassurance) and NIC Securities (Brokerage) all contributed positively to the Group's financial performance in 2013. The exception was NIC Bank Tanzania, which reported a net loss for the year.

The loss recorded by NIC Bank Tanzania was equivalent to Shs 395 million and compared to a profit of Shs 150 million reported in 2012. This loss was occasioned by a one time impairment provision for a number of non performing loans. Among the measures taken to address this situation and to restore profitability, the management of this subsidiary has been strengthened, including the appointment of a new Managing Director. Further, its Board of Directors approved a second tranche of the planned Rights Issue of TZShs 8.5 billion (Shs 528 million) with NIC Bank injecting its proportionate capital of TZShs 5.8 billion (Shs 366 million). With this new capital injection and the strengthened management team, the subsidiary is positioned for growth.

2013 was the second year of operations for NC Bank Uganda and it continued to exceed the investment's business plan projections by reporting a profit of the equivalent of Shs 2 million from a loss of Shs 24 million in the previous year.

CHAIRMAN'S STATEMENT (Continued)

The Group's investment bank, NIC Capital, performed very well in 2013 reporting a Profit Before Tax of Shs 103 million (compared to Shs 90 million in 2012). The subsidiary now holds a leading position in corporate finance advisory work, and continues to build significant market share in both the equity and debt capital markets, locally and regionally.

The stock brokerage, NIC Securities also recorded improved performance in 2013 with a Profit Before Tax of Shs 47 million (compared to Shs 31 million in 2012). Under the CBK's incidental business guidelines, NIC Securities will use the Group's extended network and is set to increase its equities trading share of the market.

The Bancassurance subsidiary, NIC Insurance Agents, posted a commendable Profit Before Tax of Shs 31 million (compared to Shs 19 million in 2012). The business has acquired real time software that will enable it to automate its processes and improve customer service. The business is also expanding its range of insurance products and is acquiring the skills and expertise it needs to provide a complete suite of insurance brokerage products.

SERVICE DELIVERY AND PRODUCTS

In 2013, the Group continued with the roll out of its branch expansion programme and as planned, new branches were opened along Kenyatta Avenue in Nairobi, ABC Place in Westlands, Thika Road and Changamwe in Mombasa. NIC Bank Tanzania moved to a new Head Office Branch on Ohio Street and opened an additional branch in Kariokoo Dar-es-Salaam. The Group's network now stands at 30 branches across the region.

The implementation of the T24 core banking system throughout the NIC Bank Group has greatly enriched the customer's experience and cemented the 'One Stop Shop' concept. Customers are served under one platform across the region and are able to seamlessly operate their accounts and access the Group's services from any branch. The Group has also been able to centralize some of its operations away from branches enhancing operational efficiencies and leading to cost savings.

In addition the system has enabled the Group's development of new products and enhancements to its alternative banking channels. The enrichment of the NIC online banking platform offers the Group's customers a more satisfying and unique experience.

Recently, the Bank announced a strategic shift towards a new way of banking – branded NOW banking in answer to the emerging 'NOW' generation that demands everything at their fingertips, now. Through the 'MOVE to NOW' initiative, the Bank is focusing on developing innovative products and services that can be delivered in a fast and efficient manner such as the NICNOW Mobile application, online account opening, online cheque deposit and full online banking. In extending this campaign further NOW banking has become the lens through which all the Bank's products and services are evaluated.

EMPLOYEES AND VALUES

As at 31 December 2013 the employees of NIC Bank Group numbered 909 persons. The Group is committed to employ the best talent in the market, to provide the training, exposure and environment required to develop and deliver superior products and services, to remunerate competitively and to reward performance. The Board is most appreciative of the skills, effort and dedication of the NIC team across the region that has seen the Group consistently record strong financial results in such a challenging and competitive market.

While financial strength, quality assets and a solid strategy are critical elements of success, it is also important to synthesize those elements with a set of core values that are shared by all employees. The Group's Mission is to be the leading financial services provider to its target market. It is committed to the highest standards of service and to exceed stakeholders' expectations. The Group's Values are Integrity, Passion, Responsiveness, Innovation and Professionalism. The Mission and Values define and unite NIC Bank Group as an organization.

CORPORATE GOVERNANCE & RECOGNITION

Good corporate governance is essential for sustainable business performance and the NIC Bank Group is committed to adhering to the highest standards of corporate governance. The Group has in place comprehensive corporate governance structures that are regularly reviewed so as to ensure adherence to best practice and high ethical standards as well as compliance with formal laws and guidelines that are issued by the different bodies that regulate its business and operations.

The Group's governance structures and processes are set out in greater detail in the Corporate Governance section of this report.

I am pleased to report that during 2013, NIC Bank Group's commitment to Corporate Governance once again received industry wide recognition and awards:

- NIC Bank was named the overall 2013 Champion of Governance, the award co-sponsored by the Institute of Certified Public Secretaries of Kenya (ICPSK), Central Bank of Kenya, the Retirement Benefits Authority and the Insurance Regulatory Authority amongst others.

CHAIRMAN'S STATEMENT (Continued)

- The Bank also emerged as a leader in the Finance and Investment sector as the 2013 Champion of Governance. As per the ICSPK set criteria, the Champions of Governance award is intended to celebrate and recognize organizations that exhibit the highest level of best practices on Corporate Governance.
- NIC Bank was the winner in the Banking category and first runner up in the Corporate Governance category in the Financial Reporting (FiRe) Awards promoted jointly by the Nairobi Securities Exchange (NSE), the Institute of Certified Public Accountants of Kenya (ICPAK), and the Capital Markets Authority (CMA).
- In December 2013, NIC Capital won The Investment Bank of the Year Award and was the second runner up in the Lead Transaction Advisor category at the Capital Markets Awards, further attesting to the confidence that the capital markets and clients have in the advice we give.

SOCIAL RESPONSIBILITY

The NIC Bank Group is committed to corporate social responsibility – which encompasses the way it interacts with stakeholders to meet its social, economic, environmental and ethical responsibilities. This is premised on the fact that there is a strong link between the wellbeing of the societies, communities and environment within which it operates and the success of NIC Bank Group.

With there being so many causes to be addressed, NIC Bank Group has decided to concentrate on supporting initiatives in the areas of Education, Environment and Sports, as well as other emerging needs.

Under education, NIC Bank has partnered with various institutions including Palm House Foundation and Edumed Trust that further the education of the less privileged and gifted children in Kenya. By supporting these children through secondary school and providing mentorship, NIC Bank Group gives them a chance to make a better life for themselves and their families.

The Group also supports Junior Achievement Kenya (JAK) which is a member of Junior Achievement Worldwide, an organisation that helps prepare young Kenyans for the job market through participation in various programs designed to develop job skills, enhance financial literacy and develop entrepreneurial skills.

In 2013, among other causes, the Group also supported:

- The Red Cross efforts towards victims of the Westgate attack
- The Rhino Charge
- The Ahadi Trust anti jigger campaign

NIC Bank Group further offers internship programs to students annually. These internships provide an environment where youth gain exposure on how complex organization are managed.

BOARD OF DIRECTORS AND MANAGEMENT

In May 2013 Mr James Macharia resigned as Group Managing Director following his appointment by His Excellency the President as Cabinet Secretary for Health. The Board congratulates Mr Macharia on his appointment and wishes him every success in his very important national responsibilities. We also highly appreciate his service to the NIC Bank Group since 2005, during which time the Bank and its subsidiaries experienced great growth and expansion.

In September 2013, the Board appointed Mr John Gachora as the new Group Managing Director. He brings a wealth of experience having worked in South Africa and the USA for several leading financial institutions at which he held various senior positions. We are confident that under his leadership the Group will build on the success achieved to date.

In November 2013, Mr Kairo Thuo joined the Board as a non-executive director. Mr. Thuo is both a lawyer and an accountant by profession and runs his own consultancy business. He was previously responsible for establishing and running the Tax Transaction Advisory Group at Deloitte and Touche.

We welcome the new directors who further strengthen the Board and look forward to their contribution.

WELL POSITIONED FOR GROWTH

The outlook for 2014 reflects a mixed picture. The new Government is settling into its second year, and is expected to make progress in implementing its various initiatives and infrastructure projects. Recent discoveries, including significant oil reserves and a vast new water aquifer, promise to drive economic development in the short to medium term.

However, there will also be challenges in amongst other areas in securing the country against terrorist and criminal elements, in enforcing a culture of integrity and with the continued implementation of the devolved system of governance and the fiscal risk

CHAIRMAN'S STATEMENT (Continued)

emanating from the high wage bill and poor absorption of the budget funds. The country remains vulnerable to both internal and external shocks.

Notwithstanding, NIC Bank Group will seek to exploit emerging opportunities that will maintain and enhance the value of the franchise. This will be done within the framework of the Group's strong risk management structures and processes.

APPRECIATION

The record performance of the Bank and Group overall in 2013 is the result of the input of our many stakeholders.

The Board, Management and Staff appreciate the loyalty and confidence of our over 25,000 shareholders. We are fully conscious of the trust placed in us and are determined to remain worthy of the same.

Equally we recognise and greatly appreciate the confidence placed in the NIC Bank Group by our customers. We are always conscious that they have many choices and options and are therefore committed to provide the highest standards of service, innovative products and solutions.

We highly value the co-operation availed to the Group by our business partners, including our regulators, the Central Bank of Kenya, Bank of Tanzania, Bank of Uganda, Nairobi Securities Exchange, the Capital Markets Authority and the Insurance Regulatory Authority.

As mentioned earlier, the financial results for 2013 reflect the strong performance, resourcefulness and commitment of the NIC Bank Group's Management and Staff. On behalf of the Board I want to thank each and every one of them for their contribution to the success of the Group.

And finally I thank my fellow Directors for their devotion and dedication throughout the year as they served in various committees and on the Board. Their advice and guidance in the strategic direction of the NIC Group played a great role in achieving the commendable financial results.

J P M Ndegwa
Chairman

28 February 2014

TAARIFA YA MWENYEKITI

Ninaona fahari kubwa kuiwasilisha Ripoti na Taarifa ya Kifedha ya Shirika la NIC Bank Group ya mwisho wa mwaka uliomalizikia tarehe 31 Desemba 2013.

UCHUMI NA MAZINGIRA YA KIBIASHARA KATIKA MWAKA WA 2013

Uchumi wa Kenya ulikabiliwa na changamoto kadhaa katika mwaka wa 2013 ambao ulishuhudia vizingiti mbalimbali kwenye kipindi cha nusu ya kwanza lakini kukamilika kwa uchaguzi mkuu uliokuwa wa amani, mapokezo salama ya utawala mmoja hadi kwa mwingine pamoja na mazingira bora ya uchumi-mkuu, yaliandaa msingi thabiti katika kipindi cha pili cha mwaka huo na hivyo kwa jumla uchumi unakadiriwa kukua kwa karibu 4.5% ukilinganishwa na takribani ule wa 4.6% mnamo mwaka wa 2012.

Kwa mtazamo wa kila sekta, sekta kama vile fedha, usafiri, mawasiliano ya simu, ujenzi, utengenezaji wa bidhaa na sekta ya kibiashara, uchumi ulitia fora katika mwaka wa 2013. Sekta za ujenzi na makao zilidorora kabla ya uchaguzi mkuu lakini zikaimarika katika nusu ya pili ya mwaka wa 2013. Hata hivyo, matokeo ya sekta za utalii na kilimo yalididimika hususan kutokana na idadi ndogo ya watalii waliofika pamoja na hali mbaya ya hewa, mtawalia.

Katika upeo wa ukanda huu wa Afrika Mashariki, jitihada za kuwianisha uchumi zilizingatiwa zaidi katika mwaka 2013 ambapo Jumuiya ya Afrika Mashariki ilitathmini sera na masuala mengine ya kimfumo kwa lengo la kuondoa vikwazo vinavyotinga biashara na usafiri huru baina ya mataifa wanachama ya jumuiya hii.

Mfumko wa bei nchini Kenya ulifika 3.8% mwezi Januari 2013 lakini ukaongezeka hadi 8.3% katika robo ya tatu kutokana hasa na Sheria ya ushuru wa thamani (VAT) iliyopandisha bei za bidhaa mbalimbali ambazo hapo awali hazikutozwa ushuru huo wa thamani. Marekebisho ya Sheria hiyo yaliyofuatia yaliondolea mbali bidhaa za kimsingi za nyumbani ushuru huo na hivyo mfumko ukarudi chini katika robo ya nne ya mwaka hadi kufunga kwa 7.2%.

Katika mwaka wa 2013, thamani ya shilingi ya Kenya ilibaki imara dhidi ya sarafu zote kuu. Iliimarika kwa asilimia 0.33% dhidi ya Dola ya Marekani (USD), 2.43% dhidi ya Pauni ya Uingereza (GBP) na 4.99% dhidi ya Euro ambapo ilifunga mwaka kwa Ksh86.31 ikilinganishwa na Dola ya Marekani (USD), shilingi 142.40 GBP na shilingi 119.22 ukilinganisha na Euro. Kuingilia kati kwa Benki Kuu ya Kenya (CBK) kulikuwa muhimu katika uimarikaji wa Shilingi katika siku zilizokaribia uchaguzi mkuu pale ambapo palikuwapo na hatari ya kupanda kwa mtaji.

Pesa zinazotumwa nchini na Wakenya wanaoishi katika nchi za kigeni zilibaki imara katika mwaka 2013 licha ya shughuli za kiuchumi kujikokota katika mataifa makubwa kiuchumi, hususan kama yale ya Amerika Kaskazini na Uropa. Uwekezaji wa moja kwa moja kutoka mataifa ya kigeni uliripotiwa kuongezeka huku sekta za kawi na ujenzi zikinufaika zaidi. Hali hii ilisaidia sana Shilingi kukaa imara katika kipindi hicho. Kuzidi kwa mvuto wa Kenya kimataifa katika sekta za kawi, ujenzi wa nyumba za makao na fedha kuna uwezo mkubwa wa kudumisha uimarikaji kiasi wa Shilingi katika kipindi cha wastani na pia inatazamiwa kuendelea kuimarika iwapo hati za dhamana za Kenya Eurobond zitauzwa kama ilivyopangwa.

Msimamo wa sera ya pesa katika mwaka 2013 ulilenga kuondoa kudorora ambako kulitazamiwa baada ya uchaguzi mkuu wa Machi 2013. Mkutano wa Kamati ya Sera ya Kifedha (MPC) uliofanyika Januari 2013 ulipunguza Kiwango cha Ukopeshaji cha Benki Kuu (CBR) kwa 1.5% hadi kufika 9.5% na katika mojawapo ya mikutano ambayo hufanyika mara mbili kwa mwezi, mnamo Machi 2013, kiwango hicho kilibakizwa pale pale kwenye kiwango cha 9.5%. Hata hivyo, katika mkutano mmoja wa Mei 2013, MPC ilipunguza Kiwango hicho cha CBR kwa 1% zaidi na kutua katika 8.5%, hizi zikiwa jitihada za kuimarisha tena shughuli za kiuchumi punde tu baada ya uchaguzi mkuu. Kiwango hicho kilibakizwa katika mikutano yote iliyofuatia mwaka 2013.

Katika mwaka wa 2013, CBK iliboresha shughuli zake za soko la wazi kwa kuhakikisha kuwa pana pesa za kutosha ili kufisha mfumko wa kiwango cha riba na wakati huo huo kuwezesha Serikali kutimiza matakwa yake ya kukopesha. Kwa sababu hiyo, viwango vya wastani vya Hawala za Kifedha za Wizara ya Fedha katika mwaka wa 2013 vilishuka kwa kiasi hadi kufika 8.9% katika siku 91 (12.8% mnamo 2012), 9.3% katika siku 182 (13.6% mnamo 2012) na 10.8% kwa siku 364 (14.3% mwaka 2012).

Kwa kurejelea matokeo ya masoko ya hisa, Soko la Hisa la Nairobi (NSE) lilidumisha ukuaji wake katika mwaka huo. Soko hilo limekuwa miongoni mwa yale yaliyofanya vyema zaidi duniani huku likisajili ukuaji wa 42% katika mwaka wa 2013 kama ilivyotathminiwa na kitengo cha NSE All Share Index (NASI). Kando na riba iliyopatikana kufikia Desemba 2013, kigezo cha 'NSE-20 Share index' kilipata ufanisi wa 20% na hivyo kufunga mwaka kwa pointi 4,927 baada ya kufikia upeo wa 5137 mnamo Novemba 2013. Kwa jumla, NSE-20 imeimarika kwa 54% katika muda wa miaka miwili iliyopita. Mapato ya jumla ya hisa zisizokuwa na riba yalikuwa kwa 79% kila mwaka na kufika Sh155 bilioni. Thamani ya jumla ya kibiashara ilikuwa hadi kufika hisa 7.6 bilioni, ikiwa ni 40% zaidi ya hisa 5.4 bilioni zilizopatikana mwaka uliotangulia. Mafanikio makubwa yalipatikana katika mawasiliano ya simu, utengenezaji wa bidhaa, ujenzi na sekta za beki. Thamani ya soko la hisa ilifikia upeo wa juu wa Sh1.9 trilioni, ikiwa ni takribani 50% ya Jumla ya Mapato ya Kenya (GDP).

Kuhusu bondi au hati za dhamana, jedwali la NSE lilishuhudia kilele cha kutatarika mwishoni mwa mwaka 2013, jedwali lililokuwa likifuatilia sera za muda mfupi za pesa zilizowekwa na CBK na mara nyingi lilipendelewa na wawekezaji, hususan pale ambapo Serikali ilitoa faida kuu katika hawala za kipindi kifupi kuliko za kipindi kirefu. Kwa hali hiyo, viwango vya muda wa wastani vilibaki juu hasa katika hati za hawala za miaka 5, miaka 7 na miaka 15, na hivyo kufunga mwaka kwa 11.9%, 12.4% na 13.4%, mtawalia.

TAARIFA YA MWENYEKITI (Continued)

Kwa sababu ya mabadiliko makuu katika viwango vya riba, soko la upili la hawala za kifedha lilishuhudia kupunguka kwa shughuli na hivyo kupata jumla ya Sh451 bilioni mwaka 2013 ikilinganishwa na Sh550 bilioni mnamo 2012, hii ikiwakilisha mapungufu ya 18%. Shughuli za fedha za Uza-nunua-tena (Sell-buy-back), ambazo zilikuwa maarufu zaidi mnamo 2012, zilipungua zaidi mnamo 2013, hususan kutoka hatari za ubadilishanaji wa kati ya watu wawili na kuimarika kwa fedha katika sekta za benki kulififisha hali hiyo.

MAZINGIRA YA BIASHARA YA BENKI NA SHERIA ZAKE

Sekta ya benki nchini Kenya ilipata matokeo yaliyoimarika katika mwaka 2013. Matokeo makuu bainifu katika sekta hii kufikia mwisho wa Desemba 2013 ni kama yafuatayo:

- Mizania ama loho iliongezeka kwa kiwango cha 16.1% kutoka Sh2,354 bilioni mnamo Desemba 2012 hadi Sh2,733 bilioni mnamo Desemba 2013. Sehemu kuu za mizania au loho hiyo katika upande wa amali, ilikuwa ni mikopo na arubuni, hisa za Serikali na utoaji, ambazo zilichangia asilimia 56.7%, 21.5% na 6.5% ya jumla ya amali hizo, mtawalia.
- Jumla ya mikopo na arubuni iliongezeka kutoka Sh1,361 bilioni mwezi Desemba mwaka 2012 hadi Sh1,605 bilioni mwezi Desemba 2013, huo ukiwa ni ukuaji wa 17.9%. Ukuaji huo unafungamanishwa na ongezeko katika ukopesaji wa watu binafsi, wanabiashara, sekta za utengenezaji bidhaa na ujenzi wa nyumba za makazi. Mikopo na arubuni baada ya kuondoa madeni yaliyojazwa na shirika hili ilifikia Sh1,548 bilioni mwezi Desemba 2013, kutoka Sh1,311 bilioni zilizopatikana katika kipindi kama hicho mnamo 2012.
- Akiba kutoka kwa wateja ambazo huunda sehemu kuu ya mapato ya fedha kwa sekta ya benki, zilichangia kwa 72.5% ya jumla ya gharama za ufadhili. Msingi wa akiba hiyo ulikuwa kwa asilimia 12.4% kutoka Sh1,761 bilioni mnamo Desemba 2012 hadi Sh1,980 bilioni mwezi Desemba 2013, mchango mkuu ukitokana na ukakamavu wa benki katika kuhimiza uwekaji akiba katika benki, malipo yanayolipwa na uhifadhi wa risti kutoka kwa bidhaa zinazouzwa nje (mahurujii).
- Sekta hii ilifaulu kupata viwango vikuu vya mtaji mwezi Desemba 2013 ambapo jumla ya fedha za wenyehisa zilikikua kwa 18.9% kutoka Sh363 bilioni mwezi Desemba 2012 hadi Sh431 bilioni mwezi Desemba 2013. Kwa sababu hiyo, ngawira ya mtaji mkuu na jumla ya mtaji dhidi ya milki zilizokwepa hatari, ziliongezeka kutoka 18.9% na 21.9% mnamo Desemba 2012 hadi 19.5% na 23.2%, mtawalia.
- Thamani ya jumla ya mikopo isiyolipwa (NPLs) iliongezeka kwa 30.9% kutoka Sh62 bilioni mnamo Desemba 2012 hadi Sh81 bilioni mnamo Desemba 2013 na hii ilichangiwa pakubwa hasa na viwango vikuu vya riba na upungufu wa shughuli za kiuchumi katika kipindi kilichokaribia uchaguzi mkuu wa Machi 2013. Vivyo hivyo, ngawira ya jumla ya NPLs dhidi ya jumla ya mikopo ilishuka kutoka asilimia 4.5% mwezi Desemba 2012 hadi 5.5% mnamo Desemba 2013.

Sheria na mwongozo mpya wa CBK, almaarufu kama "CBK Prudential Guidelines" unazozitaka benki zote ziwe thabiti katika thamani ya hisa na hatua za dhati za kukabiliana na hatari, zitatekelezwa itakapofika mwezi Januari mwaka wa 2015 na hii ikiwa ni hatua mojawapo muhimu katika kuwepo kwa sekta salama na imara ya kifedha. Mabadiliko haya yataanzisha 'kinga za uhifadhi wa mtaji', ambayo yataongeza kiwango cha mtaji wa chini sana wa benki za kifedha na kuziweka katika nafasi nzuri ya kuhimili mapigo makuu kwenye mfumo wake wa kifedha. Pia huwa zinaimarisha mifumo ya usimamizi ya mashirika ya kibiashara, kuimarisha mchakato na kanuni za ukabilianaji na hatari, pamoja na kuzuia benki kujiingiza katika shughuli fulani ambazo huonekana kuwa zenye hatari kubwa. Mabadiliko hayo ya miongozo ya kimsingi "Prudential Guidelines" pia yatazua hatua mpya za kuinga maslahi ya wateja wa benki.

Shirika la NIC Bank Group linakumbatia mabadiliko haya na hivyo limeelekeza rasilimali za kutosha pamoja na uzingativu wake mkuu ili kuhakikisha kwamba Sheria hizo mpya zimatekelezwa vilivyo, huku wakati huo huo likiendelea kufikia na hata kuzidisha utoaji wake wa huduma tofauti tofauti kwa wateja wake.

MATOKEO YA KIFEDHA YA NIC BANK GROUP

Shirika hili la NIC Bank Group liliunda Faida Kabla ya Ushuru ya Sh5.0 bilioni katika mwaka uliomalizikia Desemba 2013, hii ikiwakilisha 11% kutoka Sh4.5 bilioni zilizopatikana katika mwaka wa 2012.

Jumla ya mapato katika mwaka huo yalikuwa Sh10.4 bilioni hii ikiwa ni ukuaji wa 25% ukilinganisha na mwaka 2012. Ukuaji huu ulichangiwa pakubwa na sababu kadhaa ikiwemo upunguaji katika gharama za fedha, hali ambayo ilipelekea kukua kwa mapato ya riba kwa 33% hadi kufikia Shs. 7.3 bilioni. Hali kadhalika, mapato-bila-udhamini yaliwa kwa 11% hadi Sh3.2 bilioni kuambatana na mikakati ya Shirika hili kwa lengo la kupanua njia zake za uundaji wa mapato.

Jumla ya gharama za kuendesha biashara, bila kujumuisha fedha za kujaza mikopo iliyopotea, iliongezeka kwa 23% hadi Sh4.4 bilioni kuambatana na ukuaji wa mizania ama loho. Sababu nyingine zilikuwa uwekezaji katika matawi mapya na msaada wa kiufundi uliohitajika baada ya utekelezaji wa mfumo mpya wa benki unafahamika kama T24. Licha ya kuongezeka kwa gharama, ngawira ya shirika hili dhidi ya mapato ilibakia sawa kama ilivyokuwa mwaka uliotangulia na uliosimama katika 42% na inaendelea kuwa miongoni mwa zile zilizo chini sana katika soko.

TAARIFA YA MWENYEKITI (Continued)

Madaftari ya mikopo ya shirika hili kufikia tarehe 31 Desemba 2013 yalifikia Sh83.5 bilioni huku akiba za wateja katika Shirika hili ikifunga mwaka ikiwa imegonga Sh91.6 bilioni inaashiria ukuaji wa 17% na 10% mtawalia katika mwaka 2012.

Kiwango cha mikopo na arubuni isiyolipika kwa Shirika hili kilikuwa ni Sh1.09 bilioni kufikia tarehe 31 Desemba 2013. Uharibifu huu unaakisi hali ilivyo katika sekta hii kwa jumla, sekta iliyopata kushuka kiasi kwa ubora wa amali hali inayohusishwa kwa kiasi fulani na mazingira ya juu ya riba katika sehemu za kwanza za mwaka kulikovushwa mwaka 2012 na kadhalika uchelewaji wa Serikali kulipa wanakandarasi wa barabara.

Mtaji wa shirika hili ulifunga mwaka 2013 ukiwa Sh17.6 bilioni, ukuaji wa Sh2.1 bilioni katika mwaka 2012, huku vigezo vya matokeo muhimu katika udhibiti wa benki vikionyesha mikondo ya kupendeza.

MGAO NA UTOAJI WA BONASI

Kwa matokeo hayo bora ya NIC BankGroup katika mwaka huo, mgao wa muda wa Sh0.25 kwa kila hisa (Sh136 milioni) ulitangazwa na kutolewa mnamo Oktoba 2013 na sasa Bodi ya Wakurugenzi Wakuu inapendekeza mgao wa mwisho wa Sh0.75 kwa kila hisa (Sh407 milioni) na kufanya jumla ya pesa za mgao katika mwaka huo kuwa Sh542 milioni.

Bodi hii pia inapendekeza kutolewa kwa bonasi katika viwango vya hisa moja (1) mpya ya kawaida kwa kila hisa kumi (10) za hisa za kawaida zinazomiliwa na zilizolipwa kikamilifu.

Utolewaji wa pesa za mgao na bonasi zikijumuishwa vyema zinawakilisha usambazaji wa 24% ya faida baada ya ushuru, sawa na Sh813 milioni. Salio la faida hiyo hubakishwa ili kuhakikisha kuwa Shirika lina hifadhi yakutosha ya mtaji ili kukidhia haja ya mikakati yake na pia kutosheleza mahitaji ya kanuni za sekta hiyo.

Pendekezo la kutolewa kwa bonasi tayari limeidhinishwa na Mamlaka ya Masoko ya Hisa.

MASHIRIKA-TANZU NA UPANUZI

Ukuaji na ustawi wa kampuni tanzu unabaki kuwa lengo kuu la mikakati muhimu na ambao unalenga kupanua huduma nyingi za fedha zinazotolewa na wateja na hivyo kuboresha mikakati yake ya upanuzi katika usimamizi wa NIC Bank Group.

NC Bank Uganda, NIC Capital (Investment Banking), Na agenti wa NIC Insurance (Bancassurance) pamoja na NIC Securities (Madalali), kwa jumla zilichangia kwa ufanisi kwenye matokeo ya fedha ya Shirika katika mwaka wa 2013. Tofauti pekee ilishuhudiwa katika NIC Bank Tanzania ambayo ilipata hasara baada ya kukatwa gharama za mwaka unaotathminiwa.

Hasara iliyopatikana katika NIC Bank Tanzania ilikuwa sawa na Sh395 milioni ukilinganisha na faida ya Sh150 milioni iliyopatikana mwaka 2012. Hasara hii ilitokana hasa na ulipaji wa fedha ili kujaza mapengo yaliyoachwa na madeni yasiyolipika. Miongoni mwa hatua zilizochukuliwa ili kukabiliana na hali hii na pia kurejesha upatikanaji wa faida, usimamizi wa utanzu huu umeimarishwa, ikiwa ni pamoja na uteuzi wa Mkurugenzi Mkuu mpya. Aidha, Bodi yake ya Wakurugenzi Wakuu iliidhinisha awamu ya pili ya Utoaji hisa kwa Umma wenye thamani ya TZSh8.5 bilioni (Sh528 milioni) huku Benki ya NIC ikichangia mtaji wake sawia wa TZSh5.8 bilioni (Sh366 milioni). Kwa kuwekeza huko na kuimarisha kikosi ya mameneja wake, utanzu huo umepewa bendera na kuelekezwa kwenye mkondo wa ukuaji.

2013 ulikuwa mwaka wa pili wa utendakazi wa NC Bank Uganda na iliendelea kuyapita matarajio ya mipango ya uwekezaji wa biashara kwa kupata faida sawa na Sh2 milioni kutoka kwa hasara ya Sh24 milioni katika mwaka uliotangulia.

Benki ya uwekezaji ya shirika hili, NIC Capital, ilifanya vyema zaidi mwaka 2013, kwa kutangaza Faida ya Kabla ya Ushuru ya Sh103 milioni (ukilinganisha na Sh90 milioni katika mwaka wa 2012). Utanzu huu sasa unashikilia nafasi bora ya uongozi katika jukumu la ushauri wa kifedha unaotolewa na mashirika, na unaendelea kujenga himaya mpya kwenye masoko yote mawili ya hisa zisizo na riba katika muda mfupi na soko la mtaji la hisa, hapa nchini na hata katika ukanda wa Afrika Mashariki.

Kitengo cha Udalali kwenye soko la Hisa na kadhalika katika NIC Securities pia zilipata matokeo yaliyoimarika katika mwaka wa 2013 kwa kurekodi Faida Kabla ya Ushuru ya Sh47 milioni (ikilinganishwa na Sh31 milioni mwaka 2012). Chini ya muongozo wa CBK wa hali ya kibiashara, NIC Securities itatumia mtandao mkubwa wa Shirika hili na pia inapanga kuongeza hisa zake zisizokuwa na faida katika muda mfupi kwenye soko.

Utanzu wa Bancassurance, NIC Insurance Agents, zilipata Faida nzuri ya Kabla ya Ushuru ya Sh31 milioni (ikilinganishwa na Sh19 milioni za mnamo 2012). Biashara hii imejinyakulia programu ya kompyuta itakayoiwezesha kuendesha kimtambo harakati zake na kuimarisha huduma kwa wateja. Biashara hii pia inazidi kupanua huduma zake za bima ambazo zinaendelea kuwapatia maarifa ya kutosha na utaalamu unaohitajika katika kutoa huduma zilizokamilika za bima.

UTOAJI HUDUMA NA BIDHAA

Mnamo mwaka wa 2013, Shirika hili liliendelea kuzindua mpango wake wa kuanzisha matawi mapya na kama ilivyopangwa matawi hayo mapya yalifunguliwa katika barabara ya Kenyatta Avenue jijini Nairobi, ABC Place eneo la Westlands, Thika Road na Changamwe mjini Mombasa. NIC Bank nchini Tanzania iliamia kwenye tawi la afisi yake Kuu katika barabara ya Ohio Street na

TAARIFA YA MWENYEKITI (Continued)

kufungua matawi zaidi katika eneo la Kariokoo jijini Dar es Salam. Shirika hili la NIC Bank Group kwa sasa lina matawi 30 katika ukanda mzima wa Afrika Mashariki.

Utekelezaji wa mfumo wa T24 katika tanzu na matawi yote ya shirika la NIC Bank Group umeimarisha pakubwa welewa wa wateja na kufikia wazo la 'Duka lililo na Bidhaa Zote'. Wateja wanahudumiwa chini ya mfumo mmoja kote katika ukanda huu na wana uwezo wa kuendesha akaunti zao moja kwa moja na kupata huduma za Shirika kutoka tawi lolote liwe. Shirika hili pia limeweza kuendeshea baadhi ya huduma zake katika utaratibu mmoja nje ya matawi maalum na hivyo kuwezesha utendakazi bora hali inayopelekea kupungua kwa gharama.

Fauka ya hayo, mfumo huo umewezesha ubunifu wa huduma mpya katika Shirika hili na hivyo kuimarisha njia mpya na mabadala za huduma za benki. Kujiimarisha kwa NIC kwenye shughuli za benki za mtandaoni kunawapa wateja wa Shirika hili huduma inayoridhisha na ya kipekee.

Hivi majuzi tu, Benki hii ilitangaza uhamaji mahususi wa hadi njia mpya ya shughuli za benki – almaarufu "NOW banking" katika kuitikia mwito wa kizazi ibuka cha 'NOW' ambacho kinahitaji kila kitu kiwemo kwenye viganja vyake, sasa. Kupitia jitihada hii ya 'MOVE to NOW' yaani 'HAMIA kwa mfumo SASA', Benki hii inalenga kubuni bidhaa na huduma za kibunifu ambazo zinaweza kuwasilishwa haraka na katika njia bora kama vile 'NICNOW Mobile', ufunguaji wa akaunti mtandaoni, uwekaji akiba ya hundi kupitia mtandao na shughuli zote za benki kwenye mtandao. Katika kupanua mradi huu 'NOW Banking' imeondokea kuwa kama kurunzi ambayo kwayo bidhaa na huduma zote za Benki hii hutathminiwa.

WAFANYAKAZI NA THAMANI YAKE

Kufikia Desemba 2013 wafanyakazi wa NIC Bank Group walifika watu 909. Benki hii imejitolea kuwajiri wafanyakazi wenye vipawa katika soko hili, kutoa mafunzo, kuwazoesha na kutoa mazingira yanayofaa katika kuunda na kuwasilisha bidhaa na huduma bora zaidi, kuwalipa vyema zaidi na pia kuwatuza wale walio na utendakazi bora zaidi. Bodi hii inatambua kwa dhati ujuzi, bidii na kujitolea kwa kikosi cha NIC kote katika ukanda huu ambapo Shirika hili limekuwa likipata matokeo mazuri ya fedha yasiyokatika licha ya soko hili lenye changamoto tele na ushindani mkali.

Hata kama uwezo wa kifedha, rasilimali bora na mikakati mizuri ni viungo muhimu sana katika ufanisi, ni muhimu pia kuvitathmini viungo vyenye thamani kuu ambazo wafanyakazi wanapenda. Azimio la Shirika hili ni kuwa m hudumu anayeongoza katika utoaji huduma za fedha kwenye soko; Limejitolea kutoa huduma bora zaidi na hata kuyazidi matarajio ya wadau. Thamani za Shirika hili ni Maadili, Ari, Kujali, Ubunifu na Utaalamu. Azimio na Thamani hubainisha na kuunganisha benki ya NIC Bank Group kama shirika.

USIMAMIZI NA KUTAMBULIKA KWA SHIRIKA

Usimamizi mzuri wa shirika ni muhimu kwa udumishaji matokeo mazuri ya kibiashara na NIC Bank Group imejitolea ili kufikia viwango vya juu vya ubora vya usimamizi wa shirika. Shirika hili limebuni mifumo kamili ya usimamizi wa shirika ambayo mara kwa mara hurekebishwa ili kuhakikisha kuwa udumishaji wa mienendo bora na viwango vya juu vya maadili mbali mbali na pia kutii sheria na miongozo rasmi ambayo hutolewa na mashirika mbalimbali yanayodhibiti biashara na utendakazi wa benki.

Miongozo na harakati za usimamizi katika Shirika hili zimewekwa bayana kwa mapana na marefu kwenye sehemu ya Usimamizi wa Shirika katika ripoti hii.

Ninafurahia kutangaza kuwa katika mwaka wa 2013, kujitolea kwa benki ya NIC Bank Group katika kudumisha Usimamizi wa Shirika kwa mara nyingine kulitambuliwa na kuzawidiwa kwenye sekta hii ya biashara:

- NIC Bank ilitajwa kama Mshindi na Bingwa wa Usimamizi kwa jumla katika mwaka 2013, tunu iliyodhaminiwa na Taasisi ya Makatibu wa Umma Walioidhinishwa nchini Kenya yaani Institute of Certified Public Secretaries of Kenya (ICPSK), Benki Kuu ya Kenya, Mamlaka ya Hazina ya Uzeeni na Mamlaka ya Kudhibiti Bima miongoni mwa mashirika mengine.
- Benki hii pia iliibuka kama mshindi katika sekta ya Fedha na Uwekezaji baada ya kutangazwa kama Bingwa wa Usimamizi Bora wa mwaka 2013. Kulingana na vigezo vilivyowekwa na ICSPK, tuzo ya Bingwa wa Usimamizi Bora inatolewa kwa njia ya kusherehekea na kutambua mashirika ambayo huonyesha kiwango cha juu cha mienendo mizuri katika Usimamizi wa Shirika.
- NIC Bank pia iliibuka na kuwa bingwa katika kitengo cha Benki na nambari mbili katika kitengo cha Usimamizi wa Shirika katika Utoaji Ripoti za Kifedha (FiRe), ambacho hudhaminiwa kwa ushirikiano na Soko la Hisa na Nairobi (NSE), Taasisi ya Mahasibu wa Umma Walioidhinishwa (ICPAK), Mamlaka ya Masoko ya Hisa (CMA).
- Mnamo Desemba 2013, NIC Capital ilishinda Tuzo ya Benki Bingwa katika Uwekezaji na ikawa ya tatu katika kitengo cha Mshauri Nambari moja kwenye Uwekaji na Utoaji pesa katika Kitengo cha Tuzo ya Masoko ya Hisa, na hivyo kuthibitisha tena uaminifu walionao wahusika wa masoko ya hisa na wateja katika ushauri ambao tunaotoa.

TAARIFA YA MWENYEKITI (Continued)

WAJIBU WA SHIRIKA KWA JAMII

Shirika la NIC Bank Group limejitolea katika kudumisha wajibu wa kiushirika kwa jamii – ambao unahusisha jinsi shirika hili linavyotangamana na wadau ili kufikia majukumu yake ya kijamii, kiuchumi, kimazingira na kimaadili. Hii inaegemeza kwenye ukweli kuwa kuna uhusiano wa dhati baina ya ufanisi wa jamii na mazingira ambamo shirika linaendeshea kazi zake na ufanisi wa benki ya NIC Bank Group.

Huku zikiwepo haja changamoto nyingi ambazo NIC Bank Group inafaa kusuluhisha, imeamua kujihusisha na jitihada za kuisaidia jamii hususan kwenye sekta za Elimu, Mazingira na Michezo, sawaswa na mambo mengine yanayochipuka kila kukicha.

Katika Nyanja ya elimu, NIC Bank imeshirikiana na taasisi mbalimbali ikiwemo Palm House Foundation na Edumed Trust ambazo huendeleza elimu ya watoto wasiobahatika katika jamii na wale waliojaaliwa kwa vipawa nchini Kenya. Kwa kuwasaidia watoto hawa ili kujipatia elimu ya shule ya upili pamoja na kuwapa muongozo mwema, NIC Bank Group huwapatia fursa muafaka ya kuboresha maisha yao na familia zao.

Shirika hili pia huunga mkono Junior Achievement Kenya (JAK) ambayo ni mwanachama wa shirika la Junior Achievement Worldwide, shirika ambalo husaidia kwa lengo la kuwaandaa Vijana kutoka Kenya ili wapikike vyema na wawe tayari kwa nafasi za kazi kupitia kushiriki kwenye miradi kadha wa kadha iliyobuniwa ili kusaidia kukuza ujuzi wa kikazi, kuwezesha ufahamu wa masuala ya fedha na kuwaimarisha ujuzi wao wa kibiashara.

Katika mwaka wa 2013, miongoni mwa majukumu mengine, Shirika hili pia lilisaidia:

- Jitihada za shirika la Msalaba Mwekundu katika kuwaokoa wahanga wa Shambulizi la kigaidi katika kituo cha Westgate.
- Shindano la Rhino Charge
- Mradi wa Ahadi Trust ambao hupambana na funza

NIC Group Benki pia hutoa fursa ya wanafunzi kujifunza kazi kila mwaka. Fursa hizi huwapa vijana mazingira mazuri ya kupalilia uzoefu wa jinsi ya kukabiliana na mambo changamano yatakayoibuka kazini.

BODI YA WAKURUGENZI WAKUU NA USIMAMIZI

Mnamo mwezi Mei 2013, Bw. James Macharia alijiuzulu kama Mkurugenzi Mkuu Msimamizi wa Shirika hili kufuatia kuchaguliwa kwake na Mtukufu Rais katika wadhifa wa Waziri wa Afya. Bodi hii inamhongera Bw. Macharia kwa uteuzi huo na kumtakia kila la heri katika jukumu hilo muhimu la kitaifa. Aidha tunatambua pakubwa huduma zake katika NIC Bank Group kuanzia mwaka 2005, wakati ambapo Benki hii na tanzu zake ilishuhudia ukuaji na upanuzi mkubwa.

Mnamo Septemba 2013, Bodi hii ilimteua Bw. John Gachora kama Mkurugenzi Mkuu Msimamizi mpya. Anaingia katika wadhifa huo akiwa na tajriba sufufu hasa baada ya kufanya kazi nchini Afrika Kusini na Marekani katika taasisi kadhaa kubwa za kifedha mahali ambapo alishikilia nyadhifa tofauti tofauti za juu. Tuna imani kwamba chini ya uongozi wake Shirika hili litaendelea ufanisi uliopatikana hadi kufikia leo.

Mnamo mwezi wa Novemba 2013, Bw. Kairo Thuo alijiunga na Bodi hii kama mkurugenzi mkuu asiyekuwa mtendaji. Bw. Thuo ni wakili na pia mhasibu kitaalamu na huendesha biashara yake binafsi ya ushauri wa kitaalamu. Hapo awali alipewa jukumu la kuanzisha na kuendesha Kikundi cha Ushauri kuhusu masuala ya Ulipaji Ushuru katika kampuni maarufu ya ya Deloitte and Touche.

Tunawakaribisha wakurugenzi wakuu hao ambao kadhalika wanaimarisha Bodi hii na tunatazamia mchango wao mkuu.

FURSA MUFAKA YA KUENDELEA MBELE

Mustakabali wa mwaka 2014 unatoa picha na taswira changamano. Serikali mpya ndipo inapoingia katika mwaka wake wa pili kwenye uongozi, na inatarajiwa kupiga hatua katika utekelezaji wa miradi yake mbalimbali na kimiundo-msingi. Matokeo ya ugundaji wa rasilimali wa hivi majuzi, ikiwemo kupatikana kwa hifadhi za mafuta na bwawa jipya na kubwa zaidi la maji, vinatuhakikishia kuendesha ustawi wa uchumi katika kipindi cha wastani kijacho.

Hata hivyo, pia patakuwepo na changamoto ambazo mbali na masuala mengine hasa yakuilinda nchi yetu dhidi ya ugaidi na wahalifu wengineo, katika jitihada za kutekeleza utaratibu wa kimaadili na katika maendeleo ya utekelezaji wa mfumo wa utawala wa ugatuzi pamoja na hatari za kifedha zinazotokana na zigo la mishahara na matumizi mabovu ya fedha za bajeti. Nchi hii inasalia katika hatari za ndani kwa ndani na hata nje ya nchi.

NIC Bank Group pia itajibiidiisha kupigia darubini nafasi ibuka ambazo zitadumisha na kuendelea thamani ya biashara yetu. Hii itafanyika katika miongozo imara ya Shirika hili ya kukabiliana na hatari za mfumo na harakati za usimamizi.

TAARIFA YA MWENYEKITI (Continued)

SHUKRANI

Matokeo mazuri ya Benki hii na Shirika kwa jumla katika mwaka wa 2013 ni matokeo ya mchango wa wadau wetu wengi.

Bodi, Wasimamizi na Wafanyakazi wanatambua uaminifu na imani ya wenyekiti wetu wanaozidi 25,000. Tunafahamu kwa dhiti imani waliotuwekea wadau hao na sisi tumejiamini kudumisha ufaafu wetu huo.

Hali kadhalika tunatambua na kushukuru sana imani ambayo wateja wetu wamedumisha kwa shirika la NIC Bank Group. Tunajua kuwa wana mambo mengi wanayoweza kuchagua na hivyo basi tumejitolea kutoa huduma ya kiwango cha juu zaidi, bidhaa bunifu na suluhisho kabambe.

Tunathamini sana ushirikiano ambao washirika wetu wa kibiashara walitoa kwa shirika hili, wakiwemo wasimamizi wetu wanaoshughulikia masharti na kanuni za sekta hii, Benki Kuu ya Kenya, Benki Kuu ya Tanzania na Benki Kuu ya Uganda, Soko la Hisa la Nairobi, Mamlaka ya Masoko ya Hisa na Mamlaka Inyodhibiti Bima.

Kama ilivyotajwa hapo awali, matokeo ya mwaka 2013 yanaakisi utendakazi wetu mzuri, mafaafu na kujitolea kwa Usimamizi wa NIC Bank Group na Wafanyakazi wake. Kwa niaba ya Bodi ningependa kushukuru kila mmoja wao kwa mchango wao katika ufanisi wa Shirika hili.

Ninapoikamilisha taarifa hii, ninawashukuru Wakurugenzi Wakuu wenzangu kwa kujitolea mhangamu katika mwaka huo mzima wakihudumu kwenye kamati mbalimbali na kwenye bodi. Ushauri wao na muongozo wao katika ufanisi wa NIC Group ulichangia pakubwa katika upatikanaji wa matokeo mazuri ya kifedha.

J P M Ndegwa
Mwenyekiti

28 Februari 2014

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THE BOARD OF DIRECTORS



James P M Ndegwa

Age: 50

Chairman (Non-Executive)

Mr. Ndegwa holds an MA (Hons) degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the Board on 19 November 2003 and was appointed Chairman in 2005.



Frederick M Mbiru

Age: 76

Vice Chairman (Non-Executive, Independent)

Mr. Mbiru holds a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a Management Consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the Board on 16 February 1993.



John Gachora

Age: 46

Group Managing Director (Executive)

Mr. Gachora holds a Masters Degree in Electrical Engineering and Computer Science from the Massachusetts Institute of Technology, USA as well as an MBA from The Wharton School, University of Pennsylvania, USA. He joined NIC from Barclays Africa where he had been Managing Director and Head of Corporate & Investment Banking. Prior to this he held several executive positions at Absa Bank, in South Africa, as well as Bank of America and Credit Suisse First Boston in the United States. He joined NIC Bank in September 2013 as Group Managing Director and was appointed to the Board on 21 August 2013.



Andrew S M Ndegwa

Age: 46

Director (Non-Executive)

Mr. Ndegwa holds an MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23 April 1997.



I Ochola - Wilson

Age: 65

Director (Non-Executive, Independent)

Mrs. Ochola-Wilson holds a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She is currently a Business Consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the Board on 5 November 1999.



Michael L Somen

Age: 77

Director (Non-Executive, Independent)

Mr. Somen is a Barrister-at-Law, Grays Inn, England, and holds an MBA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya. He retired in 2002 as Senior Partner of Hamilton Harrison & Mathews Advocates but remained as a consultant with the firm until 2010. He joined the Board on 21 February 2001.



Alan J Dodd

Age: 58

Executive Director

Mr. Dodd holds a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, Middle East and the Far East. He joined NIC in January 2006 as Director, Corporate Banking, and was appointed to the Board on 22 February 2006.

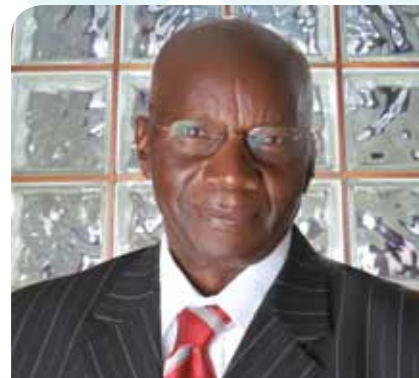


George A Maina

Age: 62

Director (Non-Executive, Independent)

Mr. Maina holds a B. Tech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a Business Consultant and a director of several companies. He has extensive experience in the oil industry in Africa, the Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya Limited from 1998 to 2002. He joined the Board on 1 June 2002.



Francis N Mwanzia

Age: 69

Director (Non-Executive, Independent)

Mr. Mwanzia holds a B. Comm (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the Board on 3 August 1995.



Kairo Thuo

Age: 39

Director (Non-Executive, Independent)

Mr. Thuo is both a lawyer and accountant by profession. He is a consultant and a founder member of Viva Africa Consulting LLP and Viva Africa Consulting Limited and was previously responsible for establishing and running the Tax Transaction Advisory Group at Deloitte and Touche. He joined the NIC Board on 27 November 2013.



Paras V Shah

Age: 40

Director (Non-Executive, Independent)

Mr Shah, is a lawyer by profession and a Certified Public Secretary. He holds an LLB (Hons) degree, from King's College London, Diploma in legal practice from the College of Law, London, Diploma in Legal practice from Kenya School of Law and Diploma in Management from Henley School of Management. He is an Advocate of the High Court of Kenya and currently a partner of Hamilton Harrison & Mathews Advocates. He joined the NIC Board on 23 February 2010.



Livingstone Murage

Age: 56

Group Company Secretary (Executive)

Mr. Murage holds a B. Comm (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for PriceWaterhouse and Mobil Oil before joining the banking sector in 1986. He was appointed Company Secretary on 2 September 1999.

SENIOR MANAGEMENT



1 John Gachora - Group Managing Director

2 Alan Dodd - Executive Director, Corporate Banking

3 Livingstone Murage - Group Company Secretary

4 Chege Thumbi - Director, Technology & Operations

5 Sankul Mandavia - Director, Treasury

6 Margaret Kimuma - Director, Credit Risk

7 Minudi Lore - Director, Finance

8 Edgar Kalya - Director, Retail Banking

9 Rosalind Gichuru - Director, Marketing, Communication & Citizenship

10 Violet Wasunna - Head of Institutional Banking

11 John Okulo - Managing Director, NC Bank Uganda

12 Maurice Opiyo - Managing Director, NIC Capital

13 Catherine Karita - General Manager, NIC Securities

14 Faith Kiura - General Manager, NIC Insurance Agents

15 Pankaj Kansara - Managing Director, NIC Bank Tanzania

CORPORATE INFORMATION

DIRECTORS

J P M Ndegwa - Chairman
 F M Mbiru - Vice Chairman
 J Gachora - Group Managing Director•
 A Dodd• **
 G A Maina
 F N Mwanzia
 A S M Ndegwa
 I Ochola-Wilson
 M L Somen
 P V Shah
 K Thuo

•Executive directors
 **British

AUDIT COMMITTEE

F N Mwanzia - Chairman
 F M Mbiru
 I Ochola-Wilson
 K Thuo

NOMINATIONS COMMITTEE

G A Maina - Chairman
 J P M Ndegwa
 A S M Ndegwa
 P V Shah

HUMAN RESOURCES AND COMPENSATION COMMITTEE

I Ochola-Wilson - Chairman
 F M Mbiru
 A S M Ndegwa

CREDIT RISK COMMITTEE

F M Mbiru - Chairman
 F N Mwanzia
 A S M Ndegwa
 M L Somen
 P V Shah

EXECUTIVE COMMITTEE

A S M Ndegwa - Chairman
 G A Maina
 M L Somen
 P V Shah

RISK MANAGEMENT COMMITTEE

G A Maina - Chairman
 F M Mbiru
 I Ochola-Wilson

GROUP COMPANY SECRETARY

L Murage
 Certified Public Secretary (Kenya)
 NIC House, Masaba Road
 P O Box 44599
 Nairobi - GPO 00100

REGISTERED OFFICE

NIC House
 Masaba Road
 P O Box 44599
 Nairobi - GPO 00100

REGISTRARS AND TRANSFERS OFFICE

Custody & Registrars Services Limited
 6th Floor, Bruce House,
 Standard Street
 P.O Box 8484
 Nairobi - GPO 00100

AUDITOR

PricewaterhouseCoopers
 Certified Public Accountants (Kenya)
 PwC Tower
 Waiyaki Way/Chiromo Road, Westlands
 P O Box 43963
 Nairobi - GPO 00100

STATEMENT ON CORPORATE GOVERNANCE

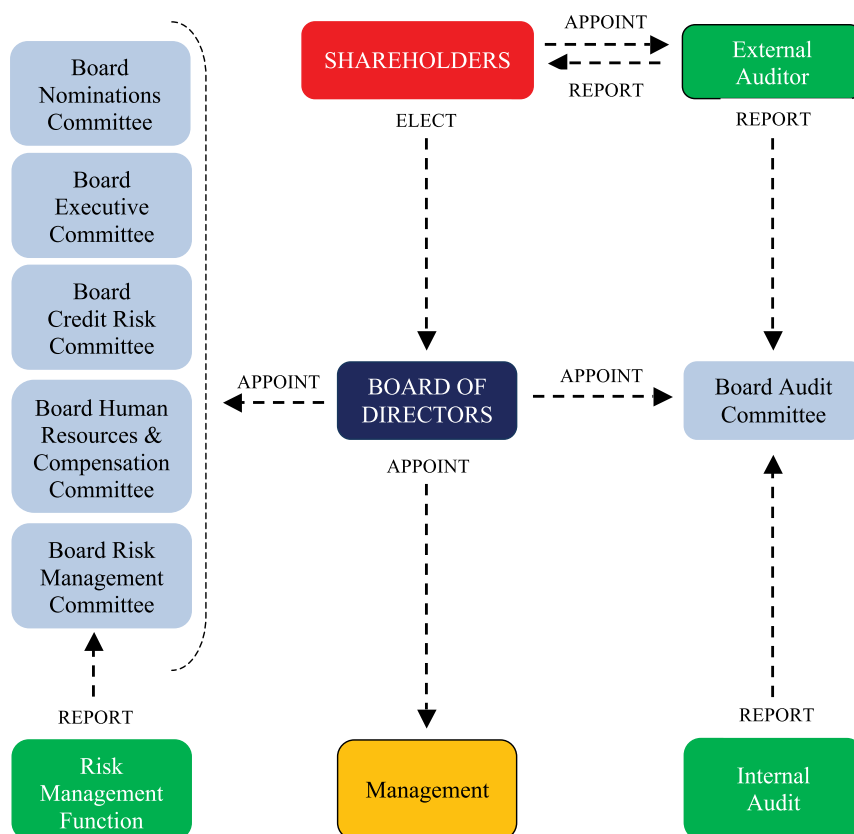
The role of the financial services industry in society has come under increased scrutiny in recent years. This is particularly so as a result of the high profile malpractices and corporate failures that almost led to the collapse of the financial banking industry in different parts of the world, and the devastating impact that these have had on those economies and society. Some of these malpractices and failures have been brought about by perceived breakdowns in the corporate governance structures in the affected institutions. These include:

- The use of inappropriate compensation and reward structures that promoted imprudent risk taking and increased focus on short-term gain at the expense of the long-term stability of the institution;
- The failure of commercial banks to fully understand the risks associated with complex financial structures;
- Risk management structures and controls that failed to keep pace with the increased complexity and size of financial transactions and relationships;
- Inadequate disclosures in financial statements about the foreseeable risk factors and about the systems for monitoring and managing risks; and
- Conflicts of interest amongst different stakeholders in financial institutions.

The strength and wellbeing of the financial system is critical to both economic and social development and financial regulators around the world have taken measures to ensure that the failures experienced in the recent past do not recur. Our main regulators, the Central Bank of Kenya (CBK), the Bank of Tanzania (BOT), the Bank of Uganda (BOU) the Capital Markets Authority (CMA), the Nairobi Securities Exchange (NSE) and the Insurance Regulatory Authority, have enhanced their regulations and enriched risk management guidelines so that banks and other financial institutions can effectively mitigate the myriad risks to which they are exposed. NIC Bank Group has fully embraced these changes and remains at the forefront in adopting best practices in corporate governance and risk management in the rapidly evolving financial landscape.

The Board is committed to ensuring that the business is run in a professional, transparent, just and equitable manner so as to protect and enhance shareholder value and satisfy the interests of all its stakeholders. In addition to the above considerations, the principles and standards adhered to by the Board and NIC Bank Group's governance structure, have been developed with close reference to guidelines on corporate governance issued by the Centre for Corporate Governance, the Capital Markets Authority for publicly listed companies in Kenya, the Central Bank of Kenya for the banking industry, and other best practices.

NIC Bank Group's governance structure is summarized in the chart below:



STATEMENT ON CORPORATE GOVERNANCE (Continued)

During 2013, the Board's focus was geared towards the achievement of compliance with the qualitative aspects of good governance whilst ensuring that implementation matches the needs of the business.

Board Size, Composition and Independence

The Board consists of eleven Directors, nine of whom are Non-executive directors (including the Chairman). Among the Directors are seven Independent Non-executive Directors. The membership of the Board was increased by an additional one Director appointed in November 2013.

The Non-executive Directors are independent of Management. Their role is to advise, constructively challenge, provide oversight, and monitor the success of Management in delivering the agreed strategy within the approved risk appetite and control framework that is set by the Board.

The Board is well composed in terms of the range and diversity of skills, background and experience of Directors, and has an appropriate balance of Executive, Non-executive, and Independent Non-executive Directors. In recognition that there are other skills, backgrounds and professions that will be useful to the Group, particularly as the business expands into new sectors and territories, the company's Articles of Association now provide for an increase in the maximum number of Directors from 10 to 13 persons. In 2013, the Nomination Committee recommended the appointment of a new Director and the appointment of a new Group Managing Director following the resignation of Mr. James Macharia.

The Directors' abridged biographies appear on page 24 to 25 of this Annual Report

All the Non-executive Directors are subject to retirement by rotation, and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association. Any Director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Board Responsibilities

The Board's principal duty is to promote the long-term success of the Group by creating and delivering sustainable shareholder value. The Board Charter defines the governance parameters within which the Board exists and operates, sets out specific responsibilities to be discharged by the Board, its committees and Directors collectively, as well as certain roles and responsibilities incumbent upon the Directors as individuals.

A summary of the Board's responsibilities is as follows:

- Providing entrepreneurial leadership to the Group within a framework of prudent and effective controls which enable risk to be assessed and managed;
- Strategy formulation and ensuring that there are adequate policies, systems and structures to successfully implement the Group strategies;
- Monitoring the Group's performance against its strategic plans and objectives on an ongoing basis, as well as through mandatory quarterly meetings;
- Review and approval of the publication of the quarterly financial statements;
- The selection, appointment and appraisal of senior executive officers who are qualified and competent to manage the affairs of the Group effectively;
- Approval of the risk management framework, and ensuring that there are adequate structures and systems to identify, measure, control and monitor the key risks facing the Group, including compliance related risks;
- Reviewing the effectiveness of the systems for monitoring and ensuring compliance with relevant laws, regulations, industry rules and standards;
- Determining the terms of reference of all Board Committees, and the reviewing of reports and minutes of those committee deliberations;
- Developing, reviewing and monitoring the Group's corporate governance policies and practices; and
- Reviewing the Group's capital levels to ensure that there is adequate capacity for the planned growth and expansion within the strategic cycle, and approving major capital expenditure, acquisitions and divestitures.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

Chairman and Group Managing Director

The roles and responsibilities of the Chairman of the Board and the Group Managing Director remain distinct and separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Group Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Group and its subsidiaries on a day-to-day basis.

The Deputy Chairman deputizes for the Chairman at meetings of the Board and supports him in his role.

Board Remuneration

Non-executive Directors are paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership, and do not participate in any of the Company's remuneration or compensation schemes.

Details of the Directors' fees for the Non-executive Directors and remuneration of the Executive Directors paid in 2013 are set out on page 130.

Directors' Shareholding

None of the Directors as at the end of year 2013 held shares in their individual capacity of more than 1% of the Company's total equity.

Board and Strategy Meetings.

The Board and its Committees meet regularly in accordance with business requirements. All Directors participate in discussing the strategy, performance and the financial and risk management of the Group. Meetings of the Board are structured to allow sufficient time for consideration of all matters and the Chairman encourages constructive challenge and debate.

The Board Work Plan together with the calendar of meetings for 2013 was fixed in advance and provided to all Directors. Adequate notice was given for each meeting and the agenda and supporting papers were distributed in advance of all Board and its Committee meetings to allow time for appropriate review and to facilitate full discussion at all meetings.

In 2013 in addition to the four scheduled Board meetings, two other meetings were held for the following purposes;

- Presentation and training on the Central Bank of Kenya's revised Risk Management & Compliance Guidelines
- To approve the NIC Bank Tanzania Rights Issue.

The Board regularly reviews reports on progress against financial objectives, business developments, and investor and external relations. The Chairs of Board Committees report at each meeting of the Board on the activities of the committees since the previous Board meeting. The Board receives regular reports and presentations from the Group Managing Director on the macroeconomic environment and the impact on banking business, a review of the financial services industry, and the regulatory environment, strategy and business development, and the financial performance of the banking industry. Regular reports are also provided to the Board on the Group's risk appetite profile, top and emerging risks, risk management, liquidity, litigations, compliance, and any reputational issues. Members of Executive Management are regularly invited to attend Board and its Committee meetings as required and make presentations to give the Directors greater insights into their business areas.

With the growth and further diversification of the Group's business, the reporting format, which embraces greater use of modern technology was reviewed and amended in 2013 so as to better manage the volume of work and information involved.

The Board has ownership over the Group's strategic direction. At each Board meeting progress towards the targets of the approved business plans is reviewed and guidance provided to Senior Management as appropriate.

Directors are at complete liberty to communicate directly with Senior Management with a view to clarifying any issues that have a significant effect on the Group's performance.

The summary of the Board and Board Committee meetings and attendance is shown on page 36.

Directors' external activities and Conflicts of Interest

Directors have a statutory duty to avoid situations in which they have or may have interests that conflict with those of the Group. Business transactions with all parties, including the Directors or their related parties are carried out at an arms' length.

In 2013 the Directors submitted their annual declarations of interests which included:

- An acknowledgement that should it come to the attention of a Director that a matter concerning the Group may result in a conflict of interest, they are obliged to declare the same and will exclude themselves from any discussion or decision over the matter in question.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

- An acknowledgement that should the Director be appointed to the Board or acquire a significant interest in a business competing with the Group, the Director will be obliged to offer their resignation.
- An acknowledgement that the foregoing also applies to interests of the immediate family members of the Directors.

Business transactions with the Directors or their related parties are disclosed on pages 128 to 129.

Board Structure

The Board operates under a comprehensive structure made up of Committees established to assist it in discharging its responsibilities and obligations. The Committees assist the Board in carrying out its functions and ensuring that there is independent oversight of internal controls and risk management.

The Board has determined the purpose and number of Committees required to support it in carrying out its duties and responsibilities and in guiding Management. These Committees have been established with sets of specific terms of reference, which are continuously reviewed and up-dated. The appointment of the members to these Committees draws on the skills and experience of individual Directors. The role played by the Board committees has become increasingly important over the years and forms a principal point of contact between the Directors and Senior Management.

The Board Committees are namely: Audit; Credit Risk; Executive; Human Resources & Compensation; Nominations; and Risk Management and are supported by five key Management Committees: Executive Management (Excom), Management (Mancom), Assets and Liabilities Management (ALCO), Credit Risk Management and Senior Risk Committees.

All the Board Committees have at least three non-executive directors as members. The Chair of the Committees must be a non-executive Director while in some Committees such as the Audit, Nominations, Human Resources & Compensation and Risk Management, they are Independent Non-executive Directors with the majority of their memberships being Independent Non-executive Directors as prescribed by the Central Bank of Kenya Prudential Guidelines.

At every meeting of the Board the Chair of each Committee presents an update of its activities, decisions and recommendations of their respective Committees since the previous Board meeting.

Membership of the various Board Committees is shown on page 27.

The Group Company Secretary sits in all the Board and Committee meetings and is responsible for monitoring and coordinating the completion and dispatch of Board and Committee agenda papers, and other briefing materials. The Group Company Secretary is also responsible for ensuring that the minutes of the Committees deliberations are circulated in a timely manner to the Committees' members and the Board. All Directors have access to the services and advice of the Group Company Secretary. Details of the skills, experience and expertise of the Group Company Secretary are set out on page 25 of this Report.

Management and external service providers plus any required Subject Matter Experts attend by invitation from time to time as circumstances dictate. Directors' attendance of these committees is provided on page 36. The Board and Directors Evaluations are sent to the Central Bank of Kenya as required by law annually, by the 31st March of each year.

Details of these Committees are given here below:

• Audit Committee

The committee plays a vital role in ensuring the integrity of the financial statements prior to the review and approval by the Board. To this end, the Audit Committee reviews the accounting policies, financial reporting and regulatory compliance practices of the Group. The Committee also continually evaluates the effectiveness of the internal control systems of the Group in accordance with its approved audit plan.

The Committee is involved in the appointment, supervision and performance appraisal of the external auditor and the internal auditor. The Committee receives reports on the findings of the internal and external auditors and Management's corrective actions in response to the findings. The Committee meets quarterly and the external auditors are invited to attend whenever necessary but at least twice in a year where they meet without Senior Management's presence. Each year, the Committee reviews and approves the overall scope and plans for the external audit activities, including the fees which have to be ratified by the shareholders. External audit performance is reviewed annually.

The Committee after every three years invites prequalified audit firms to bid for professional audit and tax services. The audit firms make presentations to the Committee and are evaluated on a set criteria and the Committee recommends to the Board either the reappointment of the existing audit firm, or appointment of a new audit firm. The Board then recommends to the shareholders the reappointment of an existing auditor or the appointment of a new auditor.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

The Audit Committee is involved in the appointment and performance assessment of the Head of Internal Audit, who reports directly to this Committee. The Committee also reviews the overall scope, annual plans and budget for the Internal Audit function's activities and oversees the alignment of risk management programs and Internal Audit activities. The Committee reviews all Internal Audit reports and has regular direct access to the Head of Internal Audit.

- **Credit Risk Committee**

The Committee reviews and oversees the overall lending policies of the Group and approves credit applications that are above the approval limits for management. It ensures that there are effective procedures to identify and manage irregular and problem facilities, minimize credit loss and maximize recoveries.

The Committee regularly reviews and recommends to the Board discretionary credit limits for the Board Credit Risk Committee and Management Credit Risk Committee.

- **Executive Committee**

The committee assists the Board in discharging its responsibilities relative to strategy, human resources and general operations oversight. The committee meets regularly to review and recommend for Board approval major capital projects, periodic strategic plans, and key policy guidelines as developed by management.

- **Human Resources and Compensation Committee**

The Committee reviews the Human Resources policies and procedures and ensures that they adequately support the Group's strategy. It ensures that the Group continues to provide remuneration packages that fairly reward staff for their contribution to the business and continues to attract, motivate and retain staff of the highest caliber.

The committee ensures succession plans are in place for all senior executive management of the Group. The Committee is also ultimately responsible for developing and approving the compensation structures of management and employees of the Group. These are geared towards minimizing irresponsible and unnecessary risk taking and ensuring that management and employees are motivated to achieve superior performance whilst enhancing the strength and stability of the Group.

- **Nominations Committee**

The Nominations Committee provides an efficient, effective and reliable mechanism that identifies and recommends to the Board the appointment of individuals to serve as Directors of the Group. It conducts regular reviews of the required mix of skills and experience of Directors of the Group in order to ensure the effectiveness of the Board and its Committees in meeting the needs of the business.

- **Risk Management Committee**

The Risk Management Committee is responsible for setting the strategic risk parameters through policies/guidelines, tolerance limits, and approving the risk management strategy as well as significant policies and programs. Thereafter, it monitors compliance with the risk policies, limits and programs. It also reviews the adequacy of the risk management framework in relation to the risks faced by the Group and in comparison to the approved tolerances. The Committee is assisted in these functions by various risk management committees which undertake both regular and ad-hoc reviews of the Group's risk management environment, the results of which are reported at appropriate levels for review and action.

The risk management policies which are reviewed by the committee are detailed on pages 65 - 96 and are in line with International Financial Reporting Standards.

- **Management Committees**

A significant factor in the Group's ongoing success is the strength of the management team. Members of the management team bring together a vital combination of leadership skills and extensive experience from both local and international banks. To harness that strength, the Group Managing Director has established committees to assist him in the management of the Group. These committees are chaired by the Group Managing Director and include the respective Heads of Departments, with other senior managers being co-opted on a need basis. These committees include:

- **The Executive Management Committee (EXCOM)**

This committee meets regularly and at least monthly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to company policy and procedures. This committee also serves as a link between the Board and Management.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

- **The Management Committee (MANCOM)**

This committee meets monthly to review operational issues of the Group, with emphasis on the assessment and monitoring of the institution's operational risks.

- **The Assets and Liabilities Management Committee (ALCO)**

This committee meets every month or more frequently if necessary. ALCO, a risk management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposit withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due. This includes management of operational risks, interest rate, market and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure, investment policies, and its internal capital adequacy management.

- **The Management Credit Risk Committee**

This committee meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. The committee also regularly makes recommendations to the Board Credit Risk Committee on the revision of limits. All approvals are independent of the originating business unit.

- **The Senior Credit Risk Committee**

This committee meets monthly to review the performance of the Group's lending book and determines the level of provisions required in accordance with the approved policies and regulatory guidelines.

Board and Directors Effectiveness and Evaluation in 2013

In order to ensure that Board members are effective in their contribution to the management of the Group, it is important that they develop a good understanding of the Group and its operations. This is achieved through various training and development sessions to ensure that they understand the relevant facets of the complex and constantly evolving financial services industry. This is particularly important to ensure that they appreciate all the risks to which the Group is exposed, the impact on the Group and its operations, and how to effectively manage and mitigate these risks.

Directors also get further knowledge about the Group through site visit, informal interactions with management and staff, regular in-depth reports and presentations.

In order to assess and improve the capacity, functionality and effectiveness of the Board and its committees an annual self-evaluation review was undertaken. The self-evaluation reviews the capacity, functionality and effectiveness of the Board and individual Directors during the financial year. The review was also in accordance with the requirements of the Central Bank of Kenya Prudential Guidelines on Corporate Governance.

The evaluation measures the performance of the Board against its key duties and responsibilities, that of its committees and individual members of the Board.

The evaluation process was conducted through questionnaires and the Directors were evaluated against the following criteria amongst others;

- Effective preparation for and participation at meetings of the Board and its Committees.
- Understanding of business and specifically the financial industry, and keeping abreast of the latest developments in the economy generally and particularly the banking sector.
- Communications with fellow Directors, management and other stakeholders.
- Ability to take an independent view on matters brought for discussion at Board and Committee meetings.
- Declaration of personal interests and ensuring that they avoid participation in decision making where such interests are discussed.
- Awareness and compliance with regulatory guidelines.
- Regular attendance at Board and Committee meetings.

Overall it is considered that in 2013 the Board and its Committees;

- Carried out their roles and responsibilities satisfactorily.
- Regularly reviewed, formulated and approved the strategic direction of the Group in light of the business environment and regulatory framework.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

- Developed appropriate policy guidelines to assist Management in decision making.
- Fulfilled their role to the Group's various stakeholders.
- Generally guided and supported the Management which has been responsive to the advice provided.

A report on the overall evaluation assessment was submitted to the Central Bank of Kenya in accordance with the Prudential Guidelines on Corporate Governance.

Code of Conduct & Ethics

The Group has a Code of Conduct & Ethics that binds both the Directors and employees. The NIC Group takes cognizance of the fact that its success is dependent on the environment and the communities in which it operates. The Group policy ensures that its activities meet and exceed the social, economic and environmental expectations of its stakeholders.

The Code of Conduct & Ethics also includes a chapter on Governance Risk and Compliance that highlights the Group's commitment to having an integrated risk management framework.

All Directors, Management and staff of NIC Bank Group must sign an acknowledgement they have read and understood the Code of Conduct & Ethics. The Code of Conduct & Ethics, along with our Vision Statement: "To establish long term, profitable customer relationships through the provision of a complete range of banking and financial services"; our Mission Statement: "to be the leading financial services provider to our target market; we are committed to the highest standards of service and to exceed our stakeholders' expectations"; and our Values: "Integrity, Passion, Responsiveness, Innovation and Professionalism"; guide our ethical decision making and the conduct of our Directors, officers, and employees.

The Group encourages employees and officers to raise concerns about ethical conduct and violations of the Code of Conduct & Ethics. Senior Management investigates complaints and takes appropriate action, escalating to the Board Human Resources Committee if necessary. Our whistleblower procedures allow employees to report concerns anonymously, without fear of retaliation.

Relationship with Shareholders

The Group is committed to relating openly with its shareholders by providing regular information on its performance and addressing any areas of concern. This is achieved through quarterly publication of extracts of its financial performance in the daily newspapers in line with the Central Bank of Kenya requirements, publication of annual audited accounts, and holding of the Annual General Meeting. The most recently published financial results are also available on the Group's website, www.nic-bank.com. The Group has an interactive website which has all the relevant information relating to the companies.

The Group has engaged the services of a registrar, Custody & Registrar Services, who together with the Group Company Secretary, regularly address issues raised by the shareholders.

Internal Control

The Directors acknowledge their responsibility as set out on page 43 for the Group's system of internal financial control, including taking reasonable steps to ensure that adequate systems are being maintained. Internal control systems are designed to meet the particular needs of the Group, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, it is to be recognized that such a system can only provide reasonable, but not absolute, assurance against material misstatement.

The Board has reviewed the Group's internal control policies and procedures and is satisfied that appropriate controls and procedures are in place.

The Board has put in place a comprehensive risk management framework to identify all key risks, measure these risks, manage the risk positions and determine capital allocations. The policies are integrated in the overall management reporting structure. The Head of the Risk Management and Compliance Department reports directly to the Board's Risk Management Committee.

The Group's performance trend is reported regularly to the Board and includes an analysis of performance against budget and prior periods. The financial information is prepared using appropriate accounting policies which are applied consistently.

The Group has an Internal Audit Department which is an independent function that reports directly to the Board Audit Committee and provides independent confirmation that the Group's business standards, policies and procedures are being complied with and where found necessary, corrective action is recommended.

The Group also has a Risk Management and Compliance Department which reports to Board Risk Committee that develops and implements the compliance framework while ensuring adherence to the company's policy and regulatory requirements.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

Going Concern

The Board confirms the Financial Statements are prepared on a going concern basis, as the Directors are satisfied that the Group has adequate resources to continue in business for the foreseeable future. In making this assessment, the Directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources. For this reason, it continues to adopt the going concern basis when preparing the financial statements.

SHARE HOLDING PROFILES

The Company, through its Registrar, files returns regularly in line with the requirement of the Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

The number of shareholders as at 31st December 2013 was 25,097 (2012 – 25,620).

A. Principal Shareholders

The top 10 major shareholders, based on the Group's share register as at 31st December 2013 are as follows: -

Names	NO. of Shares	%
First Chartered Securities Ltd	86,021,980	15.84
ICEA Asset Management Ltd A/C 2000	49,723,996	9.16
Livingstone Registrars Ltd	46,781,258	8.62
Rivel Kenya Ltd	45,023,464	8.29
Saimar Ltd	22,843,730	4.21
Amwa Holdings Ltd	11,381,387	2.10
Makimwa Consultants Ltd	7,255,174	1.34
Murwoki Holdings Limited	5,903,369	1.09
Standard Chartered Nominees A/C 9230	5,371,353	0.99
Thuthuma Limited	5,239,744	0.96
Total	285,545,455	52.60

B. Distribution Schedule

Category	NO. of Shareholders	NO. of Shares	%
1-500 shares	8,055	1,468,657	0.27
501-5,000 shares	13,403	25,393,691	4.68
5,001-10,000 shares	1,582	11,053,537	2.04
10,001-100,000 shares	1,687	46,676,854	8.60
100,001-1,000,000 shares	321	96,185,731	17.71
1,000,001 and over	49	362,205,678	66.70
Total	25,097	542,984,148	100.00

C. Shareholder Profile

Category	NO. of Shareholders	NO. of Shares	%
Local individual investors	23,365	97,491,895	17.95
Local institutional investors	1,564	433,562,493	79.85
Foreign individual investors	145	3,374,793	0.62
Foreign institutional investors	23	8,554,967	1.58
Total	25,097	542,984,148	100.00

STATEMENT ON CORPORATE GOVERNANCE (Continued)

2013 BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

Director	Classification	Designation		Board	Audit	Credit Risk	Human Resources & Compensation	Executive	Nominations	Risk Management
J P M Ndegwa	Non-executive	Chairman Board	Membership	√					√	
			Attendance	6/6					2/2	
F M Mbiru	Non-executive	Chairman Credit Risk Committee	Membership	√	√	√	√			√
			Attendance	6/6	4/4	11/11	2/2			2/2
J W Macharia		Former Group Managing Director	Membership	√		√		√		√
			Attendance	2/6	2/4	4/11	1/2	1/2		1/2
J Gachora	Executive	Group Managing Director	Membership	√		√		√		√
			Attendance	2/6	1/4	4/11	1/2	1/2		1/2
G A Maina	Non-executive	Chairman Nominations & Risk Management Committees	Membership	√				√	√	√
			Attendance	6/6				2/2	2/2	2/2
F N Mwanza	Non-executive	Chairman Audit Committee	Membership	√	√	√				
			Attendance	6/6	4/4	11/11				
A S M Ndegwa	Non-executive	Chairman Executive Committee	Membership	√		√	√	√	√	
			Attendance	6/6		10/11	2/2	2/2	2/2	
I Ochola-Wilson	Non-executive	Chairman Human Resources and Compensation Committee	Membership	√	√		√			√
			Attendance	6/6	4/4		2/2			2/2
M L Somen	Non-executive		Membership	√		√		√		
			Attendance	4/6		7/11		2/2		
P V Shah	Non-Executive		Membership	√		√		√	√	
			Attendance	5/6		9/11		2/2	2/2	
A Dodd	Executive		Membership	√		√		√		√
			Attendance	6/6	4/4	11/11	2/2	2/2		2/2

Notes:

√ Member of respective committee

- Where a director missed to attend Board or Board Committee meetings, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting.
- The Group Managing Director and Executive Director are not members of the Audit Committee and the Human Resources & Compensation but attend by invitation.
- J W Macharia resigned from the Board on 15th May 2013 and J Gachora was appointed to the Board on 21st August 2013.
- All the directors attended training that was held on 25th June 2013.

CORPORATE SOCIAL RESPONSIBILITY

NIC Bank Group is committed to contributing to economic development while behaving ethically and improving the quality of life in the local communities and the society at large. The cornerstone of our sustainability commitment is through our Environmental and Educational Management Programs that we have made significant contributions to since 2009.



NIC volunteers share a light moment with one of the beneficiaries of an anti-jigger campaign as they demonstrate how to maintain proper hand hygiene.

1

Students of Aquinas Secondary School listen keenly to words of counsel from our Group Managing Director during job shadow program organized by the bank in conjunction with Junior Achievement Kenya.

2

NIC Group Managing Director Mr. John Gachora hands over a Kes. 1 million cheque to the Governor of Kenya Red Cross Society Dr. Mohamud Said at their HQ in South C. The funds supplemented humanitarian efforts following the terror attack on Westgate Mall.

3

Team NIC warms up before taking part in the 2013 Matter Heart Run. Funds collected in this event go towards helping children with heart ailments get necessary surgery.

4

SUSTAINABILITY STATEMENT

CITIZENSHIP

NIC Bank Group views Corporate Social Responsibility as a fundamental aspect of its business. The Group is committed to contributing to the economic development of the country, creating value for its shareholders and making a positive contribution to the environment and the communities within which it operates.

In 2013, the Group continued to support various initiatives in the areas of Education, Environment and Sports. We continue to work with our community partners to identify other emerging needs.

Education

Over the years, NIC Bank Group has been involved with various educational Trusts that cater to the needs of the youth in both Rural and Urban areas.

- **Palmhouse Foundation**

The foundation sponsors bright students from financially disadvantaged households who have gained admission to national and provincial secondary schools. Besides financial support, the foundation provides mentorship and other support to the students.

NIC Bank's participation has grown over the years with the 2013 contribution supporting a total of 26 students from across the country.

NIC employees participate in the sponsorship selection panels as well as the mentorship sessions for the students.

- **Edumed Trust**

Established in 1996, Edumed started by supporting its first student in 1997 and has to date sponsored a total of 254 students. NIC Bank selects top students and sponsors them throughout their high school career. In 2013, the Bank selected 15 students. NIC employees also participate in the selection panels as well as mentorship sessions for the students.

- **Junior Achievement**

Junior Achievement is the country's largest organisation dedicated to educating students and youth about entrepreneurship, work readiness and financial literacy through experiential, hands on programs.

The organisation's programs prepare young people for the real world by showing them how to generate and manage wealth, how to create jobs which make their communities more robust, and how to apply entrepreneurial thinking to the work place.

In 2013, in addition to the Bank's financial support, NIC employees hosted students as part of the NIC Job shadow week held in both Nairobi and Mombasa. NIC Bank also supported the finals of the Junior Achievement Company program.

- **NIC Entrepreneur Club**

The NIC Entrepreneur Club was launched in 2010 as a platform targeted at Small to Medium Enterprises (SMEs) with a view to support capacity building and equip the entrepreneurs, who are the Bank's customers, with the relevant business and practical skills. This is aimed at giving them an advantage in the market place and enhancing the growth of their businesses. The skills acquired through the various workshops allows them to identify opportunities both locally and internationally and be able to exploit them for the betterment of their business.

The club, whose operations are fully funded by the Group, invited speakers who are respected authorities in their fields, to impart their business skills and experiences to customers at several workshops hosted in Nairobi and Mombasa.

Environment

The NIC Bank Group recognises that its duty to the environment goes beyond managing its business responsibly and therefore gets involved directly in effective measures to improve the lives of the community through the 'Tupande Pamoja' initiative. This is a partnership program between the East Africa Wildlife Society (EAWLS), Kenya Forests Working Group, Nature Kenya and the United Nations Environmental Programme (UNEP). Since 2009, NIC Bank has partnered with EAWLS and the Lari Forest Community of the Uplands Forest to rehabilitate more than 25 hectares of degraded forest land. The highlight of this partnership was marked by a joint tree planting by members of staff together with members of the community.

SUSTAINABILITY STATEMENT (Continued)

• Project Impact

The sponsorship has directly led to more than 25 hectares of forest land being planted with more than 30,000 indigenous seedlings being planted

• Community involvement

All the seedlings and other planting resources are sourced from the local community. The Kenya Forest Services allows the local community to plant fast growing food crops in the rehabilitated land. This is a win-win situation as farmers benefit from the farming proceeds while they also protect the seedlings by weeding and keeping away animals. It is encouraging to report that on account of this arrangement the survival rate of seedlings planted is over 95%.

• Rhino Charge

The Rhino Charge is an annual off road motorsport competition that has been held in Kenya since 1989 and is organized by The Rhino Ark Charitable Trust to raise funds for the conservation of Kenya's Aberdare Ecosystem. In 2010, Rhino Ark announced its commitment to support conservation of other critical ecosystems, starting with Mau Mount Eburu and Mt. Kenya. Funds raised by the Rhino Charge now also play an important role in supporting these areas and in aid of this worthy cause, NIC Bank sponsored various teams in 2013.

• Resource efficiency

In addition to supporting the environment in 2013, NIC Bank Group implemented the following energy reduction and consumption measures, starting with the Head office and new branches:

- LED panel lights were installed in the new branches and within the common areas of NIC House, which has substantially reduced energy consumption.
- Refurbished and modernized the rest rooms to minimize water wastage. This initiative has cut water consumption by half.

Sustainable development (environmental & social responsibility)

Since 2012, NIC Bank Group has embarked on the development of a robust and comprehensive policy, procedures and system which addresses the Environmental and Social Risk Management (ESRM) issues of the Group's borrowers and investees.

The Environmental & Social Policy (ESP) manual will be a guiding vehicle for the ESRM, which assures a systematic and consistent approach to assessing and mitigating the environmental and social risks and impacts of the Group's business activities. The ESP describes the approved standards and requirements for the Group and details the scope, process, procedures, and workflow that will be followed for lending and investments made by NIC Bank Group.

The ESP also identifies and mitigates environmental and social risks (E&S) in the projects and companies the Group does business with and on its implementation will be an integral part of the credit evaluation process at the Group.

Other Sponsorships

• Nairobi Hospice

NIC Bank has been committed to supporting the Nairobi Hospice's fundraising efforts annually. The funds raised are utilized to support the Hospice in providing palliative care for patients with life threatening illnesses such as Cancer, HIV and AIDS irrespective of their economic status.

• Mabati Medical Centre

NIC Bank supports the Mabati Medical Centre, which is a unique centre that provides affordable Health Care to the residents of Kaloleni District, Mombasa and in 2013 made a donation towards the Centre.

• Nairobi Hospital Children's Heart Fund

The Heart Fund was established ten years ago to provide resources for treating needy children with heart ailments. The 2013 fundraising program was themed 'Giving Little Hearts Big Dreams' and NIC Bank Group participated in the fundraising golf tourney and also attended the cheque giving ceremony held at Nairobi Hospital.

• Mater Heart Run

The Mater Heart Run Program was started in 2004 to assist children from families who cannot afford cardiac surgery. Last year NIC Bank Group donated towards this cause and also had 30 members of staff participate in 'Mater Heart Run' event together with their family members.

SUSTAINABILITY STATEMENT

- **Ahadi Trust Foundation**

People suffering from jigger infestation are presently among the most stigmatized and traumatized members of our society. The difficulty they suffer in walking restricts their ability to engage in everyday activity including farming and attending school.

Ahadi Kenya has worked in partnership with several corporate bodies in Kenya in the treatment and fumigation of jiggers and fleas, in creating awareness of the jigger plight and educating communities on the various ways of preventing jigger existence and recurrence, and in the rehabilitation of children and adults who have been affected by the plight. In the process Ahadi Kenya has reached numerous people affected by jiggers across the country and NIC Bank first started supporting the Foundation in 2008.

In 2013, the Bank donated funds to cater for 100 students during the Foundation's efforts in Kigumo Constituency, Murang'a County.

- **Kenya Red Cross Society**

In times of both natural and man-made disaster, NIC partners with communities to alleviate hardship and suffering through the provision of emergency relief supplies.

In 2013, NIC Bank donated to the Kenya Red Cross to supplement their efforts following the Westgate attack. Kenya Red Cross was at the forefront of providing critical support services which included psychosocial support to the affected and mobilization of the public to donate blood and other basic needs.

Employees

As at 31 December 2013, NIC Bank Group employed 909 employees on a full time basis compared to 813 in 2012. These employees strive to provide world class financial services while upholding the corporate values of being professional, innovative, passionate, responsive and operating with integrity.

- **Ethical Standards**

The NIC Bank Group conducts business in compliance with high ethical standards of business practice. The Group has a Code of Conduct & Ethics which outlines the principles and policies that govern the activities of the company and to which all employees and directors must adhere.

Upon engagement and annually, new directors and members of staff are required to sign the Code of Conduct & Ethics acknowledging that they have read and are committed to abide by it.

- **Communication**

The NIC Bank Group encourages dialogue and participation from all employees through the internal intranet and through cross functional team-building initiatives. Further, the Group holds an annual staff conference where all staff members meet to discuss the Group's progress and strategic direction.

- **Staff Training & Development**

Staff training and development remains central as it is key to the employee's growth. The Group firmly believes that the growth of the business is inextricably interlinked with the growth of its employees.

In 2013, training focused on customer service, technical competencies and people management skills across all staff levels;

- All customer facing employees were taken through Customer Service Empowerment program as this is considered to be one of the Group's core competencies that differentiates us from the competitors.
- The senior management team was taken through executive coaching as coaching facilitates productive change in persons, teams, and systems by enabling leaders to uncover potential that might otherwise go untapped. At the same time, the Bank has realized that the traditional hierarchical model of leading and influencing is no longer optimal to succeed in today's complex and dynamic marketplace.
- Following the introduction of E-learning, a Learning Management System was acquired. The system will facilitate the roll out of the various competency courses to the entire Group.
- In 2013, Departmental Training Champions were introduced to improve the Group training needs analysis at a departmental level and allow better focus on training at Group level.

SUSTAINABILITY STATEMENT (Continued)

The Group continues to provide international exposure to high potential and high performing employees and therefore continues to identify international strategic partners where these employees can be attached and developed.

With the current employee skill-base, the Group is well positioned to effectively compete both locally and internationally.

Health and Safety at Work

In 2013, the annual health and safety audit was conducted in all premises.

The audit was carried out with a view to evaluating compliance of the workplace and the associated operations with the provisions of the Occupational Safety and Health Act, 2007 and all its relevant subsidiary legislations. The following areas were assessed;

Fire safety audit

- Fire risk assessment
- Emergency evacuation plan
- Emergency routes
- Preventive and protective measures
- Review of safety awareness – fire drills and training

Safety and Health audit

- Leadership and administration
- Hazard identification, assessment and control
- Safe job practices and procedures
- Education and training
- Emergency preparedness
- Management of those with disabilities
- Risk assessment to identify what could cause harm to people and how to address these

The reports from the audits were favourable. Relevant training including fire marshal and first aid training was conducted throughout the year.

DIRECTORS' REPORT

The Board of Directors has pleasure in submitting the annual report together with the audited financial statements for the year ended 31 December 2013 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of NIC Bank Limited (the "Bank") together with its subsidiaries (the "Group").

1. ACTIVITIES

The principal activities of the Group are the provision of retail and corporate banking, stock brokerage, bancassurance and investment banking services.

2. RESULTS FOR THE YEAR

The Group profit for the year of Shs 3,237,301,000 (2012: Shs 3,036,794,000) has been added to retained earnings.

3. DIVIDENDS AND BONUS SHARE ISSUE

An interim dividend of Shs 0.25 per share amounting to Shs 135,746,000 (2012: Nil) was paid to shareholders on 1st October 2013. The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 21st May 2014, the payment of a final dividend for the year of Shs 0.75 (2012: first and final dividend of Shs 1). The dividend will be payable to the shareholders registered on the company's register at the close of business on 27th March 2014 and will be paid on or after 21st May 2014. The register will remain closed for one day on 28th March 2014.

The total dividend for the year, therefore, is Shs 1.00 (2012: Shs 1.00) for every one ordinary share amounting to Shs 542,984,000 (2012: Shs 542,984,000).

The Board has also recommended, subject to regulatory approvals and that of shareholders, to make a bonus issue in the proportion of 1 new ordinary share for every 10 fully paid up shares then held.

4. NIC BANK TANZANIA LIMITED

The Board of Directors of the Bank approved the acquisition of an additional 17.97% of NIC Bank Tanzania Limited for Shs 349 million in January 2013, increasing its shareholding to 68.97%.

The Board of Directors of NIC Bank Tanzania Limited approved the raising of additional capital of TZShs 8.5 billion through a Rights Issue in January 2013. The Bank participated fully in the Rights Issue investing Shs 364 million (equivalent to 68.97% of the Rights Issue).

In November 2013, the Board of Directors of the Bank approved full participation of a second Rights Issue of TZShs 8.5 billion and the take-up of Rights that are not exercised by existing shareholders. NIC Bank Limited invested Khs 366 million in December 2013. An additional TZShs 2,638 (Shs 140 million) is available should the existing minority shareholders choose not to exercise their rights. The rights issue is expected to be concluded by 30th June 2014.

5. DIRECTORS

The directors who held office during the year and to date are shown on pages 24 to 25. During the year, James Macharia resigned as a Director on 15th May 2013. In accordance with Articles 97 of the Articles of Association, John Gachora and Kairo Thuo who were appointed as Directors on 21st August 2013 and 27th November 2013 respectively, retire from office and being eligible, offer themselves for re-election. In accordance with articles 108, 109 and 110 of the Articles of Association, A S M Ndegwa, P V Shah and I O Wilson retire by rotation and, being eligible, offer themselves for re-election.

6. AUDITOR

The auditor, PriceWaterhouseCoopers, having been appointed at the AGM held on 8th May 2013, expressed its willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap.486).

7. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the Board of Directors on 28th February 2014.

BY ORDER OF THE BOARD

L MURAGE

Group Company Secretary
Nairobi

28 February 2014

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

The directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and of the Bank at 31st December 2013 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 28th February 2014 and signed on its behalf by:

J P M NDEGWA
(Chairman)

J GACHORA
(Group Managing Director)

28 February 2014

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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC BANK LIMITED

Report on the consolidated financial statements

We have audited the accompanying financial statements of NIC Bank Limited (the "Bank") and its subsidiaries (together, the "Group"), set out on pages 45 to 130. These financial statements comprise the consolidated statement of financial position as at 31 December 2013 and the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2013 and the statements of profit or loss, comprehensive income, changes in equity and cash flows of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2013 and of the financial performance and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

INDEPENDENT AUDITOR'S REPORT

As required by the Kenyan Companies Act we report to you based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank's statements of financial position and profit or loss account are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Kang'e Saiti – P/No 1652.

Certified Public Accountants

Nairobi

31 March 2014

PricewaterhouseCoopers CPA. PwC Tower, Waiyaki Way/Chiromo Road, Westlands
P O Box 43963 – 00100 Nairobi, Kenya
T: +254 (20)285 5000 F: +254 (20)285 5001 www.pwc.com/ke

Partners: A Eriksson P Kinisu K Muchiru M Mugasa F Muriu P Ngahu A Njeru R Njoroge B Okundi K Saiti R Shah

STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 DECEMBER 2013

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	Note
10,313,258	10,446,405	Interest income	11,642,416	11,467,574	7
(3,779,478)	(5,526,845)	Interest expense	(4,374,437)	(5,983,706)	8
6,533,780	4,919,560	NET INTEREST INCOME	7,267,979	5,483,868	
(479,185)	(265,264)	Credit impairment charges	(1,092,873)	(297,485)	12(c)
6,054,595	4,654,296	Net interest income after credit impairment charges	6,175,106	5,186,383	
1,136,212	939,747	Fee and commission income	1,303,629	1,053,113	9(a)
(52,323)	(57,918)	Fee and commission expense	(63,111)	(64,273)	9(b)
1,083,889	881,829	NET FEE AND COMMISSION INCOME	1,240,518	988,840	
1,229,908	1,291,926	Net trading income	1,363,033	1,323,271	10
253,995	263,044	Other operating income	551,656	520,146	11
8,622,387	7,091,095	NET OPERATING INCOME	9,330,313	8,018,640	
(1,896,850)	(1,592,554)	Employee benefits	(2,367,508)	(1,978,651)	13
(363,966)	(270,943)	Depreciation and amortisation	(446,106)	(317,932)	14(a)
(1,140,714)	(916,649)	Other operating expenses	(1,507,128)	(1,204,090)	14(b)
(3,401,530)	(2,780,146)	OPERATING EXPENSES	(4,320,742)	(3,500,673)	
5,220,857	4,310,949	PROFIT BEFORE INCOME TAX	5,009,571	4,517,967	
(1,835,281)	(1,403,087)	Income tax expense	(1,772,270)	(1,481,173)	15(a)
3,385,576	2,907,862	PROFIT FOR THE YEAR	3,237,301	3,036,794	
		Profit for the year attributable to:			
3,385,576	2,907,862	Equity holders of the Bank	3,323,381	2,984,406	
-	-	Non-controlling interests	(86,080)	52,388	
3,385,576	2,907,862		3,237,301	3,036,794	
Shs 6.24	Shs 5.87	EARNINGS PER SHARE (SHS) - BASIC	Shs 6.12	Shs 6.03	16

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The notes on pages 51 to 130 are an integral part of these financial statements.

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2013

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	Note
3,385,576	2,907,862	PROFIT FOR THE YEAR	3,237,301	3,036,794	
		OTHER COMPREHENSIVE INCOME:			
		<i>Items that will not be subsequently reclassified to profit or loss</i>			
39,243	-	Revaluation surplus on property	39,243	-	36(b)
		<i>Items that may be subsequently reclassified to profit or loss</i>			
(179,036)	406,377	Fair value (loss)/ gain on available for sale investments, net of deferred tax	(175,407)	406,377	36(c)
-	-	Exchange differences on translation of foreign operations	(122,324)	(335,010)	36(d)
(139,793)	406,377	OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	(258,488)	71,367	
3,245,783	3,314,239	TOTAL COMPREHENSIVE INCOME FOR THE YEAR	2,978,813	3,108,161	
		Total Comprehensive Income attributable to:			
3,245,783	3,314,239	Equity holders of the Bank	3,064,893	3,055,773	
-	-	Non-controlling interests	(86,080)	52,388	
3,245,783	3,314,239		2,978,813	3,108,161	

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2013

The notes on pages 51 to 130 are an integral part of these financial statements.

Bank				Group	
2013	2012			2013	2012
Shs'000	Shs'000		Note	Shs'000	Shs'000
ASSETS					
7,044,946	5,963,269	Cash and balances with Central Banks	17	8,743,544	7,050,962
215,693	375,240	Items in the course of collection	18	243,514	429,545
4,189,408	6,569,964	Due from banking institutions	19	5,920,199	8,188,716
15,946,330	16,222,431	Government securities	20	18,093,150	17,478,232
41,232	78,724	Derivative assets	21	48,049	83,123
77,114,087	66,381,215	Loans and advances to customers	22	83,493,313	71,540,092
1,190,474	615,156	Other assets	23	1,531,206	913,742
-	-	Current income tax	15(c)	188,847	17,860
2,044,162	1,603,250	Due from group companies	24	-	-
3,365,493	2,285,324	Investments	25	250,460	243,931
302,269	241,808	Deferred income tax	26	328,788	257,632
825,910	785,612	Property and equipment	27	1,119,264	1,009,891
629,560	642,337	Intangible assets	28	1,095,155	1,127,492
7,250	7,375	Operating lease prepayments	29	7,250	7,375
112,916,814	101,771,705	Total assets		121,062,739	108,348,593
LIABILITIES					
84,236,189	77,466,042	Customer deposits	30	91,565,005	83,379,576
4,910,171	3,044,959	Due to banking institutions	31	5,896,334	3,571,280
3,628,169	3,655,414	Borrowings	32	3,628,169	3,655,414
537,980	610,360	Due to group companies	33	-	-
296,595	382,138	Current income tax	15(c)	306,709	383,325
1,604,548	1,494,231	Other liabilities	34	2,025,383	1,823,422
72,233	53,954	Unclaimed dividends	35	72,233	53,954
95,285,885	86,707,098	Total liabilities		103,493,833	92,866,971
EQUITY					
Capital and reserves attributable to equity holders of the Bank					
2,714,921	2,714,921	Share capital	36(a)	2,714,921	2,714,921
1,208,068	1,208,799	Share premium	36(a)	1,208,068	1,208,799
189,545	155,083	Revaluation surplus on property	36(b)	189,545	155,083
(209,823)	(30,787)	Investments revaluation reserve	36(c)	(206,194)	(30,787)
-	-	Foreign currency translation reserve	36(d)	(536,418)	(414,094)
729,104	637,174	Regulatory reserve(s)	36(e)	975,617	687,543
-	-	Other reserve	36(f)	(154,126)	-
12,999,114	10,379,417	Retained earnings	36(g)	12,999,981	10,638,623
17,630,929	15,064,607	Total capital and reserves attributable to equity holders of the Bank		17,191,394	14,960,088
-	-	Non-controlling interests	37	377,512	521,534
17,630,929	15,064,607	Total equity		17,568,906	15,481,622
112,916,814	101,771,705	Total liabilities and equity		121,062,739	108,348,593

The financial statements on pages 45 to 130 were approved and authorised for issue by the Board of Directors on 28 February 2014 and were signed on its behalf by:

J P M NDEGWA
(Chairman)

F N MWANZIA
(Director)

J GACHORA
(Group Managing Director)

L MURAGE
(Group Company Secretary)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2013

Non-distributable ← Distributable

Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Foreign currency translation reserve Shs'000	Regulatory reserves Shs'000	Other reserve Shs'000	Retained Earnings Shs'000	Capital and reserves attributable to equity holders of the Bank Shs'000	Non-controlling interests Shs'000	Total Equity Shs'000
At 1 January 2012	1,974,488	-	159,864	(437,164)	(79,084)	533,581	-	7,902,122	10,053,807	469,146	10,522,953
Profit for the year	-	-	-	-	-	-	-	2,984,406	2,984,406	52,388	3,036,794
Other comprehensive income, net of tax	-	-	-	406,377	(335,010)	-	-	-	71,367	-	71,367
Total comprehensive income for the year	-	-	-	406,377	(335,010)	-	-	2,984,406	3,055,773	52,388	3,108,161
Transfer of excess depreciation	-	-	(6,830)	-	-	-	-	6,830	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,049	-	-	-	-	(2,049)	-	-	-
Transfer to regulatory reserves	-	-	-	-	-	153,962	-	(153,962)	-	-	-
Transactions with owners, recorded directly through equity											
Bonus issue of shares	246,811	(246,811)	-	-	-	-	-	-	-	-	-
Rights issue of shares	493,622	1,579,590	-	-	-	-	-	-	2,073,212	-	2,073,212
Bonus and rights issue expenses paid	-	(123,980)	-	-	-	-	-	-	(123,980)	-	(123,980)
Dividends paid - Final for 2011	-	-	-	-	-	-	-	(98,724)	(98,724)	-	(98,724)
At 31 December 2012	2,714,921	1,208,799	155,083	(30,787)	(414,094)	687,543	-	10,638,623	14,960,088	521,534	15,481,622
At 1 January 2013	2,714,921	1,208,799	155,083	(30,787)	(414,094)	687,543	-	10,638,623	14,960,088	521,534	15,481,622
Profit for the year	-	-	-	-	-	-	-	3,323,381	3,323,381	(86,080)	3,237,301
Other comprehensive income, net of tax	-	-	39,243	(175,407)	(122,324)	-	-	-	(258,488)	-	(258,488)
Total comprehensive income for the year	-	-	39,243	(175,407)	(122,324)	-	-	3,323,381	3,064,893	(86,080)	2,978,813
Transfer of excess depreciation	-	-	(6,830)	-	-	-	-	6,830	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,049	-	-	-	-	(2,049)	-	-	-
Transfer to regulatory reserves	-	-	-	-	-	288,074	-	(288,074)	-	-	-
Transactions with owners, recorded directly through equity											
Rights Issue of shares to non-controlling interests in NIC Bank Tanzania	-	-	-	-	-	-	-	-	-	155,157	155,157
Acquisition of interest from non-controlling interests in:											
NIC Bank Tanzania Limited	-	-	-	-	-	-	(170,952)	-	(170,952)	(178,404)	(349,356)
NIC Securities Limited	-	-	-	-	-	-	16,826	-	16,826	(34,695)	(17,869)
Rights issue expenses paid	-	(731)	-	-	-	-	-	-	(731)	-	(731)
Dividends paid - Final for 2012	-	-	-	-	-	-	-	(542,984)	(542,984)	-	(542,984)
- Interim for 2013	-	-	-	-	-	-	-	(135,746)	(135,746)	-	(135,746)
At 31 December 2013	2,714,921	1,208,068	189,545	(206,194)	(536,418)	975,617	(154,126)	12,999,981	17,191,394	377,512	17,568,906

The notes on pages 51 to 130 are an integral part of these financial statements.

BANK STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2013

Non-distributable ← → Distributable

Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Regulatory reserve Shs'000	Retained Earnings Shs'000	Total Equity Shs'000
At 1 January 2012							
Profit for the year	-	-	-	-	-	2,907,862	2,907,862
Other comprehensive income, net of tax	-	-	-	406,377	-	-	406,377
Total comprehensive income for the year	-	-	-	406,377	-	2,907,862	3,314,239
Transfer of excess depreciation	-	-	(6,830)	-	-	6,830	-
Deferred tax on transfer of excess depreciation	-	-	2,049	-	-	(2,049)	-
Transfer to regulatory reserve	-	-	-	-	129,655	(129,655)	-
Transactions with owners, recorded directly through equity							
Rights issue	493,622	1,579,590	-	-	-	-	2,073,212
Bonus and rights issue expenses paid	-	(123,980)	-	-	-	-	(123,980)
Bonus issue of shares	246,811	(246,811)	-	-	-	-	-
Dividends paid - Final for 2011	-	-	-	-	-	(98,724)	(98,724)
At 31 December 2012	2,714,921	1,208,799	155,083	(30,787)	637,174	10,379,417	15,064,607
At 1 January 2013							
Profit for the year	-	-	-	-	-	3,385,576	3,385,576
Other comprehensive income, net of tax	-	-	39,243	(179,036)	-	-	(139,793)
Total comprehensive income for the year	-	-	39,243	(179,036)	-	3,385,576	3,245,783
Transfer of excess depreciation	-	-	(6,830)	-	-	6,830	-
Deferred tax on transfer of excess depreciation	-	-	2,049	-	-	(2,049)	-
Transfer to regulatory reserve	-	-	-	-	91,930	(91,930)	-
Transactions with owners, recorded directly through equity							
Rights issue expenses paid	-	(731)	-	-	-	-	(731)
Dividends paid - Final for 2012	-	-	-	-	-	(542,984)	(542,984)
- Interim for 2013	-	-	-	-	-	(135,746)	(135,746)
At 31 December 2013	2,714,921	1,208,068	189,545	(209,823)	729,104	12,999,114	17,630,929

The notes on pages 51 to 130 are an integral part of these financial statements.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2013

Bank			Group		
2013	2012		Note	2013	2012
Shs'000	Shs'000			Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES					
(1,072,049)	4,863,667	Cash generated from / (used in) operations	39 (a)	(1,164,223)	5,343,733
(1,940,225)	(1,311,294)	Income tax paid	15 (c)	(2,052,900)	(1,406,507)
(3,012,274)	3,552,373	Net cash (used in)/ from operating activities		(3,217,123)	3,937,226
CASH FLOWS FROM INVESTING ACTIVITIES					
-	(1,137,538)	Investment in NC Bank Uganda	25 (a)	-	-
(349,357)	-	Investment in NIC Bank Tanzania:			
(730,813)	-	- acquisition of interest from non-controlling interest	37 (a)	(349,357)	-
-	-	- rights issues of shares		-	-
(197,243)	(107,554)	Investment in NIC Securities		(17,870)	-
(148,415)	(339,005)	Purchase of property and equipment	27	(303,434)	(258,698)
12,107	291	Purchase of intangible assets	28 (a)	(156,697)	(455,621)
(1,413,721)	(1,583,806)	Proceeds from sale of motor vehicle and equipment	39 (c)	12,145	689
		Net cash used in investing activities		(815,213)	(713,630)
CASH FLOWS FROM FINANCING ACTIVITIES					
(660,451)	(100,675)	Dividends paid	35	(660,451)	(100,675)
-	2,073,212	Rights issue of shares to non-controlling interests in NIC Bank Tanzania	37 (a)	155,157	2,073,212
(731)	(123,980)	Bonus and rights issue expenses paid	36 (a)	(731)	(123,980)
(661,182)	1,848,557	Net cash (used in)/ from financing activities		(506,025)	1,848,557
(5,087,177)	3,817,123	NET (DECREASE) /INCREASE IN CASH AND CASH EQUIVALENTS		4,538,361	5,072,153
9,996,476	6,179,353	CASH AND CASH EQUIVALENTS AT 1 JANUARY		12,110,149	7,055,642
-	-	Effect of foreign exchange rate changes		(10,189)	(17,646)
4,909,299	9,996,476	CASH AND CASH EQUIVALENTS AT 31 DECEMBER	39 (b)	7,561,599	12,110,149

The notes on pages 51 to 130 are an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2013

1) Reporting Entity

NIC Bank Limited (the "Bank/Parent") and its subsidiaries (together, the "Group") provide retail, corporate banking, brokerage, bancassurance and investment banking services. NIC Bank Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Securities Exchange (NSE). NIC Bank Limited and its subsidiaries operate in Kenya, Tanzania and Uganda through its subsidiaries NIC Bank Tanzania Limited and NC Bank Uganda Limited.

The address of its registered office is as follows:

**LR Plot No.8182
NIC House, Masaba Road
P O Box 44599
Nairobi-GPO 00100**

For the Kenya Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of profit or loss in these financial statements.

2) Standards and interpretations affecting the reported result or financial position

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

i) Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Bank uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Bank using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Bank at the end of the reporting period during which the change occurred.

ii) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group's and Bank's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 5.

iii) Changes in accounting policy and disclosures

Adoption of new and revised standards

All new and revised standards and interpretations that have become effective for the first time in the financial year beginning 1 January 2013 have been adopted by the Bank. Of those, the following have had an effect on the Group's and Bank's financial statements:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

2) Standards and interpretations affecting the reported result or financial position (Continued)

Basis of preparation (Continued)

iii) Changes in accounting policy and disclosures

Adoption of new and revised standards

IAS 1 (Amendment), Presentation of financial statements: the amendment requires entities to group items of other comprehensive income according to whether or not they will be subsequently reclassified to profit or loss. The amendment only affects presentation on the face of the statement of comprehensive income.

IFRS 7 (Amendment), Financial Instruments: Disclosures: The amendment provides new guidance on offsetting financial assets and financial liabilities. It allows investors to bridge differences in the offsetting reporting requirements of IFRS and US GAAP and introduces new disclosures that provide better information on how entities mitigate credit risk, including related collateral pledged. The amendment has had an impact on the financial statements as set out Note 4.

IFRS 10 Consolidated financial statements: The new standard replaces all the guidances on control and consolidation in IAS 27, Consolidated and separate financial statements and SIC-12, Special purpose entities. IFRS 10 introduces a single consolidation model that identifies control as the basis for consolidation for all types of entities, where control is based on whether an investor has power over the investee, exposure/rights to variable returns from its involvement with the investee and the ability to use its power over the investee to affect the amount of the returns. This has had an impact on the Group policy on consolidation. However, based on the current investments of the Group, there is no change in accounting for the subsidiaries.

IFRS 12, 'Disclosures of interests in other entities' includes the disclosure requirements for all forms of interest in other entities, including subsidiaries, joint arrangements, associates, structured entities and other off balance sheet vehicles. The impact of adopting of IFRS 12 has been increased disclosures in the financial statements.

IFRS 13, Fair value measurement: the new standard defines fair value, sets out a framework for measuring fair value, and requires disclosures about fair value measurements. IFRS 13 applies when other standards require or permit fair value measurements; it does not introduce any new requirements to measure an asset or liability at fair value. The impact of the standard has been reflected on Notes 2 a) i) and 4.

New and revised standards and interpretations which have been issued but are not yet effective

The Group has not applied the following revised standards and interpretations that have been published but are not yet effective for the year beginning after 1 January 2013.

Amendments to IAS 32 titled "Offsetting Financial Assets and Financial Liabilities" (issued in December 2011) – The amendments address inconsistencies in current practice when applying the offsetting criteria in IAS 32, mainly by clarifying the meaning of "currently has a legally enforceable right of set-off" and that some gross settlement systems may be considered equivalent to net settlement. They are effective for annual periods beginning on or after 1 January 2014, with retrospective application.

Amendments to IAS 36 titled "Recoverable Amount Disclosures for Non-Financial Assets" (issued in May 2013) – The amendments reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique. They are effective for annual periods beginning on or after 1 January 2014.

Amendments to IAS 39 titled "Novation of Derivatives and Continuation of Hedge Accounting" (issued in June 2013) – The amendments permit the continuation of hedge accounting in a situation where the counterparty to a derivative designated as a hedging instrument is replaced by a new central counterparty (known as 'novation of derivatives'), as a consequence of laws or regulations, if specific conditions are met. They are effective for annual periods beginning on or after 1 January 2014.

Amendments to IFRS 10, IFRS 12 and IAS 27 titled "Investment Entities" (issued in October 2012) – The amendments define "investment entities" and provide them an exception from the consolidation of subsidiaries; instead, an investment entity is required to measure the investment in each eligible subsidiary at fair value through profit or loss in accordance with IFRS 9 / IAS 39 (the exception does not apply to subsidiaries that provide services relating to the investment entity's investment activities). An investment entity is required to account for its investment in a relevant subsidiary in the same way in its consolidated and separate financial statements, and additional disclosures are introduced. The amendments are effective for annual periods beginning on or after 1 January 2014, retrospectively with some transitional provisions. The Directors do not anticipate any effect on the Bank's consolidated financial statements as the parent company is not an investment entity.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

2) Standards and interpretations affecting the reported result or financial position (Continued)

Basis of preparation (Continued)

iii) Changes in accounting policy and disclosures (Continued)

New and revised standards and interpretations which have been issued but are not yet effective (Continued)

IFRIC 21 - Levies (issued in May 2013) – The interpretation provides guidance on when to recognise a liability for a levy imposed by a government. The obligating event for the recognition of a liability is the activity that triggers the payment of the levy in accordance with the relevant legislation. It also provides guidance on recognition of a liability to pay levies: the liability is recognised either progressively if the obligating event occurs over a period of time, or when the minimum threshold is reached if an obligation is triggered on reaching that minimum threshold. The interpretation is effective for annual periods beginning on or after 1 January 2014.

IFRS 9 - Financial Instruments, it replaces parts of IAS 39 - Financial Instruments, Recognition and Measurement that relate classification, measurement and recognition of financial assets and financial liabilities. IFRS 9 requires financial assets to be classified, at initial recognition as either measured at fair value or at amortised cost. The classification depends on the entity's business model for managing its financial instruments and the characteristics of the contractual cash flows of the instrument. For financial liabilities, the standard retains most of the requirements of IAS 39. The main change is that, in cases where the fair value option is applied for financial liabilities, the part of a fair value change arising from a change in an entity's own credit risk is recorded in other comprehensive income rather than the profit or loss, unless this creates an accounting mismatch.

Amendments to IFRS 9 - Financial Instruments, hedge accounting: it replaces parts of IAS 39 - Financial Instruments, Recognition and Measurement that relate to hedge accounting. The changes align hedge accounting closely to entity risk management policy, replaces the bright line under IAS 39 for hedge effectiveness and eligibility for hedge accounting, changes what qualifies as a hedged item removing the restrictions under IAS 39 and relaxes the rules on the use of some hedging instruments such as purchased options and non-derivative financial items. The standard has no mandatory effective date but it is available for immediate application.

The Directors are assessing the impact of the standards and will apply these amendments prospectively. They, however, anticipate no material impact to the Group's financial statements.

3) Summary of significant accounting policies

a) Consolidation

i) Subsidiaries

The consolidated financial statements comprise the financial statements of NIC Bank Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated.

Subsidiaries are all entities over which the Group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

A listing of the Bank's subsidiaries is set out in Note 25 (b).

The acquisition method of accounting is used when subsidiaries are acquired by the group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are generally measured and recognized at their fair value.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

a) Consolidation (Continued)

i) Subsidiaries (Continued)

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in profit or loss.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

Additional information required by the regulatory bodies is included where appropriate.

ii) Changes in ownership interest in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

b) Foreign currencies

i) Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "functional currency"). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentation currency.

Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

iii) Group companies

The results and financial position of Group entities that have a functional currency different from the presentation currency are retranslated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenyan shillings using exchange rates prevailing at the reporting date. Income and expense items of foreign operations are retranslated at average exchange rates for the period.

Foreign currency exchange differences are reported as "exchange differences on translations of foreign operations" and are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

c) Income recognition

i) Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised in profit or loss on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

ii) Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

iii) Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. It comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, dividends and foreign exchange differences.

d) Financial instruments

I. Recognition

Regular purchases and sales of financial assets are recognised on the trade-date – the date on which the Group commits to purchase or sell the asset. Loans and receivables are initially recognised at fair value plus transaction costs and subsequently carried at amortised cost using the effective interest method.

II. Classification

1. Financial assets

The Group classifies its financial assets into the following categories:

- At fair value through profit or loss
- Loans and receivables
- Held-to-maturity investments
- Available for sale investments

Management determines the appropriate classification of its investments at initial recognition.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

II. Classification(Continued)

1. Financial assets (Continued)

(a) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset is classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. Financial instruments included in this category are recognised initially at fair value, transactions costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss.

The group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to key management personnel on a fair value basis.

For the Group, these comprise derivative assets (Note 21), certain government securities as set out in Note 20, quoted shares and unquoted equity investments (Note 25). Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss' under 'net trading income' (Note 10).

(b) Loans and receivables

Loans and advances to customers and trade receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market and which the Group does not intend to sell immediately or in the near term. Loans and advances to customers are recognised when cash is advanced to borrowers.

(c) Held-to-maturity investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

(d) Available-for-sale investments

Available-for-sale financial assets are assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Available for sale financial assets are initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of;

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

II. Classification(Continued)

2. Financial liabilities

Financial liabilities are recognised when the Group enters into the contractual provisions of the arrangements with counterparties, which is generally on trade date, and initially measured at fair value, which is normally the consideration received, net of directly attributable transaction costs incurred. Subsequent measurement of financial liabilities is at amortised cost using effective interest rate method. Financial liabilities will include deposits from banks or customers, trade payables in the brokerage and borrowings for which the fair value option is not applied.

III. Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or substantially all the risks and rewards of ownership incidental to the financial asset are transferred. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit or loss' are subsequently carried at fair value. Gains and losses arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in other comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on the most representative price within the bid-ask spread. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of various valuation methodology. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

Loans and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

IV. Measurement (Continued)

Classes of financial instruments

The Bank classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table as follows:

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses	
Financial assets and liabilities	Financial assets at fair value through profit or loss	Financial assets held for trading	Debt securities (Government securities)		
		Financial assets designated at fair value through profit or loss	Derivative assets		
			Quoted shares		
			Unquoted equity investments		
	Loans and receivables	Cash and balances with Central Banks (excluding mandatory reserves)			
		Items in the course of collection			
		Due from banking institutions			
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts	
				Credit cards	
				Term loans	
				Mortgages	
			Loans to corporate entities	Large corporate customers	
				SMEs	
				Others	
	Other assets				
	Due from group companies				
	Held-to-maturity Investments	Investment securities - debt securities	Government securities		
	Available-for-sale financial assets	Investment securities - debt securities	Government securities		
	Financia liabilities at armortised cost	Due to banking institutions			
		Due to group companies			
		Other liabilities			
		Deposits from customers	Deposits from individuals (retail)	Retail customers	
			Deposits from corporate entities	Large corporate customers	
			SMEs		
Off-balance sheet financial Instruments	Loan commitments				
	Guarantees, acceptances and other financial facilities				

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

V. Impairment of financial assets

1. Amounts carried at amortised cost

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss as 'Credit impairment charges'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

Objective evidence that loans and receivables are impaired can include significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans or receivable is impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

a) Individually assessed loans

- The aggregate exposure to the Group.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer.

b) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

V. Impairment of financial assets (Continued)

1. Amounts carried at amortised cost (Continued)

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

2. Amounts classified as available for sale

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit or loss on equity instruments are not reversed through profit or loss.

VI. Impairment of non-financial assets

At the end of each reporting period, the Group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in profit or loss. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the Group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the Group is cognisant of the estimated future cash flows discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

Impairment loss on goodwill is not reversed.

e) Offsetting

Financial instruments are offset and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

f) Employee expenses

I. Retirement benefit obligations

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

In addition, the Group also contributes to the National Social Security Fund in Kenya, Parastatal Pension Fund in Tanzania and National Social Security Fund in Uganda, which are defined contribution scheme registered under respective Acts of Parliament in the respective countries.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

f) Employee expenses (Continued)

I. Retirement benefit obligations (Continued)

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g. medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the employee renders service.

The monetary benefits for employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

g) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease. When a lease includes land and buildings elements, the bank assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgment. See note 5 to these financial statements.

h) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year using currently enacted tax rates, and any adjustment to tax payable in respect of previous years.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

i) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive ordinary shares.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

j) Dividends on ordinary shares

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

k) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Banks, items in the course of collection from other banks, deposits held at call with banks, net of deposits and balances due to banking institutions and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

l) Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

m) Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the Group's financial statements.

n) Property and equipment

I. Recognition and measurement

Items of fixtures and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation. Valuations are performed with sufficient regularity to ensure that the fair value of a revalued asset does not differ materially from its carrying amount. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

The gain or loss arising on the disposal or retirement of an item of property or equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss for the year.

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

n) Property and equipment (Continued)

II. Subsequent costs (Continued)

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the reporting date. Any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

III. Depreciation

Depreciation which is recognised in profit or loss is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Building	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus on property to retained earnings, net of deferred tax.

o) Intangible assets

i. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in profit or loss.

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to profit or loss.

ii. Computer software

Costs associated with maintaining computer software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

o) Intangible assets (Continued)

ii. Computer software (Continued)

Directly attributable costs that are capitalized as part of the software product include the software development, employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over their estimated useful lives, which is three to five years.

Acquired computer software licences are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives. Software has a maximum expected useful life of 5 years.

iii. License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date. Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

p) Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

q) Share capital and share premium

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

r) Regulatory reserves

IAS 39 requires the Group to recognise an impairment loss when there is objective evidence that loans and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans and receivables based on their guidelines. Extra losses over and above those already recognised under IAS 39 are accumulated under regulatory reserves through appropriations of retained earnings.

s) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds, which are credit-related instruments, are generally given by the Group to support performance by a customer to third parties. Nominal principal amounts represent amounts at risk should the Group be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

t) Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements.

u) Derivative financial instruments

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are intended to acquire, increase, reduce or alter exposure to market risks. The group uses derivatives for its customers and on its

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

3) Summary of significant accounting policies (Continued)

u) Derivative financial instruments (Continued)

own account to manage exposure to market risks. Derivative assets and liabilities on different transactions are only set off if the transactions are with the same counterparty, a legal right of set-off exists and the cash flows are intended to be settled on a net basis.

v) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). The management then allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure.

In accordance with IFRS 8, Operating Segments, the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 6).

w) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. The Group's goal is to earn, on behalf of the stakeholders, an optimal, stable and sustainable rate of return for every shilling of risk we take, while continually investing in our business to meet our future growth objectives. The risk management resources and processes are designed to identify, understand, measure and report risks that the Group's businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by the Group's culture which emphasises transparency and accountability for managing risk.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and exploited.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from expected outcomes. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the organisation. These risks are classified as follows:

Financial risks:

- Credit & counterparty risk
- Liquidity & funding risk
- Market risk that fall within:
 - Interest rate risk
 - Foreign exchange risk
 - Price risk

Non-financial risks are discussed on pages 131 to 134.

How we manage risk

Risk management in the Group is integrated with the strategic agenda and closely tied to the capitalisation levels of Group. This is intended to align risks incurred in pursuit of strategic objectives to shareholder expectations and acceptable international best practices. Through an integrated risk management framework, the Group has embedded a strong risk management culture and ensures its alignment with enterprise – wide strategic goals.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

How we manage risk (Continued)

The Group is governed by the following complementary risk principles:

- i. Enterprise-wide in scope – Risk management spans all areas of the Group activities, including strategic alliances, and all boundaries, both geographic and regulatory.
- ii. Enhanced accountability – Risks are explicitly owned, understood and actively managed by the business units' management and all employees, individually and collectively.
- iii. Independent oversight – Risk policies, procedures, and reporting will be established independently and objectively.
- iv. Integrated risk and control culture – Risk management disciplines will be integrated into the daily routines, decision-making and strategy of the Group.
- v. Attainment of strategic balance – Risk will be managed to an acceptable level of exposure, recognising the need to enhance shareholder value whilst protecting shareholder equity and other stakeholders at all times.
- vi. Transparent and effective communication – Matters related to risk will be communicated and escalated in a timely, accurate and forthright manner.

The Group's risk management approach is comprehensive, proactive and continuous. It combines the experience and specialised knowledge of individual business units, risk professionals, and the corporate oversight functions. In managing risk, the Group:

- a) Defines acceptable risk appetite within a comprehensive framework, through the determination and maintenance of appropriate risk management policies, limits, guidelines and practices. Adherence to this framework is primarily managed by individual business units [risk owners] and assessed or monitored through independent oversight arms of management i.e Risk Management and Internal Audit Departments. Key risk management objectives form a substantial input in performance appraisal across the Group.
- b) Actively monitor internal and external risk events to determine and implement effective internal controls to withstand risk shocks. Each business unit and oversight functions periodically identifies and assesses its own key risks and internal controls through structured risk models.
- c) Allocates capital by thoroughly interrogating the risks faced by the Group and the potential impact on capital adequacy. This is done through the use of appropriate and validated risk measurement methodologies developed internally or/and from existing regulatory framework.
- d) Communicates quantitative and qualitative elements of the risk profile to Senior Management, the Board of Directors and other relevant stakeholders through an integrated risk management information system.
- e) Periodically employs stress testing approaches to assess/understand applicability and continued relevance of risk mitigants on potential vulnerabilities.

NIC Bank Group's risk management framework

The framework has five main components which are continually reviewed and updated to ensure that they are consistent and appropriate to risk taking activities, and that they remain relevant to the Group's business and strategies. The framework consists of the following:

Policies & limits

These define the Group's overall risk appetite, and are developed based on the requirements of regulatory authorities and input from the Board of Directors and Senior Management. The policies also provide guidance to the business units by setting boundaries on the types and levels of risks the Group is prepared to assume.

Guidelines

These are directives provided to implement policies and limits as set out above. They describe the facility types, aggregate facility exposures and conditions under which the Group is prepared to do business. Risk taking outside these guidelines has to be approved by Senior Management of the Group, or by the Board of Directors, depending on set approval limits.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

Processes & standards

These are activities associated with identifying, evaluating, documenting, reporting and controlling risk. They define the breadth and quality of information required to make decisions and the expectation in terms of quality of analysis and presentation. At the operating level these are the activities that must be achieved before risk decisions are taken.

Measurement, monitoring & reporting

Measurement and reporting tools quantify risks across products, activities and business units and are used among other things, to determine risk exposures. The Risk Management Department is responsible for developing and maintaining an appropriate suite of such tools to support the operations of the various business units. Measurement information is compared against approved policies, limits and guidelines and presented to Senior Management and the Board of Directors to enable them to understand the Group's risk profile. A comprehensive summary of the Group's risk profile and performance against defined tolerance goals is presented to Senior Management and the Board Risk Management Committee and the Board of Directors for their review, action and guidance.

Independent review

The Internal audit department and the external auditors independently monitor the effectiveness of the risk management programs and internal controls through periodic testing of the design and operations of processes related to identification, measurement or assessment, monitoring, controlling and reporting of risks. Additionally, the Group's internal audit programs are derived from a risk based assessment so as to focus its audit assessment attention to risk areas of the business units deemed high on probability or impact.

The notes below provide high-level information on each of the key risk classes we face in line with the Group's objectives, policies and programs for identifying, measuring or assessing, monitoring, controlling and reporting / communicating those risks to stakeholders. It also elucidates the Group's management of its capital taking into account the approved risk appetite and profile.

a) Credit and counterparty risk

Credit risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces.

It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk Committee and respective Risk Management Committees. This is to ensure policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

Who manages credit & counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains responsibility for the under-writing and independent review of the credit risk exposures through specifically constituted Board sub-committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively.

To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralized credit review/approval team headed by the Head of Credit who reports to the Group Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

Effective credit risk management begins with experienced and professional lending officers who have been mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexity of credit decisions they make.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Who manages credit & counterparty risk

To facilitate quick credit decisions, the Board Credit Risk Committee has granted discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Head of Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

Regular independent audits of the approval process and adherence to credit risk management programs are carried out by the Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit Committee for information and corrective action. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and high impact risk events are envisaged.

How credit and counterparty risk is managed

Credit and counterparty risk measurement & assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using a credit rating model developed internally for use in the business.

Credit & counterparty risk limit control and mitigation policies

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign contracts.

Lending limits are reviewed regularly in view of changing business/financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the management information systems in place.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Other specific control and mitigation measures are outlined below:

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

i) Collateral

This is only considered in those cases where the Group would want to take a credit risk mitigant. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral.

Estimates of the collateral's fair values are based on the value of collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose.

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

ii) Credit rating

The Group uses an internal scoring and rating system for its borrowing clients. The system sets maximum exposure limits for individuals or groups of clients using a scoring rating attained by the borrowers. The system rating will also inform the basis of determining the value and classes of collateral acceptable for the borrower(s).

iii) Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee approval.

Impairment policies

Across all its loan portfolios, the Group employs a disciplined approach to impairment allowances evaluation, with prompt identification of problem loans being a key risk management objective. The Group maintains both collective and specific impairment allowances for credit losses, the sum of which is sufficient to reduce the book value of credit assets to their estimated realisable value. Specific impairment allowances reduce the aggregate carrying value of credit assets where there is specific evidence of deterioration in credit quality. In line with regulatory guidelines, a collective allowance is maintained to cover potential impairment in the existing portfolio that cannot be associated with specific credit. These allowances are reviewed and updated on a regular basis.

Write-off policy

The Group writes off loans and advances net of any related allowances for impairment losses when it determines that the loans are uncollectable and securities unrealisable. This determination is reached after accessing objective evidence or occurrence of significant changes in the borrower or issuer's financial position such that they are no longer able to repay the obligation, or that proceeds from the sale of collateral will not be sufficient to pay back the entire exposure. This is done after exhausting all other means including litigation. For Retail and Asset Finance loans, charge off decisions are generally based on product specific days past due status and the size of balances owed per borrower.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (continued)

I. Maximum exposure to credit risk before collateral held

GROUP

Credit exposures

On – balance sheet items

	2013		2012	
	Shs'000	%	Shs'000	%
Cash and balances with Central Banks	8,743,544	7	7,050,962	6
Items in the course of collection	243,514	-	429,545	-
Due from banking institutions	5,920,199	4	8,188,716	7
Loans and advances to customers	83,493,313	63	71,540,092	60
Government securities	18,093,150	14	17,478,232	15
Other assets – trade receivables	196,622	-	71,206	-
Derivative assets	48,049	-	83,123	-
	116,738,391	88	104,841,876	88

Off-balance sheet items

Letters of credit	5,177,622	4	4,451,256	4
Guarantees and performance bonds	10,557,519	8	9,660,754	8
	15,735,141	12	14,112,010	12
	132,473,532	100	118,953,886	100

BANK

Credit exposures

On – balance sheet items

	2013		2012	
	Shs'000	%	Shs'000	%
Cash and balances with Central Banks	7,044,946	6	5,963,269	5
Items in the course of collection	215,693	-	375,240	-
Due from banking institutions	4,189,408	4	6,569,964	6
Loans and advances to customers	77,114,087	65	66,381,215	61
Government securities	15,946,330	13	16,222,431	15
Derivative assets	41,232	-	78,724	-
	104,551,696	88	95,590,843	87

Off-balance sheet items

Letters of credit	4,763,734	4	4,404,221	4
Guarantees and performance bonds	10,168,363	8	9,410,641	9
	14,932,097	12	13,814,862	13
	119,483,793	100	109,405,705	100

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements/mitigants.

Loans and advances to customers and other trade related items (off-balance sheet items) comprise of 75% (2012: 72%) of the total credit exposure.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Collateral

While collateral is an important mitigant to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with adequate demonstration of repayment capacity. Other than exposures amounting to Shs 2,000,863,000 (2012: Shs 1,774,801,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is Shs 1,928,893,000 (2012: Shs 679,715,000).

Collateral and other credit enhancements obtained

The fair value of assets held by the Group as at 31 December as collateral was as follows:-

Carrying amount

Bank		Nature of assets	Group	
2013	2012		2013	2012
Shs `000	Shs `000		Shs `000	Shs `000
1,142,396	467,727	Charges over cash, land and buildings, marketable securities, plant and machinery	1,928,893	679,715

Collateral repossessed

It is the Group's policy to dispose of repossessed properties on the open market, at fair market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Bank does not occupy repossessed properties for business use.

The Group is confident that its credit policies and programs provide sufficient safeguards against the credit risk exposure shown in the tables overleaf:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

II. Classification of loans & advances to customers

Group

At 31 December 2013

Gross loans and advances

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Neither past due nor impaired	72,910,435	2,910,900	2,199,220	78,020,555
Past due but not impaired	3,204,280	509,687	-	3,713,967
Impaired	3,138,721	1,382,205	-	4,520,926
Total gross loans advanced	79,253,436	4,802,792	2,199,220	86,255,448

Impairment allowances

Neither past due nor impaired	-	-	-	-
Past due but not impaired	(143,021)	(25,404)	(1,677)	(170,102)
Impaired	(1,996,328)	(595,705)	-	(2,592,033)

Impairment allowances

	(2,139,349)	(621,109)	(1,677)	(2,762,135)
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Net loans and advances

	77,114,087	4,181,683	2,197,543	83,493,313
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	%	%	%	%
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Impairment allowance as a percentage of total loans advanced

2.70	12.93	0.08	3.20
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At 31 December 2012

Gross loans and advances

Neither past due nor impaired	63,686,832	4,479,687	314,372	68,480,891
Past due but not impaired	2,326,120	160,874	-	2,486,994
Impaired	2,050,874	281,827	-	2,332,701
Total gross loans advanced	68,063,826	4,922,388	314,372	73,300,586

Impairment allowances

Neither past due nor impaired	-	-	-	-
Past due but not impaired	(99,464)	(8,044)	-	(107,508)
Impaired	(1,583,147)	(69,839)	-	(1,652,986)

Impairment allowances

	(1,682,611)	(77,883)	-	(1,760,494)
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Net loans and advances

	66,381,215	4,844,505	314,372	71,540,092
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	%	%	%	%
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Impairment allowance as a percentage of total loans advanced

2.47	1.58	-	2.40
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NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Credit quality of loans and advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of corporate and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of Retail loans that are 1 day or more past due for which a collective allowance is raised.

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category if they are up to date and in line with their contractual agreements (0-30 days). Such loans would have demonstrated the meeting of their financial and non-financial conditions and the borrowers would have proven capacity to repay the loans. These exposures will normally be maintained largely within approved facility programs and with no depiction of impairment or distress signs. These exposures are categorised as normal accounts (category 1) in line with internal guidelines and those issued by regulators where applicable. A collective provision on the total outstanding balances is made and appropriated from revenue reserves to regulatory reserves.

Past due but not impaired

This category includes exposures that are between 31 – 90 days past due, where losses have been incurred but have not been identified. These exposures are graded as category 2 in line with our internal guidelines and those issued by banking regulators. A collective impairment allowance is made to cover losses which have been incurred but have not yet been identified.

Impaired loans and advances

Impaired loans and advances are those which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan securities agreement(s). These loans are graded between categories 3 (91-180 days), 4(181 -360 days) and 5 (over 360 days) using the Group's internal credit rating system. These clients, under guidelines issued by the Central Banks in the regions we operate in, are termed as non-performing loans. The Group establishes a specific allowance for impairment losses that represents the estimate of losses that will be incurred in its loan portfolio.

Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Loans and advances to customers

Bank			Group		
2013	2012		2013	2012	
%	%		%	%	
10	10	Wholesale and retail	11	11	
1	3	Real estate	2	3	
7	6	Agriculture	7	6	
18	19	Social community and personal services	19	19	
24	25	Manufacturing	24	23	
12	13	Transport and communication	12	13	
28	24	Other	25	25	
100	100		100	100	

Contingent liabilities

Bank			Group		
2013	2012		2013	2012	
%	%		%	%	
27	1	Agriculture	27	1	
5	1	Business services	5	1	
6	7	Wholesale and retail	6	7	
4	-	Real estate and construction	4	1	
10	25	Transport and communication	10	24	
19	16	Manufacturing	19	16	
29	50	Other	29	50	
100	100		100	100	

b) Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in asset without incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue operating even under adverse liquidity circumstances.

Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

Who manages liquidity and funding risk (Continued)

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Board Executive Committee has oversight over ALCOs activities through regular review of its minutes and significant reports outlining current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a quarterly basis.

Liquidity policies / guidelines and limits are reviewed periodically, or as the need arises.

How liquidity and funding risk is managed

I Liquidity and funding management

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds.
- Projects cash flows by major currencies and consider the level of liquid assets necessary in relation thereto.
- Monitors liquidity ratios against internal and regulatory requirements and guidelines.
- Maintains an array of a diverse range of funding sources as back-up facilities.
- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix.
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises.
- Ensure investments in large cash outlay projects e.g property and equipment purchases are budgeted for and carried out only when the Group has sufficient cash flows.
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications.

II Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's corporate, institutional and retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations within the customer deposits is as follows:

Customer deposits

Bank			Group	
2013	2012		2013	2012
%	%		%	%
-	-	Co-operative societies	-	-
4	8	Insurance companies	4	7
15	5	Non-profit institutions and individuals	16	7
81	87	Private enterprises	80	86
100	100		100	100

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

II Sources of funding (Continued)

The Group also borrows from the inter-bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice short-term deposit balances remain stable as inflows and outflows broadly match.

III Exposure to liquidity risk

The key measures used by the Group for managing liquidity risk are;

- The ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators require that the Group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Group maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

The average liquidity ratio for the year was 32% (2012: 32%).

- The maturity analysis of assets and liabilities report is presented in the next pages. The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, inter-bank borrowings as a proportion of total deposits, amongst others. This enables the group to arrest any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

The amounts disclosed in the tables on pages 77 to 80 are the contractual undiscounted cash flows, whereas the Group manages the liquidity risk based on a different basis, not resulting in a significantly different analysis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2013 (Group)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	55,256,809	34,847,903	3,228,705	171,777	-	93,505,194
Due to banking institutions	5,076,615	845,911	-	-	-	5,922,526
Borrowings	12,663	-	16,723	1,379,453	2,598,967	4,007,806
Total financial liabilities	60,346,087	35,693,814	3,245,428	1,551,230	2,598,967	103,435,526
FINANCIAL ASSETS						
Cash and balances with Central Banks	6,346,354	1,677,633	333,531	620,635	-	8,978,153
Items in the course of collection	243,514	-	-	-	-	243,514
Due from banking institutions	5,924,633	-	-	-	-	5,924,633
Government securities	1,132,567	2,961,260	2,282,469	6,429,089	5,365,265	18,170,650
Derivative assets	48,049	-	-	-	-	48,049
Loans and advances to customers	11,181,886	7,893,269	24,180,531	27,214,545	32,466,345	102,936,576
Investments	254,732	-	-	-	-	254,732
Total financial assets	25,131,735	12,532,162	26,796,531	34,264,269	37,831,610	136,556,307
Net liquidity gap	35,214,352	23,161,652	(23,551,103)	(32,713,039)	(35,232,643)	(33,120,781)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2012 (Group)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	57,662,814	23,167,076	5,341,141	129,058	-	86,300,089
Due to banking institutions	3,571,280	-	-	-	-	3,571,280
Borrowings	12,605	-	38,978	1,402,041	2,582,794	4,036,418
Total financial liabilities	61,246,699	23,167,076	5,380,119	1,531,099	2,582,794	93,907,787
FINANCIAL ASSETS						
Cash and balances with Central Banks	4,712,288	1,892,815	436,386	10,544	-	7,052,033
Items in the course of collection	429,545	-	-	-	-	429,545
Due from banking institutions	8,454,422	-	-	-	-	8,454,422
Government securities	1,403,385	4,255,344	6,089,208	3,170,098	3,233,988	18,152,023
Derivative assets	83,123	-	-	-	-	83,123
Loans and advances to customers	11,349,615	8,793,583	17,728,567	21,635,038	27,649,509	87,156,312
Investments	248,092	-	-	-	-	248,092
Total financial assets	26,680,470	14,941,742	24,254,161	24,815,680	30,883,497	121,575,550
Net liquidity gap	34,566,229	8,225,334	(18,874,042)	(23,284,581)	(28,300,703)	(27,667,763)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2013 (Bank)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	52,220,766	33,150,690	1,733,694	112,647	-	87,217,797
Due to banking institutions	4,192,536	743,822	-	-	-	4,936,358
Borrowings	12,663	-	16,723	1,379,453	2,598,967	4,007,806
Total financial liabilities	56,425,965	33,894,512	1,750,417	1,492,100	2,598,967	96,161,961
FINANCIAL ASSETS						
Cash and balances with Central Banks	5,264,645	1,443,024	333,531	3,746	-	7,044,946
Items in the course of collection	215,693	-	-	-	-	215,693
Due from banking institutions	4,193,842	-	-	-	-	4,193,842
Government securities	34,484	2,862,552	1,475,191	6,286,336	5,365,265	16,023,828
Derivative assets	41,232	-	-	-	-	41,232
Loans and advances to customers	8,165,102	7,517,687	22,877,742	25,530,475	32,466,345	96,557,351
Total financial assets	17,914,998	11,823,263	24,686,464	31,820,557	37,831,610	124,076,892
Net liquidity gap	38,510,967	22,071,249	(22,936,047)	(30,328,457)	(35,232,643)	(27,914,931)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2012 (Bank)

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	54,768,678	21,571,672	3,934,328	73,483	-	80,348,161
Due to banking institutions	3,044,959	-	-	-	-	3,044,959
Borrowings	12,605	-	38,978	1,402,041	2,582,794	4,036,418
Total financial liabilities	57,826,242	21,571,672	3,973,306	1,475,524	2,582,794	87,429,538
FINANCIAL ASSETS						
Cash and balances with Central Banks	3,898,640	1,837,509	208,350	18,770	-	5,963,269
Items in the course of collection	375,240	-	-	-	-	375,240
Due from banking institutions	6,576,917	-	-	-	-	6,576,917
Government securities	1,134,874	4,162,569	5,310,923	3,035,926	3,233,988	16,878,280
Derivative assets	78,724	-	-	-	-	78,724
Loans and advances to customers	10,261,370	8,438,341	16,500,141	19,127,319	27,649,509	81,976,680
Total financial assets	22,325,765	14,438,419	22,019,414	22,182,015	30,883,497	111,849,110
Net liquidity gap	35,500,477	7,133,253	(18,046,108)	(20,706,491)	(28,300,703)	(24,419,572)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Who manages market risk?

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as need arises. The Treasury Department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes, and Treasury reports outlining current risk exposures against risk limits.

How market risk is managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other models and key performance indicators, appropriate for our operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk.
- Foreign exchange risk.
- Price risk.

1. Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to loans, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates.

In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are mainly pegged to the Group's base lending rate (floating rates). The base lending rate is adjusted from time to time to reflect prevailing market costs of deposits.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Government of Kenya, Tanzania and Uganda through the Central Banks. The interest rate risk assessment tables are found under pages 83 to 86.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31st December 2013, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
292,011	249,384	125 basis points increases in interest rates	366,042	304,628
(360,624)	(280,401)	125 basis points decrease in interest rates	(468,331)	(370,626)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2013)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	-	-	-	-	-	8,743,544	8,743,544
Items in the course of collection	-	218,355	-	-	-	-	25,159	243,514
Due from banking institutions	4.16	4,068,010	731,909	-	-	-	1,120,280	5,920,199
Government securities	9.84	152,393	3,512,541	2,568,193	8,367,047	3,492,975	-	18,093,150
Derivative assets	-	-	-	-	-	-	48,049	48,049
Loans and advances to customers	11.5	76,244,340	789,781	1,544,996	3,475,086	1,439,110	-	83,493,313
Total financial assets		80,683,098	5,034,231	4,113,189	11,842,133	4,932,085	9,937,032	116,541,769
FINANCIAL LIABILITIES								
Customer deposits	4.37	18,330,738	40,031,247	9,678,397	142,514	-	23,382,110	91,565,006
Due to banking institutions	3.67	5,874,575	21,760	-	-	-	-	5,896,335
Borrowings	3.34	-	12,610	16,156	1,248,035	2,351,368	-	3,628,169
Total financial liabilities		24,205,313	40,065,617	9,694,553	1,390,549	2,351,368	23,382,110	101,089,510
Interest rate sensitivity gap		56,477,785	(35,031,386)	(5,581,364)	10,451,584	2,580,717	(13,445,078)	15,452,259

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2012)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	6.50	998,929	-	-	-	-	6,052,033	7,050,962
Items in the course of collection	-	-	-	-	-	-	429,545	429,545
Due from banking institutions	3.27	7,888,374	-	-	-	-	300,342	8,188,716
Government securities	8.89	5,402,390	4,143,924	1,499,949	2,420,950	4,011,019	-	17,478,232
Derivative assets	-	-	-	-	-	-	35,705	35,705
Loans and advances to customers	13.63	66,393,992	529,086	2,060,101	2,504,913	-	-	71,488,092
Total financial assets		80,683,685	4,673,010	3,560,050	4,925,863	4,011,019	6,817,625	104,671,252
FINANCIAL LIABILITIES								
Customer deposits	5.31	20,811,162	22,471,216	4,981,969	109,906	-	35,005,323	83,379,576
Due to banking institutions	7.92	3,584,626	159,220	-	-	-	-	3,743,846
Borrowings	3.32	12,552	-	37,656	1,268,471	2,336,735	-	3,655,414
Total financial liabilities		24,408,340	22,630,436	5,019,625	1,378,377	2,336,735	35,005,323	90,778,836
Interest rate sensitivity gap		56,275,345	(17,957,426)	(1,459,575)	3,547,486	1,674,284	(28,187,698)	13,892,416

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2013)

	Effective Rates	Up to 1 Month	1 to 3 Months	4 to 12 Months	1 to 3 Years	Over 3 Years	Non – interest Bearing	Total
	%	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	-	-	-	-	-	-	7,044,946	7,044,946
Items in the course of collection	-	-	-	-	-	-	215,693	215,693
Due from banking institutions	3.65	3,457,499	731,909	-	-	-	-	4,189,408
Government securities	10.81	-	2,796,052	1,329,959	8,205,530	3,614,788	-	15,946,329
Derivative assets	-	-	-	-	-	-	41,232	41,232
Loans and advances to customers	12.24	74,078,086	166,178	794,646	636,067	1,439,110	-	77,114,807
Total financial assets		77,535,585	3,694,139	2,124,605	8,841,597	5,053,898	7,301,871	104,551,695
FINANCIAL LIABILITIES								
Customer deposits	4.71	13,461,444	32,081,313	1,576,085	83,288	-	37,034,059	84,236,189
Due to banking institutions	8.43	4,910,171	-	-	-	-	-	4,910,171
Borrowings	3.34	-	12,610	16,156	1,248,035	2,351,368	-	3,628,169
Total financial liabilities		18,371,615	32,093,923	1,592,241	1,331,323	2,351,368	37,034,059	92,774,529
Interest rate sensitivity gap		59,163,970	(28,399,784)	532,364	7,510,274	2,702,530	(29,732,188)	11,777,166

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2012)

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Year Shs'000	Non – interest Bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Banks	6.50	998,929	-	-	-	-	4,964,340	5,963,269
Items in the course of collection	-	-	-	-	-	-	375,240	375,240
Due from banking institutions	3.44	6,569,964	-	-	-	-	-	6,569,964
Government securities	10.31	5,136,568	4,051,149	736,917	2,286,778	4,011,019	-	16,222,431
Derivative assets	-	78,724	-	-	-	-	-	78,724
Loans and advances to customers	15.51	64,927,326	190,231	734,236	500,000	1,244,772	-	67,596,565
Total financial assets		77,711,511	4,241,380	1,471,153	2,786,778	5,255,791	5,339,580	96,806,193
FINANCIAL LIABILITIES								
Customer deposits	5.17	20,111,973	20,875,812	3,576,662	54,331	-	32,847,264	77,466,042
Due to banking institutions	8.36	2,958,692	86,267	-	-	-	-	3,044,959
Borrowings	3.33	12,552	-	37,656	1,268,471	2,336,735	-	3,655,414
Total financial liabilities		23,083,217	20,962,079	3,614,318	1,322,802	2,336,735	32,847,264	84,166,415
Interest rate sensitivity gap		54,628,294	(16,720,699)	(2,143,165)	1,463,976	2,919,056	(27,507,684)	12,639,778

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

I. Interest rate risk (Continued)

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31st December 2013, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

2013 Shs'000	2012 Shs'000		2013 Shs'000	2012 Shs'000
292,011	249,384	125 basis points increases in interest rates	366,042	304,628
(360,624)	(280,401)	125 basis points decrease in interest rates	(468,331)	(370,626)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

II. Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 10% of the Group's core capital.
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 10% of core capital.
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee.

The table on pages 89 to 92 summarise the Group's and Bank's exposure to foreign currency exchange rate risks.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

Foreign exchange risk – stress test

At 31st December 2013, if the functional currencies in the economic environment in which the Group operates in i.e the Kenya Shilling had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted in below table:

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
		10% depreciation/appreciation			
5,477	3,066	USD	9,466	7,865	
75	128	GBP	10,686	6,543	
168	124	EUR	5,225	3,479	
185	966	Others	20,146	37,358	
5,905	4,284	Total	45,523	55,245	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2013)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	1,879,374	287,791	132,337	1,952,008	4,251,510
Due from banking institutions	1,935,964	335,176	2,333,860	689,840	5,294,840
Loans and advances to customers	32,183,883	657,147	1,651,328	2,010,802	36,503,160
Other assets	800,712	2,003	1,155	410,158	1,214,028
Total financial assets	36,799,933	1,282,117	4,118,680	5,062,808	47,263,538
FINANCIAL LIABILITIES					
Customer deposits	20,327,034	3,317,109	2,407,377	2,486,515	28,538,035
Due to banking institutions	254	3	1	258	516
Other liabilities	1,677,000	10,307	9,471	1,624,340	3,321,118
Borrowings	3,285,362	-	-	-	3,285,362
Total financial liabilities	25,289,650	3,327,419	2,416,849	4,111,113	35,145,031
Net balance sheet position	11,510,283	(2,045,302)	1,701,831	951,695	12,118,507
OFF BALANCE SHEET POSITION	2,147,306	(11,416,242)	(1,793,017)	(1,113,112)	(12,175,065)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2012)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	651,994	86,276	140,406	247	878,923
Due from banking institutions	6,458,638	658,709	1,217,353	259,154	8,593,854
Loans and advances to customers	26,092,406	454,094	1,246,209	33,900	27,826,609
Other assets	1,208,946	27,821	5,534	15,038	1,257,339
Total financial assets	34,411,984	1,226,900	2,609,502	308,339	38,556,725
FINANCIAL LIABILITIES					
Customer deposits	22,107,334	2,152,925	3,403,956	47,935	27,712,150
Due to banking institutions	818,101	79,973	-	63,222	961,296
Other liabilities	694,585	35,409	689	7,079	737,762
Borrowings	3,655,414	-	-	-	3,655,414
Total financial liabilities	27,275,434	2,268,307	3,404,645	118,236	33,066,622
Net balance sheet position	7,135,550	(1,041,407)	(795,143)	190,103	5,490,103
OFF BALANCE SHEET POSITION	(6,452,705)	1,129,998	786,441	(107,640)	(4,643,906)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2013)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	272,678	384,537	105,787	414,649	1,177,651
Due from banking institutions	335,176	1,935,964	2,333,860	689,840	5,294,840
Loans and advances to customers	657,138	30,173,096	1,651,322	-	32,481,556
Other assets	1,045	392,348	320	1	393,714
Total financial assets	1,266,037	32,885,945	4,091,289	1,104,490	39,347,761
FINANCIAL LIABILITIES					
Customer deposits	3,303,625	17,950,896	2,382,968	72,484	23,709,973
Due to banking institutions	7,230	59,695	8,387	1	75,313
Other liabilities	-	3,285,362	-	-	3,285,362
Borrowings	-	-	-	-	-
Total financial liabilities	3,310,855	21,295,953	2,391,355	72,485	27,070,648
Net balance sheet position	(2,044,818)	11,589,992	1,699,934	1,032,005	12,277,113
OFF BALANCE SHEET POSITION	2,147,306	(11,416,242)	(1,793,017)	(1,113,112)	(12,175,065)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2012)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	333,991	84,831	129,836	-	548,658
Due from banking institutions	5,014,325	536,607	1,213,085	259,154	7,023,171
Loans and advances to customers	24,103,659	454,000	1,246,247	-	25,803,906
Other assets	6,175,581	567,553	49,132	29,195	6,821,461
Total financial assets	35,627,556	1,642,991	2,638,300	288,349	40,197,196
FINANCIAL LIABILITIES					
Customer deposits	19,812,978	2,110,450	3,385,428	47,626	25,356,482
Due to banking institutions	5,655,723	573,424	45,634	7,079	6,281,860
Other liabilities	3,646,567	-	-	-	3,646,567
Borrowings	327,024	-	-	63,222	390,246
Total financial liabilities	29,442,292	2,683,874	3,431,062	117,927	35,675,155
Net balance sheet position	6,185,264	(1,040,883)	(792,762)	170,422	4,522,041
OFF BALANCE SHEET POSITION	(6,452,705)	1,129,998	786,441	(107,640)	(4,643,906)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

III. Price risk

Shares quoted in the Nairobi Securities Exchange ("NSE") i.e "listed shares" are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31st December 2013, if the prices at the NSE had appreciated/depreciated by 5% with all other variables held constant, the impact on the statement of profit or loss, and shareholders' equity would have been Shs 2,150,000 (2012: Shs 1,095,021) higher/lower.

The Group carries its unquoted equity investment in the NSE and Tanzania Mortgage Refinance Company at fair value (Note 25). The fair value of the Group's investment in NSE has been derived using a valuation technique. The inputs include company performance and assumptions about future performance. At 31st December 2013, if the return on equity assumed in the valuation model had appreciated/depreciated by 5% with all other variables held constant, the impact on the statement of profit or loss, and shareholders' equity would have been Shs 2,183,000 (2012: Shs 2,376,000) higher/lower.

The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

d) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure.
- To comply with capital requirements set by our regulators within the markets that the Group operates in.
- To maintain a strong capital base to support continued business development.
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business.
- To manage its capital structure and make adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities.

The Group's objectives when managing capital are broadly covered as follows:

I Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the central banks.

Central Bank of Kenya (CBK), Bank of Tanzania (BOT) and Bank of Uganda (BOU) largely segregate the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at tier 1 capital.
- Tier 2 Capital (Supplementary Capital) includes among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

During the year, the banks within the group had complied in full with all its externally imposed capital requirements (2012: the same).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

d) Capital management (Continued)

I Banking (Continued)

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
14,108,111	12,569,308	Tier 1 capital	15,972,003	14,091,433
14,875,986	13,246,448	Tier 1 + Tier 2 capital	16,852,593	14,817,999
		Risk-weighted assets		
82,368,553	70,906,334	On-balance sheet	89,314,748	76,700,845
12,851,033	9,658,895	Off-balance sheet	13,587,927	9,926,666
95,219,586	80,565,229	Total risk-weighted assets	102,902,675	86,627,511

			Minimum requirements %
2013	2012	Regulatory ratios	
14.82%	15.60%	Core capital/risk-weighted assets	8%
16.79%	16.29%	Core capital/deposits	8%
15.62%	16.44%	Total capital/risk-weighted assets	12%

The Capital Markets Authority, which regulates the Group's Investment Banking and Stock Brokerage businesses i.e NIC Capital Limited and NIC Securities Limited respectively, prescribes minimum capitalisation requirements and a working capital of not below 20% of the prescribed minimum shareholders funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained their capital together with the other requirements well above the minimum requirements as outlined below;

	NIC Capital	NIC Securities
	Shs'000	Shs 000
Minimum capital	250,000	50,000
Capital held as at;		
31 December 2013	508,985	375,394
31 December 2012	437,105	341,958

e) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed debt and equity instruments traded mainly on the Nairobi Securities Exchange ("NSE").

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

e) Fair value of financial assets and liabilities (Continued)

- ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from Reuters and the Nairobi Securities Exchange. The external valuation of buildings has been performed using a sales comparison approach.
- iii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The fair value of the Group's investment in NSE has been derived using a valuation technique. The inputs include company performance and assumptions about future performance. The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

The table below shows an analysis of financial instruments at fair value by level of the fair value hierarchy;

Bank			Group		
2013	2012		Note	2013	2012
Shs'000	Shs'000			Shs'000	Shs'000
Level 1					
-	-	Treasury bonds - fair value through profit and loss	20	155,335	138,509
11,974,223	7,027,460	Treasury bonds - available for sale	20	12,393,099	7,027,460
-	-	Quoted shares at fair value	25	33,990	28,932
11,974,223	7,027,460			12,582,424	7,194,901
Level 2					
41,232	78,724	Derivative assets	21	48,049	83,123
370,000	370,000	Buildings		370,000	370,000
411,232	448,724			448,049	453,123
Level 3					
-	-	Unquoted equity security in Tanzania Mortgage Refinance Company		25,470	23,999
-	-	Unquoted equity investment in the NSE	25	191,000	191,000
-	-			216,470	214,999

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

e) Fair value of financial assets and liabilities (Continued)

The table below shows an analysis of the fair value of financial instruments that are not carried at fair value by level of the fair value hierarchy;

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
3,862,447	9,194,971	Level 1	5,435,057	10,312,263
		Government securities – held to maturity		
		Level 2		
		<i>Financial assets</i>		
7,044,946	5,963,269	Cash and balances with central banks	8,743,544	7,050,962
215,693	375,240	Items in the course of collection	243,514	429,545
15,946,330	16,222,431	Due from banking institutions	5,920,199	8,188,716
41,232	78,724	Derivative assets	48,049	83,123
77,114,087	66,381,215	Loans and advances to customers	83,493,313	71,540,092
2,044,162	1,603,250	Due from group companies	-	-
-	-	Investments	250,460	243,931
102,406,450	90,624,129		98,699,079	87,536,369
		<i>Financial liabilities</i>		
84,236,189	77,466,042	Customer deposits	91,565,005	83,379,576
4,910,171	3,044,959	Due to banking institutions	5,896,334	3,571,280
3,628,169	3,655,414	Borrowings	3,628,169	3,655,414
537,980	610,360	Due to group companies	-	-
93,312,509	84,776,775		101,089,508	90,606,270

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Nairobi Securities Exchange.

Level 2 – The fair value of these balances is equal to their amortised cost.

5) Critical accounting estimates and judgments in applying the Group's accounting policies

I Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

5) Critical accounting estimates and judgments in applying the Group's accounting policies (Continued)

II Held -to-maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value and not amortised cost.

III Goodwill impairment

The Group's accounting policy for goodwill is described in Note 3 (m) I. Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the Group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

IV Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

V Fair value of trade receivables and payables

The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments.

VI Taxes

The Group is subjected to numerous taxes and levies by various government and quasi- government regulatory bodies. As a rule of thumb, the Group recognises liabilities for the anticipated tax/levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes/levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

VII Valuation of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. The directors believe that the chosen valuation techniques and assumptions used in the valuation of its investments in NSE shares are appropriate in determining the fair value of financial instruments.

VIII Classification of leases of land and buildings as finance or operating leases

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

5) Critical accounting estimates and judgments in applying the Group's accounting policies (Continued)

VIII Classification of leases of land and buildings as finance or operating leases (Continued)

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

6) Operating segments

a) Geographical segments

The Group operations are within three geographical segments, Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Chief Operating Decision Maker (the Group Executive Committee of management) for the year ended 31 December 2013.

2013	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Interest income	10,313,259	1,087,040	242,117	11,642,416
Interest expense	(3,760,140)	(532,412)	(81,885)	(4,374,437)
Net interest income	6,553,119	554,628	160,232	7,267,979
Credit impairment charges	(479,185)	(612,074)	(1,614)	(1,092,873)
Net interest income after credit impairment charges	6,073,934	(57,446)	158,618	6,175,106
Net fee, commission, trading and other income	2,861,056	249,329	44,822	3,155,207
Net Operating income	8,934,990	191,883	203,440	9,330,313
Depreciation and amortisation	(365,025)	(57,090)	(23,991)	(446,106)
Other operating expenses	(3,167,578)	(530,016)	(177,042)	(3,874,636)
Profit / (loss) before income tax	5,402,387	(395,223)	2,407	5,009,571
Income tax (expense)/credit	(1,887,043)	117,735	(2,962)	(1,772,270)
Profit / (loss) for the year	3,515,344	(277,488)	(555)	3,237,301
Loans and advances to customers	77,114,087	4,181,683	2,197,543	83,493,313
Customer deposits	84,236,189	6,040,852	1,287,964	91,565,005
Additions to non-current assets	27,253	59,967	(9,939)	77,281
Non-current assets	1,473,983	288,851	90,659	1,853,493

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

6) Operating segments (Continued)

a) Geographical segments (Continued)

2012	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Interest income	10,490,948	837,116	139,510	11,467,574
Interest expense	(5,482,427)	(481,963)	(19,316)	(5,983,706)
Net interest income	5,008,521	355,153	120,194	5,483,868
Credit impairment charges	(265,264)	(32,221)	-	(297,485)
Net interest income after credit impairment charges	4,743,257	322,932	120,194	5,186,383
Net fee, commission, trading and other income	2,554,679	258,262	19,316	2,832,257
Net Operating income	7,297,936	581,194	139,510	8,018,640
Depreciation and amortisation	(271,702)	(34,824)	(11,405)	(317,931)
Other operating expenses	(2,634,413)	(395,893)	(152,436)	(3,182,742)
Profit/(loss) before income tax	4,391,821	150,477	(24,331)	4,517,967
Income tax expense	1,433,900	47,273	-	1,481,173
Profit/(loss) for the year	2,957,921	103,204	(24,331)	3,036,794
Loans and advances to customers	66,381,215	4,844,505	314,372	71,540,092
Customer deposits	77,466,042	5,834,066	79,468	83,379,576
Additions to non-current assets	(74,574)	105,653	100,968	132,047
Non-current assets	1,446,855	228,884	100,968	1,776,707

b) Business segments

The Group maintains the following business segments for allocation of resources and assessment of performance.

I. Corporate and Institutional Banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

II. Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the stock brokerage focuses on the execution of transactions at the Nairobi Securities Exchange on behalf of high net worth and institutional clients.

III. Retail banking

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit, transactional banker and financier.

IV. Asset finance

Targets both the retail and corporate end of the market as the preferred financier in the motor vehicles, machinery and equipment segments in addition to Insurance Premium Financing (IPF) segment.

V. Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the Executive Committee of management for the reported segments is contained on the next page. There were no changes in the reportable segments during the year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

6) Operating segments (Continued) Segmental reporting – by business segments

	Corporate & Institutional Banking Shs '000	Treasury Dealing and Brokerage Shs '000	Retail Banking Shs '000	Asset Finance Shs '000	Investment Banking and Others Shs '000	Total Shs '000
2013						
Total operating income	3,428,780	1,625,690	1,433,270	1,137,637	2,797,809	10,423,186
Profit before income tax and credit impairment charges	2,466,716	1,349,793	886,061	1,064,154	335,720	6,102,444
Customer loans and advances	51,763,906	-	8,622,562	14,520,267	8,586,578	83,493,313
Customer deposits	57,119,886	-	26,527,808	194,936	7,722,375	91,565,005
2012						
Total operating income	2,547,616	1,365,102	1,137,027	840,003	2,426,377	8,316,125
Profit before income tax and credit impairment charges	2,004,252	951,474	650,217	970,270	239,239	4,815,452
Customer loans and advances	45,404,675	-	6,955,826	14,020,714	5,158,877	71,540,092
Customer deposits	52,835,422	-	24,441,729	188,891	5,913,534	83,379,576

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

7) Interest income

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
152,981	290,551	Due from banking institutions	245,761	412,324	
		Government securities			
440,315	396,382	- Held to maturity	588,590	415,849	
-	-	- At fair value through profit or loss	68,160	60,231	
1,127,882	685,037	- Available for sale	1,135,706	685,037	
1,568,197	1,081,419		1,792,456	1,161,117	
		From customers			
2,715,229	3,022,674	- Finance leases	2,844,617	3,022,749	
5,876,851	6,051,761	- Loans and advances	6,759,582	6,871,384	
8,592,080	9,074,435		9,604,199	9,894,133	
10,313,258	10,446,405		11,642,416	11,467,574	
45,637	27,792	Interest income earned on impaired financial assets	45,637	27,792	

Interest income earned on impaired financial assets represents the unwinding of discounting in accordance with IAS 39.

8) Interest expense

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
3,535,051	5,342,007	Customer deposits	4,001,167	5,735,877	
122,930	124,874	Due to banking institutions	216,494	187,865	
121,497	59,964	Borrowings	156,776	59,964	
3,779,478	5,526,845		4,374,437	5,983,706	

9) Net fee and commission income

a) Fee and commission income

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
799,318	251,825	Credit related fees and commissions	880,990	265,517	
336,894	687,922	Service / transaction fees	422,639	787,596	
1,136,212	939,747		1,303,629	1,053,113	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

9) Net fee and commission income (Continued)

b) Fee and commission expense

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
20,171	20,265	Credit card related expenses	20,171	20,265
32,152	37,653	Transactional expenses	42,940	44,008
52,323	57,918		63,111	64,273

10) Net trading income

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,018,443	1,074,248	Foreign exchange income	1,146,510	1,164,312
211,465	217,678	Bond trading income	211,465	217,678
-	-	Fair value gain on investment in quoted shares (note 25 (a))	5,058	1,281
-	-	Loss on revaluation of unquoted equity investment in NSE	-	(60,000)
1,229,908	1,291,926		1,363,033	1,323,271

11) Other operating income

The following items are included in other operating income

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
8,519	4,114	Rental income	4,979	2,526
1,749	186	Gain on disposal of motor vehicle and equipment (note 39 (c))	1,749	888
6,872	2,482	Bad debt recoveries	8,459	12,782
89,044	68,788	Trust and other fiduciary fees	89,044	68,788

12) Credit impairment charges

a) Specific allowance for impairment

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,583,147	1,587,161	At 1 January	1,652,986	1,690,526
-	-	Exchange difference on translation	(42,900)	(23,691)
435,628	204,834	Charge for the year	1,030,279	229,530
(22,449)	(208,848)	Write-offs	(48,332)	(243,379)
1,996,326	1,583,147	At 31 December	2,645,096	1,652,986

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

12) Credit impairment charges (Continued)

b) Collective allowance for impairment

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
99,464	39,034	At 1 January	107,508	39,553
43,557	60,430	Charge for the year	62,594	67,955
143,021	99,464	At 31 December	170,102	107,508

c) Total allowance for impairment

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,682,611	1,626,195	At 1 January	1,760,494	1,730,079
-	-	Exchange difference on translation	(42,900)	(23,691)
479,185	265,264	Charge for the year	1,092,873	297,485
(22,449)	(208,848)	Write-offs	(48,332)	(243,379)
2,139,347	1,682,611	At 31 December	2,762,135	1,760,494

13) Employee benefits

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,635,487	1,384,811	Salaries and wages	2,015,066	1,695,590
296	520	Gratuity provision	296	520
13,570	11,120	Directors' emoluments – fees	23,512	15,181
138,712	98,766	– other	193,119	148,701
1,659	1,467	Pension costs – statutory contributions	21,878	19,428
107,126	95,870	Pension costs – defined contribution	113,637	99,231
1,896,850	1,592,554	At 31 December	2,367,508	1,978,651

The total number of employees as at 31 December 2013 for the Group was 909 (2012: 813).

14) (a) Depreciation and amortisation

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
202,648	173,605	Depreciation (note 27)	249,108	204,346
161,193	97,213	Amortisation of computer software (note 28 (a))	196,873	113,461
125	125	Amortisation of operating lease (note 29)	125	125
363,966	270,943	At 31 December	446,106	317,932

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

14) (b) Other operating expenses

The following items are included under this category:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
3,956	4,950	Auditor's remuneration	9,046	10,859
138,420	101,037	Rental charges	252,667	169,317
21,785	19,599	Share registrations costs	21,785	19,599
92,344	78,251	Publicity and advertising	98,047	91,612
75,254	75,660	Other premises costs	88,212	83,633
101,801	81,119	Deposit protection fund	109,488	87,197
108,816	76,219	IT expenses	123,154	90,728

15) Income tax

(a) Income tax expense

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,854,682	1,470,111	Current tax	1,803,410	1,550,816
-	-	Income tax based on taxable profit for the year at 30%	-	1,295
1,854,682	1,470,111	Prior year under provision - current tax	1,803,410	1,552,111
(82,252)	(67,024)	Deferred tax (note 26)	(93,991)	(70,938)
62,851	-	Current year	62,851	-
1,835,281	1,403,087	Prior year under provision	1,772,270	1,481,173

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the profit before tax differs from the tax charge that would apply if all profit had been taxed using the statutory income tax rate:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
5,220,857	4,310,949	Profit before tax	5,009,571	4,517,967
1,566,257	1,293,285	Income tax - at the statutory rate of 30 % (2012: 30%)	1,502,871	1,355,390
705,540	183,482	Tax effect of expenses not deductible for tax	705,540	342,492
(499,367)	(73,680)	Tax effect of revenues that are not taxable	(498,992)	(218,004)
-	-	Prior year under provision - current tax	-	1,295
62,851	-	Deferred tax - prior year	62,851	-
1,835,281	1,403,087		1,772,270	1,481,173
35%	33%	Effective tax rate	35%	33%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

15) Income tax (Continued)

c) Current income tax payable/(recoverable) movement

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
382,138	223,321	At 1 January	365,465	220,848	
-	-	Exchange difference on translation	1,887	(987)	
1,854,682	1,470,111	Tax charge (note 15 (a)) - current year	1,803,410	1,550,816	
-	-	Tax charge (note 15 (a)) - prior year	-	1,295	
(1,940,225)	(1,311,294)	Income taxation paid	(2,052,900)	(1,406,507)	
296,595	382,138	At 31 December	117,862	365,465	
-	-	Comprising;	-	-	
296,595	382,138	Current income tax recoverable	(188,847)	(17,860)	
296,595	382,138	Current income tax payable	306,709	383,325	
		At 31 December	117,862	365,465	

16) Earnings per share

Earnings per share is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding during the year.

Bank			Group		
2013	2012		2013	2012	
3,385,576	2,907,862	Profit attributable to equity holders of the Bank (Shs'000)	3,323,381	2,984,406	
		Weighted average number of shares for purposes of basic and diluted earnings per share:			
542,984,148	394,897,562	Issued ordinary shares at 1 January	542,984,148	394,897,562	
-	50,733,370	Effects of rights issue exercised	-	50,733,370	
-	49,362,195	Effects of bonus shares issued	-	49,362,195	
542,984,148	494,993,127	At 31 December	542,984,148	494,993,127	
6.24	5.87	Earnings Per Share (Shs)	6.12	6.03	

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

There were no potentially dilutive ordinary shares outstanding as at 31 December 2013 and 31 December 2012. Diluted earnings per share is therefore the same as basic earnings per share.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

17) Cash and balances with Central Banks

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
1,094,149	830,855	Cash on hand	1,470,144	1,081,132
		Balances with central banks:		
-	998,928	- Reverse purchase agreement	-	998,928
1,640,932	221,306	- Other (available for use by the Group)	2,238,206	472,081
2,735,081	2,051,089	Included in cash and cash equivalents (note 39 (b))	3,708,350	2,552,141
4,309,865	3,912,180	Mandatory reserve deposits	5,035,194	4,498,821
7,044,946	5,963,269		8,743,544	7,050,962

The mandatory reserve deposits mainly represents regulatory cash ratio requirements based on the customer deposits with the Group. As at 31 December 2013, the cash ratio requirement was 5.25% (2012: 5.25%) in Kenya, 10.0% (2012 – 10.0%) in Tanzania and 8.5% (2012 – 8.5%) in Uganda of eligible deposits. These funds are not available for the day to day operations of the Group and are non interest earning.

Amounts included in cash and cash equivalents are current. Mandatory reserve deposits are non-current.

Cash and balances with central banks are classified as 'loans and receivables'.

18) Items in the course of collection

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
215,693	375,240	Clearing account balances	243,514	429,545

Items in the course of collection are current and are classified as 'loans and receivables'.

19) Due from banking institutions

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
732,225	395,976	Deposits due from banking institutions	1,422,915	807,078
3,457,183	6,173,988	Balances due from banking institutions	4,497,284	7,381,638
4,189,408	6,569,964		5,920,199	8,188,716
3.65%	3.44%	Weighted average effective interest rate as at year end	4.16%	3.27%

Balances dues from banking institutions are current and are classified as 'loans and receivables'.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

20) Government securities

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" and "Available for Sale" are stated at fair value.

a) Government securities are categorised as follows:

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
3,972,106	9,194,971	Held to maturity	5,544,716	10,312,263	
11,974,224	7,027,460	Available for sale	12,393,099	7,027,460	
-	-	Fair value through profit or loss	-	-	
-	-	Held for trading	155,335	138,509	
15,946,330	16,222,431		18,093,150	17,478,232	

The table below summarises the weighted average effective interest rate for government securities.

Bank			Group		
2013	2012		2013	2012	
%	%		%	%	
11.09	9.43	Held to maturity	10.62	9.40	
11.55	10.86	Available for sale	9.16	10.86	
-	-	Fair value through profit or loss	12.78	15.70	

b) The maturity profile of Government securities is as follows:

Group	Held to maturity Shs `000	Designated at fair value through profit or loss Shs `000	Available for sale Shs `000	Total Shs `000
2013				
Included in cash and cash equivalents	3,585,870	-	-	3,585,870
Less than 1 year	914,011	155,335	1,617,616	2,686,962
1-5 years	783,385	-	7,422,145	8,205,530
Over 5 years	261,450	-	3,353,338	3,614,788
	5,544,716	155,335	12,393,099	18,093,150
2012				
Included in cash and cash equivalents	4,511,027	-	-	4,511,027
Less than 1 year	4,512,444	3,725	2,018,456	6,534,625
1-5 years	985,235	112,695	3,393,385	4,491,315
Over 5 years	303,557	22,089	1,615,619	1,941,265
	10,312,263	138,509	7,027,460	17,478,232

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

20) Government securities (Continued)

b) The maturity profile of Government securities is as follows: (Continued)

Bank	Held to maturity Shs `000	Available for sale Shs `000	Total Shs `000
2013			
Included in cash and cash equivalents	2,679,288	-	2,679,288
Less than 1 year	247,983	1,198,740	1,446,723
1-5 years	783,385	7,422,145	8,205,530
Over 5 years	261,450	3,353,339	3,614,789
	3,972,106	11,974,224	15,946,330
2012			
Included in cash and cash equivalents	4,045,142	-	4,045,142
Less than 1 year	3,861,037	2,018,456	5,879,493
1-5 years	985,235	3,393,385	4,378,620
Over 5 years	303,557	1,615,619	1,919,176
	9,194,971	7,027,460	16,222,431

21) Derivative assets

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
41,232	78,724	Fair value of forward contracts	48,049	83,123
24,858,686	10,366,805	Notional value of forward contracts	34,630,655	10,904,232

22) Loans and advances to customers

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
19,963,644	20,269,271	Finance lease receivables	20,516,783	20,292,251
52,273,944	46,826,281	Commercial loans	58,722,817	52,040,061
7,015,848	968,274	Bills discounted	7,015,848	968,274
79,253,436	68,063,826	Gross loans and advances to customers	86,255,448	73,300,586
		Provisions for impairment		
1,996,328	1,583,147	Specific allowance	2,592,033	1,652,986
143,021	99,464	Collective allowance	170,102	107,508
2,139,349	1,682,611	Total impairment	2,762,135	1,760,494
77,114,087	66,381,215	Net loans and advances to customers	83,493,313	71,540,092
1,142,393	467,727	Net non performing loans and advances to customers	1,928,893	679,715

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

22) Loans and advances to customers (Continued)

Finance lease receivables, may be analysed as follows:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
2,632,611	1,528,575	Not later than 1 year	2,646,665	1,551,555
17,331,033	18,776,274	Later than 1 year and not later than 5 years	17,870,118	18,780,053
19,963,644	20,304,849		20,516,783	20,331,608
-	(35,578)	Unearned future finance income on finance leases	-	(39,357)
19,963,644	20,269,271	Present value of minimum lease payments receivable	20,516,783	20,292,251
994,447	683,875	Accumulated allowance for uncollectible minimum lease payments receivable	994,447	683,875

The Group and Bank enter into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2012: nil).

There are no contingent rents recognised as income in 2012 and 2013.

The weighted average effective interest rates on loans and advances to customers at year end were as follows:

Bank			Group	
2013	2012		2013	2012
%	%		%	%
14.51	13.20	Finance lease receivables	13.23	13.20
11.81	11.62	Commercial loans	11.28	11.81
9.62	16.08	Bills discounted	9.62	16.08

Loans and advances to customers are classified as current and non current as follows:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
35,924,094	33,127,853	Current	39,899,499	35,769,652
41,189,993	33,253,362	Non-current	43,593,814	35,770,440
77,114,087	66,381,215		83,493,313	71,540,092

23) Other assets

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
128,500	98,350	Prepayments	193,277	148,514
1,061,974	516,806	Other receivables	1,141,307	694,022
-	-	Trade receivables	196,622	71,206
1,190,474	615,156		1,531,206	913,742

Other assets are current. Other assets, excluding prepayments, are classified as 'loans and receivables'.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

24 Due from group companies

	Bank	
	2013	2012
	Shs'000	Shs'000
NIC Capital	6,848	4,616
NIC Securities	7,398	5,390
NIC Bank Tanzania	352,722	1,171,950
NC Bank Uganda	1,677,194	421,294
	2,044,162	1,603,250

Services are provided based on the price lists in force and terms that would be available to third parties.

Balances due from group companies are current and are classified as 'loans and receivables'.

25) Investments

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
3,365,493	2,285,324	Investment in subsidiaries	-	-
-	-	Quoted shares at FVTPL	33,990	28,932
-	-	Unquoted equity security in Tanzania Mortgage Refinance Company	25,470	23,999
-	-	Unquoted equity investment in NSE at FVTPL	191,000	191,000
3,365,493	2,285,324		250,460	243,931

The unquoted equity investment represents the Group's investment in the Nairobi Securities Exchange (NSE) and Tanzania Mortgage Refinance Company.

Investment in subsidiaries is non-current. The other investments are current.

a) The movement in investments is as follows:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
2,285,324	1,147,786	At start of year	243,931	52,932
-	-	Exchange differences on translation	1,471	(3,782)
-	-	Additions at cost - investment in quoted shares	-	6,133
-	-	Unquoted equity investment in NSE at fair value	-	191,000
1,080,169	-	Investment in NIC Bank Tanzania	-	-
-	1,137,538	Investment in NC Bank Uganda	-	-
-	-	Changes in fair value – investment in quoted shares	5,058	1,281
-	-	Disposal – quoted shares	-	(3,633)
3,365,493	2,285,324	At end of year	250,460	243,931

Investments, excluding investments in subsidiaries, are classified as 'assets at fair value through profit and loss'. None of the financial assets are impaired.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

25) Investments (Continued)

b) Investment in subsidiaries (at cost)

BANK

Name	Principal activity	Holding %	2013 Shs'000	2012 Shs'000
NC Bank Uganda	Banking	100	1,137,538	1,137,538
NIC Bank Tanzania	Banking	68.97	1,676,454	596,285
NIC Capital	Financial advisory	100	500,000	500,000
NIC Insurance Agents	Insurance agency	100	1,000	1,000
National Industrial Credit Trustees	Dormant	100	500	500
Mercantile Finance Company	Dormant	100	50,000	50,000
The African Mercantile Banking Company	Dormant	100	1	1
			3,365,493	2,285,324

NIC Capital Limited has a subsidiary, NIC Securities Limited whose results have been incorporated in these financial statements. Details of NIC Securities Limited at cost are as follows:

Name	Principal activity	Holding %	2013 Shs `000	2012 Shs `000
NIC Securities Limited	Brokerage services	99.93%	456,240	438,370

All the subsidiary companies have their financial year ended 31 December and are incorporated as limited liability companies. Except for NIC Bank Tanzania Limited and NC Bank Uganda Limited which are incorporated and domiciled in Tanzania and Uganda respectively, all other subsidiaries are incorporated and domiciled in Kenya.

NC Bank Uganda Limited was established in 2012 to offer banking services for our customers in Uganda. The audited financial statements for the year ended 31 December 2013 show that the company made a loss equivalent to Shs 555,000 (2012: Shs 24,331,000).

NIC Bank Limited acquired 51% of Savings & Finance Commercial Bank Limited now renamed NIC Bank Tanzania Ltd with effective control being passed on 1 May 2009. The audited financial statements for the year ended 31 December 2013 show that the company made a loss equivalent to Shs 277,488,000 (2012: a profit of Shs 103,203,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2013 show that the company made a profit of Shs 72,794,000 (2012: Shs 63,459,000).

NIC Capital Limited (NICCL) acquired NIC Securities Ltd (NICSL) with effective control being passed on 1 January 2008. Subsequently, substantially through rights issues, the shareholding of NICCL in NICSL has increased to 99.93%. NICSL offers brokerage services and is a registered broker with the Nairobi Securities Exchange. The audited financial statements for the year ended 31 December 2013 show that the company made a profit of Shs 35,162,000 (2012: Shs 20,894,000). The results of NIC Securities Limited are consolidated in these financial statements.

NIC Insurance Agents Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2010, NIC Bank Limited acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2013 show that the company made a profit of Shs 21,799,000 (2012: Shs 12,906,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2012: Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2013. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2012: Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2013. The audited financial statements show that the company made no profit or loss for the year (2012: Shs nil).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

26) Deferred income tax

The net deferred tax movement computed at the enacted rate of 30%, is attributable to the following items:

Group

2013

Assets:

	1 Jan 2013 Shs'000	(Credit)/ Charge to profit or loss Shs'000	Charge/ (Credit) to OCI Shs'000	31 Dec 2013 Shs'000
Leave pay accrual	(9,854)	(299)	-	(10,153)
Excess depreciation over capital allowances:				
- Current year	(272,756)	49,324	-	(223,432)
- Prior year	-	62,851	-	62,851
Collective allowance for impairment	(185,785)	(127,364)	-	(313,149)
Other provisions	(214)	214	-	-
Tax losses	(22,603)	(15,866)	-	(38,469)
	(491,212)	(31,140)	-	(522,352)

Liabilities:

Available for sale financial assets;				
- Current year	174,161	-	(249,335)	(75,174)
- Prior year	-	-	187,357	187,357
Revaluation surplus	59,419	-	16,818	76,237
Exchange differences on translation	-	-	5,144	5,144
Deferred income tax asset	(257,632)	(31,140)	(40,016)	(328,788)

2012

Assets:

	1 Jan 2012 Shs'000	(Credit)/ Charge to profit or loss Shs'000	Charge/ (Credit) to OCI Shs'000	31 Dec 2012 Shs'000
Leave pay accrual	(7,283)	(2,571)	-	(9,854)
Excess depreciation over capital allowances	(105,132)	(167,624)	-	(272,756)
Collective allowance for impairment	(111,397)	(74,388)	-	(185,785)
Available for sale financial assets;				
- Current year	(158,378)	-	158,378	-
- Prior year	(28,979)	-	28,979	-
Other provisions	(8,075)	7,861	-	(214)
Tax losses	(4,066)	(18,537)	-	(22,603)
	(423,310)	(255,259)	187,357	(491,212)

Liabilities:

Available for sale financial assets	-	-	174,161	174,161
Revaluation surplus	61,648	-	(2,229)	59,419
Deferred income tax asset	(361,662)	(255,259)	359,289	(257,632)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

26) Deferred tax asset (Continued)

As at 31 December 2013, the Group had accumulated tax losses available for future relief of Shs 122,519,000 (2012: Shs 75,342,429) relating to NC Uganda Ltd.

Under the Kenyan legislation, with effect from 1 January 2011, tax losses can only be carried forward to a maximum of four years. In Uganda, however, the tax losses can be carried forward for an indefinite period.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

27) Property and equipment Group

COST OR VALUATION

At 1 January 2012

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
Additions	-	157,112	36,690	64,896	258,698
Transfers - WIP	-	158,688	-	(158,688)	-
Disposals	-	(19,992)	(2,071)	-	(22,063)
Translation adjustments	-	(6,323)	(1,198)	(5,127)	(12,648)

At 31 December 2012

	370,000	1,520,525	60,647	80,456	2,031,628
At 1 January 2013	370,000	1,520,525	60,647	80,456	2,031,628
Additions	-	210,268	4,604	88,562	303,434
Transfers - WIP	-	110,751	-	(110,751)	-
Disposals	-	(10,973)	(11,978)	-	(22,951)
Translation adjustments	-	(7,903)	5,814	5,528	3,439

At 31 December 2013

Comprising:

Cost	144,617	1,822,668	59,087	63,795	2,090,167
Valuation - 2013	225,383	-	-	-	225,383
	370,000	1,822,668	59,087	63,795	2,315,550

DEPRECIATION

At 1 January 2012

	33,636	789,561	16,456	-	839,653
Charge for the year	11,212	184,298	8,836	-	204,346
Eliminated on disposals	-	(19,887)	(2,375)	-	(22,262)

At 31 December 2012

	44,848	953,972	22,917	-	1,021,737
At 1 January 2013	44,848	953,972	22,917	-	1,021,737
Charge for the year	11,213	225,883	12,012	-	249,108
Eliminated on disposals	-	(10,767)	(1,788)	-	(12,555)
Revaluation	(56,061)	-	-	-	(56,061)
Translation adjustments	-	(5,209)	(734)	-	(5,943)

At 31 December 2013

NET BOOK VALUE

At 31 December 2013	370,000	658,789	26,680	63,795	1,119,264
At 31 December 2012	325,152	566,553	37,730	80,456	1,009,891

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. Buildings are revalued every 3-5 years. At 31 December 2013, the net book value of buildings based on original cost was Shs 122,706,000 (2012 - Shs 127,088,000). There were no capitalised borrowing costs related to the acquisition of property and equipment during the year (2012 - Shs nil).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 692,934,000 (2012: Shs 538,099,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 168,875,000 (2012: Shs 120,400,000). Computer equipment are included under furniture, fittings and equipment. Work in progress mainly related to the acquisition of banking software and the branch expansion programme in Tanzania and Kenya in 2012.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

27) Property and equipment (Continued)

Bank

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work In progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2012	370,000	1,107,701	19,256	149,493	1,646,450
Additions	-	71,711	18,878	16,965	107,554
Transfers	-	158,688	-	(158,688)	-
Disposals	-	(19,968)	(268)	-	(20,236)
At 31 December 2012	370,000	1,318,132	37,866	7,770	1,733,768
At 1 January 2013	370,000	1,318,132	37,866	7,770	1,733,768
Additions	-	106,111	2,570	88,562	197,243
Transfers	-	93,056	-	(93,056)	-
Disposals	-	(10,913)	(11,978)	-	(22,891)
At 31 December 2013	370,000	1,506,386	28,458	3,276	1,908,120
Comprising:					
Cost	144,617	1,506,386	28,458	3,276	1,682,737
Valuation – 2013	225,383	-	-	-	225,383
	370,000	1,506,386	28,458	3,276	1,908,120
DEPRECIATION					
At 1 January 2012	33,636	751,123	9,923	-	794,682
Charge for the year	11,212	158,150	4,243	-	173,605
Eliminated on disposals	-	(19,864)	(267)	-	(20,131)
At 31 December 2012	44,848	889,409	13,899	-	948,156
At 1 January 2013	44,848	889,409	13,899	-	948,156
Charge for the year	11,213	185,833	5,602	-	202,648
Eliminated on disposals	-	(10,745)	(1,788)	-	(12,533)
Revaluation	(56,061)	-	-	-	(56,061)
At 31 December 2013	-	1,064,497	17,713	-	1,082,210
NET BOOK VALUE					
At 31 December 2013	370,000	441,889	10,745	3,276	825,910
At 31 December 2012	325,152	428,723	23,967	7,770	785,612

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered, professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2013, the net book value of buildings based on original cost was Shs 122,706,000 (2012: Shs 127,088,000).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 676,947,000 (2012: Shs 522,846,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 148,890,000 (2012: Shs 116,797,000). Computers are included under furniture, fittings and equipment. Work in progress mainly relates to the acquisition of banking software related hardware; and the branch expansion programme.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

28) Intangible assets

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
629,560	642,337	Computer software	719,729	752,066	
-	-	Goodwill	375,426	375,426	
629,560	642,337	At 31 December	1,095,155	1,127,492	

Details of the intangible assets are as follows:

a) Computer software

Bank				Group		
Capitalised Shs `000	Work-in Progress* Shs `000	Total Shs `000		Capitalised Shs `000	Work-in Progress* Shs `000	Total Shs `000
COST						
358,398	260,940	619,338	At 1 January 2012	376,385	262,171	638,556
-	-	-	Translation adjustment	(886)	(1,272)	(2,158)
84,607	254,398	339,005	Additions	84,609	371,011	455,620
515,338	(515,338)	-	Transfers	629,007	(629,007)	-
958,343	-	958,343	At 31 December 2012	1,089,115	2,903	1,092,018
958,343	-	958,343	At 1 January 2013	1,089,115	2,903	1,092,018
-	-	-	Translation adjustment	6,056	-	6,056
103,717	44,698	148,415	Additions	111,999	44,698	156,697
32,601	(32,601)	-	Transfers	35,504	(35,504)	-
1,094,661	12,097	1,106,758	At 31 December 2013	1,242,674	12,097	1,254,771
AMORTISATION						
218,792	-	218,792	At 1 January 2012	227,760	-	227,760
-	-	-	Translation adjustments	(1,268)	-	(1,268)
97,213	-	97,213	Charge for the year	113,461	-	113,461
316,005	-	316,005	At 31 December 2012	339,953	-	339,953
316,005	-	316,005	At 1 January 2013	339,953	-	339,953
-	-	-	Translation adjustments	(1,784)	-	(1,784)
161,193	-	161,193	Charge for the year	196,873	-	196,873
477,198	-	477,198	At 31 December 2013	535,042	-	535,042
Net Book Value						
617,463	12,097	629,560	At 31 December 2013	707,632	12,097	719,729
642,337	-	642,337	At 31 December 2012	749,162	2,904	752,066

Assets of the Group with a gross value of Shs 222,294,000 (2012: Shs 210,661,000) are fully amortised but still in use. The notional amortisation charge on the assets would have been Shs 44,459,000 (2012: Shs 42,132,000).

*Work in progress in 2012 related to the purchase of the new banking software, which was capitalised in 2012.

The weighted average remaining useful life of intangible assets 3.5 years (2012: 4.5 years).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

28) Intangible assets (Continued)

b) Goodwill

The goodwill consists of equity interest held by the Group in;

	2013		2012	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	68.97	251,996	51.0	251,996
NIC Securities	99.93	123,430	91.3	123,430
At 31 December		375,426		375,426

Goodwill arising on consolidation represents the growth potential of NIC Bank Tanzania and NIC Securities.

Impairment tests for goodwill

Management reviews the business performance of the above subsidiaries. The subsidiaries are deemed Cash Generating Units (CGU) by the Group. The recoverable amount of all CGUs has been determined based on value-in-use calculations which are based on key assumptions about budgeted performance. The budget assumptions reflect current trends, anticipated growth driven by the Group's strategy and management experience. In particular, the budget for NIC Bank Tanzania takes into account expected recovery in the business following successful rights issues.

Based on the results of the impairment tests performed, management believes that there is no impairment of the carrying value of the goodwill in any CGU. In addition, no impairment of the Bank's investments in subsidiary undertakings as referred to in note 25 was considered necessary.

29) Operating lease prepayments – Leasehold land

Group and Bank

	2013 Shs'000	2012 Shs'000
Cost		
At 31 December	10,000	10,000
Amortisation		
At 1 January	2,625	2,500
Charge for the year	125	125
At 31 December	2,750	2,625
Net book value	7,250	7,375

30) Customer deposits

Bank			Group	
2013 Shs'000	2012 Shs'000		2013 Shs'000	2012 Shs'000
37,034,059	29,541,017	Current Accounts	39,717,425	31,448,785
1,141,127	987,637	Savings Accounts	1,717,716	1,395,680
45,859,648	46,629,310	Term Deposits	49,820,455	50,005,226
201,355	308,078	Other Deposits	309,409	529,885
84,236,189	77,466,042	At 31 December	91,565,005	83,379,576
4.71%	5.17%	Weighted average effective interest rate as at year end	4.37%	5.31%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

30) Customer deposits (continued)

Customer deposits are financial instruments classified as liabilities at amortised cost. Included in term deposits are deposits which are at fixed interest rates whereas all other deposits are at variable rates.

Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount.

Customer deposits are classified as current and non current as follows:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
84,152,901	77,411,711	Current	91,422,491	83,247,504
83,288	54,331	Non-current	142,514	132,072
84,236,189	77,466,042		91,565,005	83,379,576

31) Due to banking institutions

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
4,910,171	3,044,959	Maturing within 90 days:	5,896,334	3,571,280
8.43%	8.36%	Due to banking institutions	3.67%	7.92%
		Weighted average effective interest rate as at year end		

Deposits due to banking institutions are financial instruments classified as liabilities at amortised cost.

Balances due to banking institutions are current.

32) Borrowings

Group and bank

The Bank has an unsecured revolving medium term lines of credit for onward lending with;

- Agence Francaise De Development (PROPARCO). As at 31 December 2013, the amount outstanding was US\$ 21,851,165 (2012: US\$ 22,413,574) equivalent to Shs 1,887,941,000 (2012: Shs 1,927,567,000).
- The Dutch Development Finance Institution, FMO. The amount outstanding was US\$ 20,141,533 (2012: US\$ 20,091,244) equivalent to Shs 1,740,228,000 (2012: Shs 1,727,847,000).

Maturity

Payable within one year
Payable after one year and within three years
Payable after three years

2013	2012
Shs `000	Shs `000
28,766	51,583
1,248,035	1,402,041
2,351,368	2,201,790
3,628,169	3,655,414
3.34%	3.32%

Weighted average effective interest rate as at year end

Borrowings are financial instruments classified as a liability at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

33) Due to group companies

Bank

		2013 Shs `000	2012 Shs `000
Deposits held	- NIC Capital	101,903	142,105
	- Mercantile Finance Company	5,210	5,210
	- NIC Securities	312,725	198,145
	- NIC Insurance Agents	28,381	16,951
Other payables	- Mercantile Finance Company	42,020	42,020
	- NIC Bank Tanzania	7,555	17,859
	- NC Bank Uganda	40,186	188,070
		537,980	610,360

Balances due to group companies are current.

34) Other liabilities

Bank			Group	
2013 Shs'000	2012 Shs'000		2013 Shs'000	2012 Shs'000
294,561	253,378	Bills payable	306,567	270,269
1,278,536	1,205,930	Other payables and accruals	1,512,355	1,383,178
-	-	Preference shares	31,811	29,899
-	2,630	Legal and other claims	11,695	15,050
-	-	Trade payables	129,111	92,179
31,451	32,293	Leave pay provision	33,844	32,847
1,604,548	1,494,231	At 31 December	2,025,383	1,823,422

Other liabilities are current. Other liabilities, excluding non-financial assets, are classified as liabilities at amortised cost.

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the stock brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31 December 2013.

The preference shares relate to East African Development Bank (EADB) which invested TShs 650 million in 8% non-redeemable and non-cumulative preference shares issued by NIC Bank Tanzania in November 2004. The preference shareholders have the discretion to transfer to the existing shareholders or may convert their shares into ordinary shares upon attainment of certain covenants. Dividends on the preference shares are payable when there are sufficient cash resources at the date of declaration, subject to the business and industry requirements of the company, making of prudent reserves and provisions in general and complying with all applicable legislation.

35) Unclaimed dividends

At the Annual General Meeting scheduled for 21 May 2014, a final dividend in respect of 2013 of Shs 0.75 per share (2012: Shs 1 first and final dividend per share) amounting to a total of Shs 407,238,000 (2012: Shs 542,984,000) is to be proposed by the directors.

During the year an interim dividend in respect of 2013 of Shs 0.25 per share (2012: Nil) amounting to a total of Shs 135,746,000 (2012: Nil) was paid.

The total estimated dividend for the year to be paid is therefore Shs 1 per share (2012: Shs 1 per share) amounting to a total of Shs 542,984,000 (2012: Shs 542,984,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

35) Unclaimed dividends (continued)

Group and Bank

The movement in unclaimed dividends is as follows:

	2013 Shs `000	2012 Shs `000
At 1 January	53,954	55,905
Final dividend declared	542,984	98,724
Interim dividend declared	135,746	-
Dividends paid	(660,451)	(100,675)
At 31 December	72,233	53,954

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

36) Share capital and reserves

a) Share capital and share premium

Group and Bank

	Number of shares	Share capital Shs `000	Share premium Shs `000
Balance at 1 January 2012	394,897,562	1,974,488	-
Rights issue	98,724,391	493,622	1,579,590
Bonus issue	49,362,195	246,811	(246,811)
Bonus and Rights issue expenses	-	-	(123,980)
Balance at 31 December 2012	542,984,148	2,714,921	1,208,799
Balance at 1 January 2013	542,984,148	2,714,921	1,208,799
Rights issue expenses	-	-	(731)
Balance at 31 December 2013	542,984,148	2,714,921	1,208,068

As at 31 December 2013 the authorised share capital of the Bank comprised of 800,000,000 (2012: 800,000,000) ordinary shares with a par value of Shs 5. The issued shares as at 31 December 2013 are 542,984,148 (2012: 542,984,148) and are fully paid. Issued and fully paid ordinary shares, which have a par value of Shs 5, carry one vote per share and carry a right to dividend.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

Premiums from the issue of shares are reported as share premiums. During the year, a portion of this was utilised to cater for Rights Issue related expenses.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

36) Share capital and reserves (Continued)

b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

Group and Bank

The movement in revaluation surplus on property is as follows:

	2013 Shs`000	2012 Shs`000
At 1 January	155,083	159,864
Revaluation surplus on building net of deferred tax	39,243	-
Transfer of excess depreciation	(6,830)	(6,830)
Deferred tax on excess depreciation	2,049	2,049
At 31 December	189,545	155,083

c) Investments revaluation reserve

This represents the unrealized increase or decrease in the fair value of available-for-sale investments after deduction of deferred income taxes, excluding impairment losses. The reserve is not available for distribution to the shareholders.

d) Foreign currency translation reserve

The reserves represent exchange differences arising from translation of the net assets of the Group's foreign operations which are NIC Bank Tanzania Limited and NC Bank Uganda Limited from their functional currency (Tanzania Shillings and Uganda Shillings respectively), to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve in equity. The reserve is not available for distribution to the shareholders.

e) Regulatory reserve(s)

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a regulatory reserve and accounted for as an appropriation from retained earnings. The reserve is not available for distribution to the shareholders.

f) Other reserve

The reserve relates to transactions with non-controlling interests that do not result in loss of control. It is the difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary. The Group increased its shareholding in NIC Securities Tanzania Limited and NIC Securities Limited during the year. See the respective disclosures under notes 37 (a) and (b).

g) Retained earnings

This represents undistributed profits from current and previous years.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

37) Non-controlling interests

The total non-controlling interest consists of equity interest in subsidiaries;

	2013		2012	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	31.03	377,206	49.0	486,558
NIC Securities	0.07	306	8.7	34,976
At 31 December		377,512		521,534

a) NIC Bank Tanzania

On 1 May 2009, the Group acquired a 51% stake in one of Tanzania's mid-sized commercial bank, Savings & Finance Commercial Bank Ltd, later renamed NIC Bank Tanzania Limited. NIC Bank Tanzania Ltd was founded as a non-bank financial institution in 1994, converted to a fully fledged commercial bank in 2005 and has branches in Dar es Salaam (2), Mwanza (1), Arusha (1) and Kahama (1). Through direct buy-outs and additional rights issues, NIC Bank increased its shareholding from 51% to 68.97% in 2013.

The effect of changes in ownership interest of NIC Bank Tanzania in equity attributable to the owners of the bank is summarised as follows:

	2013 Shs'000
Carrying amount of non-controlling interest acquired	178,405
Consideration paid for the interests	(349,357)
Excess of consideration paid recognised in parent's equity	(170,952)

Movement in non-controlling interests

	2013 Shs'000	2012 Shs'000
At 1 January	486,558	435,988
Carrying amount of non-controlling interest acquired by the Group	(178,404)	-
Additional shares acquired through rights issue	155,157	-
Share of (loss)/profit for the year	(86,105)	50,570
At 31 December	377,206	486,558

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

37) Non-controlling interests (Continued)

b) NIC Securities

On 31 December 2007, the Bank acquired 57.7% of NIC Securities Limited (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the Group increased its shareholding in the subsidiary to 91.34% in 2009.

Through direct buy-out, the Group further increased its shareholding in the subsidiary to 99.93 % in 2013.

	2013 Shs'000
Carrying amount of non-controlling interest acquired	34,696
Consideration paid for the interests	(17,870)
Excess of carrying amount recognised in parent's equity	16,826

Movement in non-controlling interests

	2013 Shs'000	2012 Shs'000
At 1 January	34,976	33,158
Carrying amount of non-controlling interest acquired by the Group	(34,695)	-
Share of profit for the year	25	1,818
At 31 December	306	34,976

38) Off balance sheet financial instruments, contingent liabilities and commitments

a) Contingent liabilities

Bank			Group	
2013 Shs'000	2012 Shs'000		2013 Shs'000	2012 Shs'000
4,763,734	4,404,221	Letters of credit	5,177,622	4,451,256
10,168,363	9,410,641	Letters of guarantee & performance bonds	10,557,519	9,660,754
14,932,097	13,814,862	At 31 December	15,735,141	14,112,010

In the ordinary course of business, the Group conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

38) Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

b) Operating lease prepayments

i) The group as a lessor

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

Group and Bank

	2013 Shs'000	2012 Shs'000
Within one year	2,788	2,244
In the second to fifth year inclusive	-	2,788
At 31 December	2,788	5,032

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

ii) The group as a lessee

At the end of the reporting period, the Group had non-cancellable operating leases which fall due as follows:

Bank			Group	
2013 Shs'000	2012 Shs'000		2013 Shs'000	2012 Shs'000
Premises				
127,051	112,693	Within one year	139,940	154,669
337,385	348,230	In the second to fifth year inclusive	408,570	676,519
464,436	460,923	At 31 December	548,510	831,188
Office equipment				
2,422	2,854	Within one year	2,422	2,854
119	149	In the second to fifth year inclusive	119	149
2,541	3,003	At 31 December	2,541	3,003

Operating lease payments represent rentals payable by the Group for its business premises and office equipment. Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years. For these contingent liabilities, no reimbursement is expected.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

38) Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

C) Capital commitments

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
38,000	51,012	Authorised and contracted for	70,866	85,051
453,940	399,950	Authorised but not contracted for	534,956	469,867
491,940	450,962	At 31 December	605,822	554,918

The capital commitments largely relate to branch expansion activities and software acquisition. The Group's management is confident that future net revenues and funding will be sufficient to cover this commitment.

d) Legal proceedings

Besides the provision made (see note 34), various claims against the Group are considered without merit, and the Bank is defending them vigorously. It is not possible to estimate the Bank's possible loss in relation to these matters, nor the effect that they might have upon operating results in any particular financial period. No contingent liability associated with legal actions has been disclosed as professional advice indicates that it is unlikely that any significant loss will arise.

e) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The Group may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

39) Notes to the consolidated statement of cashflows

a) Cash used in operations

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
		Reconciliation of profit before income tax to cash used in operations		
5,220,857	4,310,949	Profit before income tax	5,009,571	4,517,967
		Adjustments for:		
202,648	173,605	Depreciation (note 27)	249,108	204,346
125	125	Amortisation of operating lease prepayments	126	125
-	-	Loss on revaluation of investment in unquoted equity investment in NSE	-	60,000
161,193	97,213	Amortisation of intangible assets (note 28)	196,873	113,461
-	-	Gain on revaluation of fair value through profit and loss investments	-	(1,281)
(1,749)	(186)	Gain on sale of motor vehicle and equipment (note 39 (c))	(1,749)	(888)
5,583,074	4,581,706	Profit before working capital changes	5,453,929	4,893,730
		Increase in balances with central banks		
(397,685)	(618,190)	– Mandatory reserve deposits	(536,373)	(535,536)
(10,732,872)	(14,355,740)	Increase in loans and advances to customers	(11,953,221)	(14,915,471)
-	-	Proceeds on disposal of quoted shares – held for trading	-	3,633
-	-	Outflows on purchase of quoted shares – held for trading	(6,529)	(6,133)
(1,326,667)	(4,558,361)	Increase in Government securities maturing after 90 days	(1,777,460)	(5,080,814)
37,492	395,344	Decrease in derivatives held for risk management	35,074	390,945
(575,318)	(368,648)	Decrease/(increase) in other assets	(617,464)	(578,255)
(513,292)	45,841	Due (from)/ to group companies	-	-
6,770,147	15,457,089	Increase in customer deposits	8,185,429	17,086,523
110,317	819,492	Decrease in other liabilities	79,637	619,977
(27,245)	3,465,134	(Decrease)/increase in borrowings	(27,245)	3,465,134
(1,072,049)	4,863,667	Cash used in operations	(1,164,223)	5,343,733

b) Cash and cash equivalents

Analysis of balances of cash and cash equivalents as shown in the consolidated statement of financial position and notes;

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
2,735,081	2,051,089	Cash and balances with central banks	3,708,350	2,552,141
215,693	375,240	Items in course of collection	243,514	429,545
4,189,408	6,569,964	Due from banking institutions	5,920,199	8,188,716
2,679,288	4,045,142	Government securities	3,585,870	4,511,027
(4,910,171)	(3,044,959)	Due to banking institutions	(5,896,334)	(3,571,280)
4,909,299	9,996,476	At 31 December	7,561,599	12,110,149

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

39) Notes to the consolidated statement of cashflows

c) Proceeds from sale of motor vehicle and equipment

Bank			Group		
2013	2012			2013	2012
Shs'000	Shs'000		Note	Shs'000	Shs'000
22,891	20,236	Disposal at cost	27	22,951	22,063
(12,533)	(20,131)	Depreciation eliminated on disposal	27	(12,555)	(22,262)
1,749	186	Gain on disposal of motor vehicle and equipment	11	1,749	888
12,107	291	Proceeds from sale of motor vehicle and equipment		12,145	689

40) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

There are other companies which are related to NIC Bank Limited through common shareholdings or common directorships.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers at 31 December include loans and advances to staff and to companies associated with directors. Contingent liabilities at 31 December include guarantees and letters of credit for companies associated with directors.

a) Loans and advances to customers:

Companies associated with directors

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
973,236	1,179,687	At 1 January	989,364	1,186,810
(269,286)	(206,451)	Net movement during the year	(285,414)	(197,446)
703,950	973,236	At 31 December	703,950	989,364
67,141	81,250	Interest earned	67,141	83,475
429,303	328,653	Guarantees and letters of credit to companies associated with directors	429,303	337,658

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

40) Related party transactions (Continued)

a) Loans and advances to customers (Continued)

Directors and key management personnel

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
23,871	24,600	At 1 January	23,871	24,600	
(19,608)	(729)	Net movement during the year	(19,608)	(729)	
4,263	23,871	At 31 December	4,263	23,871	
358	325	Interest earned	358	325	

These loans and advances are performing and are adequately secured.

b) Customer deposits

Companies associated with directors

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
3,249,503	4,696,934	At 1 January	3,400,490	4,744,307	
1,614,959	(1,447,431)	Net movement during the year	1,552,722	(1,343,817)	
4,864,462	3,249,503	At 31 December	4,953,212	3,400,490	
219,658	325,127	Interest paid	221,573	326,770	

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Directors and key management personnel

Bank			Group		
2013	2012		2013	2012	
Shs'000	Shs'000		Shs'000	Shs'000	
118,981	97,173	At 1 January	133,038	99,056	
(2,268)	21,808	Net movement during the year	(12,649)	33,982	
116,713	118,981	At 31 December	120,389	133,038	
4,867	6,535	Interest paid	4,867	50,017	

Other amounts outstanding at the end of the reporting period are disclosed in notes 24 and 33.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2013

40) Related party transactions (Continued)

c) Key management compensation

The remuneration of directors and other members of key management during the year was as follows:

Bank			Group	
2013	2012		2013	2012
Shs'000	Shs'000		Shs'000	Shs'000
284,065	243,994	Salaries and other benefits	374,679	329,683
		Directors' remuneration		
13,570	11,120	Fees for services as directors	23,512	15,181
138,712	98,766	Other emoluments (included in key management compensation above)	193,119	148,701
152,282	109,886		216,631	163,882

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits and pension.

41) Assets pledged as security

As at 31 December 2013, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2012: Sh nil).

42) Fiduciary activities

The Group holds asset security documents on behalf of customers with a value of Shs 50,555,796,000 (2012: Shs 39,120,242,000). These securities are held by the custody services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

43) Subsequent events

There were no events after the balance sheet date.

NON FINANCIAL RISK MANAGEMENT DISCLOSURES

Non-Financial Risk Management Disclosures

a) Strategic risk

Strategic risk is the potential for loss arising from ineffective business strategies, improper implementation of strategies, sudden unexpected changes in the Group's environment, or from lack of adequate responsiveness to changes in the business environment.

The Group faces several strategic risks from its environment which include:

- Macro-economic changes.
- Competition from the financial industry and organisations providing similar services.
- Technological changes.
- Key legislative and regulatory changes.
- Major political events.
- Human capital or social/demographic trends and changes.

Who manages strategic risk

The Board of Directors is responsible for the overall generation and implementation of the Group's strategy for purposes of enhancing shareholders' value. It has however delegated the implementation aspects to the Group Managing Director and the Senior Management team who execute strategy.

Additionally, the Board of Directors, with support from the Group Managing Director and Senior Management, develops and implements a new strategic cycle every 3 years to cater for the next growth phase of the Group.

How we manage strategic risk

The Group Managing Director supported by Senior Management executes the approved strategic objectives on a day to day basis and actively monitors business performance against these objectives through periodic reviews. The business carries out business performance reviews periodically but at a minimum on a monthly basis against pre-determined milestones and key performance indicators. The reviews are reported to the Board of Directors for information and advice, or action where significant deviations occur. These reports include identifying the key risks faced by the Group and how they are being managed.

The Group Managing Director co-ordinates an annual strategic planning process for Senior Management intended to align individual business strategies to overall enterprise level strategies as approved by the Board of Directors. They include a comprehensive review and evaluation of the business strategies, competitive positioning, financial performance, initiatives of strategic executions, and key business risks. The frequency of strategic business reviews depends on the risk profile and size of the business / function.

Each business head unit is responsible for directing strategies in their respective units and ensure such strategies are aligned to the overall strategy of the Group. They are also responsible for monitoring, managing and reporting on the effectiveness and risks of their business' strategic objectives, and the progress they have made towards achieving these. They oversee the direction and trends of significant current and emerging risks related to their business units and that mitigating actions are taken where appropriate.

The Group's financial and non-financial performance, including its key risks, are reported to the Board of Directors on a quarterly basis for review and action, where necessary.

NON FINANCIAL RISK MANAGEMENT DISCLOSURES

(Continued)

Non-Financial Risk Management Disclosures (Continued)

b) Operational risk

Operational risk is the potential for loss arising from inadequate or failed processes, systems, people or external events. Operational risk is embedded in all business activities including the practices for managing other risks e.g. credit, market and liquidity risks and arises in the normal course of business. The impact of these risks can result in significant financial loss, reputational harm or regulatory censure and penalties.

The major operational risks faced by the Group include:

- People and related issues such as staff retention, frauds, amongst others.
- Systems and processes changes related to the drive to meet our clients' needs.

Who manages operational risk

The Management committee [Manco] is tasked with the responsibility designing and maintaining a formal Group-wide operational risk framework that emphasises a strong risk management and internal control culture throughout the Group. The committee meets monthly with a key deliverable of assessing the continued applicability of policies and programs in place to identify, assess, report, monitor, control or mitigate operational risks.

The Group structure is designed with operational risk in mind. As an example, the group maintains specialised functions that manage business continuity, human resources, compliance, administration and procurement, security services and organisational change management.

Senior Management in turn reports to the risk Management Committee on all the key risks detailing corrective action initiatives to address the risks.

How we manage operational risk

Our operational risk management framework is designed to ensure key risk exposures are proactively managed within acceptable levels. It incorporates best practice and meets regulatory guidelines through:

- Governance and Policy:* Management as well as Committee reporting and organisational structures emphasise accountability, ownership and effective oversight of each business unit's operational risk exposures. Furthermore, the Board Risk Management Committee and Senior Management's expectations are set out via enterprise-wide policies.
- Risk and Control Self Assessment:* Through quarterly comprehensive assessments of our key operational risk exposures and internal control environments, Senior Management is able to evaluate its effectiveness and implement appropriate additional corrective actions where needed, to offset or reduce unacceptable risks.
- Operational Risk Event Monitoring:* Our policies require that internal and industry-wide operational risk events are identified, tracked, and reported to the right levels to ensure they are analysed appropriately and corrective action taken in a timely manner.
- Risk Reporting:* Significant operational risk issues together with measures to address them are tracked, assessed and reported to Senior Management and the Board of Directors to ensure accountability is maintained over current and emerging risks.
- Insurance:* A comprehensive portfolio of insurance and other risk mitigating arrangements are maintained with the type and level of insurance coverage continually assessed to ensure both risk tolerance and statutory requirements are met. This includes identifying opportunities for transferring our risks to third parties where appropriate.
- Technology and Information:* The key risks here revolve around our reliance on technology and information and their impact on operational availability, integrity and security of our information data and systems / infrastructure. Our risk framework and programs use best practice and include robust threat and vulnerability assessments, as well as security and change management practices.
- Business Continuity Management:* Business Continuity Management supports the ability of Senior Management to continue to operate their businesses, and provide customer access to products and services in times of disruptions. This program includes formal crisis management protocols and continuity strategies. All key functions of the Group are regularly tested to confirm their contingency plan designs are able to respond to a broad range of potentially disruptive scenarios.
- Outsourcing Management:* While the benefits of outsourcing arrangements are immense (ie. access to leading technology, specialised expertise, economies of scale, operational efficiencies, etc.), we note the need to manage the associated risks. This is done through programs that guide outsourcing activities and ensure the level of risk management and Senior Management oversight is appropriate to the size and complexity of the outsourcing arrangements.

NON FINANCIAL RISK MANAGEMENT DISCLOSURES

(Continued)

Non-Financial Risk Management Disclosures (Continued)

b) Operational risk (Continued)

How we manage operational risk (Continued)

- ix) *Project Management:* We have a disciplined project management program to ensure projects are implemented successfully in a planned and systematic manner and are monitored by Senior Management. The Organisational Development Department maintains standards that meet best practice to identify and guide change.
- x) *Financial Crime:* Safeguarding our customers, employees, assets, information, and preventing plus detecting fraud as well as other forms of financial crime is done through extensive security systems, protocols and practices. This is led by our Security Services unit that carries out regular employee training to ensure compliance with crime prevention policies and practices.

c) Compliance (policy/legal/regulatory) risk:

Compliance risk refers to the potential of loss arising from non-compliance with laws, rules, regulations, obligatory practices / standards, contractual agreements, or other legal requirements including the effectiveness of preventing and handling litigation. It is not actively or deliberately pursued in the expectation of a return but occurs in the normal course of our business operations.

The Group meets high standards of compliance with policy, legal and regulatory requirements in all business dealings and transactions. As a result of high financial business regulation we are exposed to regulatory and legal risks in virtually all our activities including those from our three main regulators (Central Bank of Kenya/Bank of Tanzania and Capital Markets Authority). Failure to comply with regulation not only poses a risk of censure and litigation but may lead to serious reputational risks. Financial penalties and costs related to litigation may also substantially erode the Group's earnings.

Business unit heads have the responsibility and accountability of managing regulatory and legal risks relating to their units on a day to day basis with assistance / advice and oversight from Legal and Compliance Departments. The Compliance Department identifies and monitors the key risks and is responsible for ensuring that the day to day business controls comply with applicable legislation and are in line with best practice. Internal and external legal counsel work closely with business units to identify areas of existing and potential regulatory/legal risks and actively manage them to reduce the Group's exposures.

Senior Management and the Board Risk Management Committee receive the Risk Management Department's opinions / reports on the strength of the Group's Compliance Risk Framework to enable them to determine whether it is under control and where not, tracks significant corrective actions to finality. Additionally, significant exposures under "for or against" litigation are reviewed periodically.

How we manage regulatory and legal risks

The Board of Directors and Senior Management through the Group's Code of Conduct sets the "tone at the top" for a culture of integrity beginning with concern for what is right (including compliance to policy and the law) in all our business considerations, decisions and actions. All employees are required to attest to this Code when they join the Group and thereafter periodically, indicating that they have understood it and that they have complied with its provisions.

Business unit heads manage day-to-day regulatory and legal risk primarily by implementing appropriate policies, procedures and controls already in place. The Legal & Compliance departments assist them by:

- i) Communicating and advising on regulatory and legal requirements, and emerging compliance obligations to each business unit as required.
- ii) Implementing or assisting with reviews of policies, procedures and training. They do this by independently monitoring and testing for adherence to certain regulatory and legal requirements, as well as the effectiveness of associated key internal controls.
- iii) Tracking, escalating and reporting significant issues and findings to Senior Management and the Board of Directors.
- iv) Liaising with regulators, as appropriate, regarding new or revised legislation, regulatory guidelines or regulatory examinations.

We have developed robust policies, programs and systems designed to manage the Know Your Customer (KYC) and Anti-Money Laundering (AML) risks as envisaged in the Proceeds of Crime & Anti-Money Laundering Act and Regulation (CBK/BOT / CMA). We have upgraded account opening requirements and customer transaction screening procedures to meet the stringent requirements stipulated therein. Reporting of suspicious and other transactions is done as required by the law and policy standards. We carry out appropriate periodic due diligence on correspondent banking counterparties, and meet KYC / AML obligations to them continuously. All staff are trained when they join the Group and periodically certified as such in line with the law.

NON FINANCIAL RISK MANAGEMENT DISCLOSURES

(Continued)

Non-Financial Risk Management Disclosures (Continued)

d) Reputational risk

Reputational risk is the potential that negative stakeholder impressions or perceptions, whether true or not, regarding the Group's business practices, actions or inactions, will or may cause a decline in its value, brand, liquidity or customer base. It is a resultant effect of all other risks highlighted in this report and therefore cannot be managed in isolation. Therefore, when all the other risks are managed well, this risk is substantially minimised.

The Group's reputation is an invaluable business asset essential for optimising shareholder value, hence it is constantly under threat. Our services and activities, including new ones, ensure the Group's good reputation is always maintained or enhanced.

Who manages reputational risk

Ultimate responsibility for this risk rests with the Board of Directors and Senior Management who examine the Group's reputational risk as part of their regular mandate. They are assisted in this aspect by the Corporate Communications Department. Their purpose is to ensure that all products, services, and activities meet the Group's reputational risk objectives in line with the Board of Director's approved appetite. Nonetheless, every employee and representative of the Group has a responsibility to contribute positively to our reputation.

Senior Management and the Board of Directors receive periodic reports on the assessment of the Group's reputational risk exposures that arise from its business (including sales and service) activities so as to form a view on associated risks and implement corrective actions.

How we manage reputational risk

Every employee and representative of the Group has a responsibility to contribute in a positive way towards our reputation. This is through ensuring ethical practices are always adhered to, interactions with all stakeholders are positive, and we comply with applicable policies, legislation, and regulations. Reputational risk is most effectively managed when every individual works continuously to protect and enhance our reputation.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty fourth Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC), Nairobi on Wednesday 21st May 2014, at 11.00 am for the following purposes:-

1. To read the Notice convening the Meeting.
2. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31st December 2013 and the Directors' and Auditors' Reports thereon.
3. To confirm the payment of the interim dividend of Shs 0.25 per share paid on 1st October 2013 and to approve the payment of a final dividend of Shs 0.75 (2012 first and final dividend of Shs 1.00 per share) on the paid up capital of Shs 2,714,920,740.
4. To approve the payment of fees to the Directors for the year ended 31st December 2013.
5. To elect Directors:
 - I. In accordance with Articles 97 of the Company's Articles of Association, John Gachora and Kairo Thuo who were appointed to the Board since the last Annual General Meeting, retire from office and, being eligible, offer themselves for re-election.
 - II. In accordance with Articles 108, 109 and 110 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:
 - i. A S M Ndegwa
 - ii. P V Shah
 - iii. I Ochola-Wilson
6. To note that PricewaterhouseCoopers will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorize the Directors to fix their remuneration.
7. Bonus issue

To consider and if thought fit, pass the following resolution which will be proposed as an ORDINARY RESOLUTION;

'That it is desirable in pursuance of Article 152 of the Articles of Association to capitalize the sum of Shs 271,492,075 being part of the amount standing to the credit of the share premium reserve of the company and accordingly that such sum be capitalized and that the Directors be and are hereby authorized and directed to appropriate such sum to the holders of ordinary shares registered at the close of business on 8th May, 2014 having received the necessary consent from the relevant authorities, for an issue in proportion to the number of ordinary shares held by them respectively on 8th May, 2014 and to apply such sum on behalf of such holders in paying up in full at par 54,298,415 of the unissued shares of the capital of the company, such shares to be allotted, distributed and credited as fully paid up to and amongst such holders in the proportion of one new ordinary share for every ten ordinary shares then held, and that such new shares shall rank for all purposes *pari passu* with the existing issued ordinary shares of the Company and that the Directors be and are hereby also authorized generally to do and effect all acts and things required to give effect to this Resolution and to deal with fractions in such manner as they think fit subject always to the Articles of Association of the Company'.

8. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD

Livingstone Murage

Group Company Secretary

Nairobi

3 April 2014

"A Member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his, her or its behalf. A proxy need not be a Member of the Company. To be valid a proxy must be duly completed by the Member and lodged with the Group Company Secretary at the Company's registered office situated at NIC Bank Limited, NIC House, Masaba Road, Nairobi, Kenya, before 11 am on Monday 19th May 2014, failing which it will be invalid. In the case of a Member which is a corporate body then the proxy must be given under its common seal."

TANGAZO LA MKUTANO MKUU WA MWAKA

Tangazo hili limetolewa kuwa Mkutano Mkuu wa Mwaka wa hamsini na nne wa wenye hisa wa Benki ya NIC utafanyika katika Ukumbi wa KICC, Nairobi siku ya Jumatano tarehe 21 mwezi Mei, 2014 saa 5.00(tano) asubuhi kwa sababu zifuatazo:-

1. Kusoma tangazo lililoitisha mkutano.
2. Kuipokea, kuizingatia na ikiwa sawa kuikubali Taarifa ya Kifedha ya Mwaka uliomalizika tarehe 31 Disemba, 2013 na Wakurugenzi pamoja na Ripoti ya Wakaguzi wa Mahesabu.
3. Kuthibitisha malipo ya mgao wa muda wa asilimia 5 (Shilingi 0.25 kwa kila hisa) yaliyotolewa mnamo Oktoba 1, 2013 na kuidhinisha malipo ya mgao wa mwisho wa shilingi 0.75 (2012 mgao wa kwanza na mwisho wa shilingi 1.00 kwa kila hisa) kwa mtaji uliolipwa wa Shs 2,714,920,740.
4. Kuidhinisha gharama ya Wakurugenzi ya mwaka uliomalizika tarehe 31 Desemba, 2013.
5. Kuchagua Wakurugenzi:
 - I) Kwa mujibu wa kanuni ya 97 ya Kanuni za Msingi za Ushirikiano wa Kampuni, John Gachora na Kairu Thuo waliochaguliwa wakurugenzi baada ya mkutano mkuu wa Mwaka jana, wanastaafu na wanaweza kuchaguliwa ama kujitolea wenyewe kuchaguliwa tena.
 - II) Kwa mujibu wa kanuni ya 108, 109 na 110 ya Kanuni za Msingi za Ushirikiano wa Kampuni, Wakurugenzi wafuatao watastaafu kwa kufuatana na wanaweza kuchaguliwa ama kujitolea wenyewe kuchaguliwa tena:
 - i) A S M Ndegwa
 - ii) P V Shah
 - iii) I Ochola-Wilson
6. Kueleza kuwa shirika la PricewaterhouseCoopers litaendelea kuwa shirika letu la kukagua mahesabu kwa mujibu wa sehemu 159(2) ya kifungu cha sharia ya kampuni cha 486 kulingana na kuthibitishwa kwa Benki Kuu ya Kenya kufuatana na sehemu ya 24 (1) ya kifungu cha Sheria ya Benki cha 488 na kuwaruhusu Wakurugenzi kuweka gharama zao.
7. Kutolewa kwa bonasi

Kuchunguza na ikionekana muhimu, kupitisha azimio lifuatalo na ambalo litapendekezwa kama AZIMIO LA KAWAIDA:

“Kwamba ingekuwa bora kwa kuzingatia Kifungu cha 152 cha kanuni za kiushirika za Kampuni, kuwekeza kwenye soko la hisa kiasi cha Shilingi 271,492,075, ambazo ni pesa zilizosalia kama thamani ya ziada ya mkopo katika hifadhi ya hisa na hali kadhalika fedha hizo kuwekeza kwenye soko la hisa na kwamba Wakurugenzi wanaruhusiwa na kupewa muongozo wa jinsi ya kugawanya pesa hizo kati ya wamiliki wa hisa za kawaida zilizosajiliwa kabla ya kipindi cha mwisho cha biashara kilichofanywa kuwa tarehe 8 Mei, 2014. Hata hivyo, hii ni baada ya Kampuni kupokea idhini inayofaa kutoka kwa waidhinishaji wanaostahili, kulingana na idadi ya hisa za kawaida zinazomilikiwa na kila mmoja, kufikia tarehe 8 Mei, 2014 na kutumia fedha hizo kwa niaba ya wenye hisa ili kulipa kikamilifu pesa zilizoko za hisa ambazo hazijatumika za mtaji wa Kampuni za kiasi cha Shilingi 54,298,415. Hisa hizo zitatengwa, zigawanywe na ziratibiwe kama zilizolipwa kikamilifu kwa wenye hisa hao katika mgao wa hisa moja mpya ya kawaida kwa kila hisa kumi zinazomilikiwa kwa wakati huo, na kwamba kila hisa mpya kama hiyo itafuzu kwa usawa pari passu kuwa kama hisa za kawaida za Kampuni zilizotolewa na kwamba Wakurugenzi wanaruhusiwa kwa ujumla ketekeleza sharia na vitu vinavyopaswa kuipa nguvu Azimio na kushughulikia akisami kwa njia ambayo wanaonelea itafaa na inayoendana sambamba na kanuni za kiushirika za Kampuni.

8. Kuendesha biashara yoyote nyingine ambayo wametangaziwa.

KWA MAPENDEKEZO YA KAMATI

Livingstone Murage

Katibu Mkuu wa Kampuni

Nairobi.

3 Aprili 2013.

“Mwanachama ahudhurie mkutano na apige kura katika mkutano na atakayekosa kuhudhuria amtafute mtu atakayepiga kura kwa niaba yake. Aliyetumwa kwa niaba ya mwanachama si lazima awe mwanachama wa kampuni. Ili akubalike kupiga kura kwa niaba ya mwanachama lazima ajulikane vyema na mwanachama na aidhinishwe na katibu wa shirika la kampuni asajiliwe katika ofisi za Benki ya NIC, zilizoko kwenye Jumba la NIC, barabara ya Masaba, Nairobi, Kenya kabla ya saa tano asubuhi siku ya Jumatatu tarehe 19 Mei mwaka wa 2014 na asipofika hapo hataweza kushiriki katika uchaguzi. Ikiwa mwanachama ni shirika basi uwakilishaji lazima uwe chini ya mhuri wake.”

NOTES

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PROXY FORM

**The Group Company Secretary,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100,GPO Nairobi**

I/We _____

of _____

being a member / members of NIC Bank Limited and entitled to

votes hereby appoint _____

of _____

or failing him _____

of _____

as my / our Proxy to vote for me / us on my / our behalf at the Annual General meeting of the company to be held on 21 May 2014 and at any adjournment thereof.

As witness my / our hand this _____ day of _____ 2014

Signature (s) of _____

Note: In case of a Corporation, the Proxy must be made under its Common Seal.

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FOMU YA UWAKILISHI

**Katibu wa Kampuni,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100,GPO Nairobi**

Mimi / Sisi _____

wa anuani hii _____

nikiwa mwanachama / tukiwa wanachama wa NIC Bank Limited na

nikiwa /tukiwa na haki ya kura _____

namchagua / tunamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua / tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu / wetu kunipigia / kutupigia kura kwa niaba yangu / yetu katika Mkutano wa Mwakawa Kampuni utakaofanyika tarehe 21 Mei 2014 au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia kwa mkono / mikono yangu / yetu siku hii ya

Tarehe _____ mwezi wa _____ 2014

Sahihi _____

Elewa: Mwakala akiwa anawakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo (common seal).

NIC BANK GROUP

NIC Bank Limited Branches

Head Office and Branch
NIC House, Masaba Road,
Nairobi.

City Centre
Prudential Building,
Kaunda Street.

The Junction
Dagoretti/Ngong Road.

Prestige
Prestige Plaza, Ngong
Road.

The Mall
Westlands.

Harambee Avenue
Jeevan Bharat Building,
Harambee Av.

Galleria (Bomas)
Galleria Shopping Mall,
Langata Road.

Village Market
Village Market, Limuru
Road.

Taj Mall
The Junction of North
Airport Road
& Outering Road.

Sameer Park
Sameer Park Building.

ABC, Westlands
ABC Place, New Building,
Waiyaki Way

Karen
Karen Office Park.

Kenyatta Avenue
680 Hotel, Kenyatta Avenue

Mombasa Branches
Nkrumah
NSSF Building,
Nkrumah Road.

Changamwe
Refinery Place,
Refinery Road,
Changamwe,

Nyali
City Mall, Nyali.
Harbour House
Moi Avenue.

Nakuru Branch
Vickers House, Kenyatta
Avenue.

Meru Branch
Njuri Ncheke Street.

Thika Road Mall
Thika Road.

Kisumu Branch
Oginga Odinga Street.

Eldoret Branch
Zion Mall, Uganda Road.

NIC Bank Tanzania Limited,
Golden Jubilee,
PSPF Building, Ohio Street,
Dar-es-Salaam

Kariakoo
Aggrey/Sikukuu street

Ilala
Plot No. 29 Block W,
Lindi/Shauri moyo streets.

Mwanza
Plot 5, Nyerere Road.

Arusha
Central Plaza, Sokoine
Road.

Kahama
Isaka Road.

NC BANK Uganda Branch
Head Office and Branch
NC Bank Uganda (NCUG)
Rwenzori Towers, Nakasero
Road.

NIC Capital Limited
NIC House, Masaba Road.

NIC Securities Limited
NIC House, Masaba Road.

**NIC Insurance Agents
Limited**
NIC House, Masaba Road.

NIC BANK LIMITED
Head office

NIC House, Masaba Road

P.O. Box 44599 - 00100 GPO Nairobi

Tel: +254 (20) 2888000 / 4948000 | Fax: +254 (20) 2888505

Email: info@nic-bank.com

Website: www.nic-bank.com



@nicbankkenya